CONSOLIDATED STATEMENT OF NON-FINANCIAL INFORMATION AND SUSTAINABILITY INFORMATION **2024**

INDITEX

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1. Message from the Chairperson

The solidity of the growth figures detailed in our financial statements for 2024 allow us to continue to look to the future with optimism. We have demonstrated once again that the talent and hard work of our team, our ability to innovate and the ambition with which we approach any new project are key to remaining on the trajectory of growth and profitability that sets Inditex apart.

We remained steadfast in focusing our intention on people. First and foremost, our customers, putting our creativity to work for them, through our collections but also through their experience in our stores, whether in person or online, offering them cutting-edge technology.

Naturally, we continued to go out of our way to provide our employees with a stimulating work environment in which career development is driven by the company's trust in their abilities and commitment. We are proud of our people and their achievements and that translates into a strong sense of belonging and shared pride in making a difference in this venture.

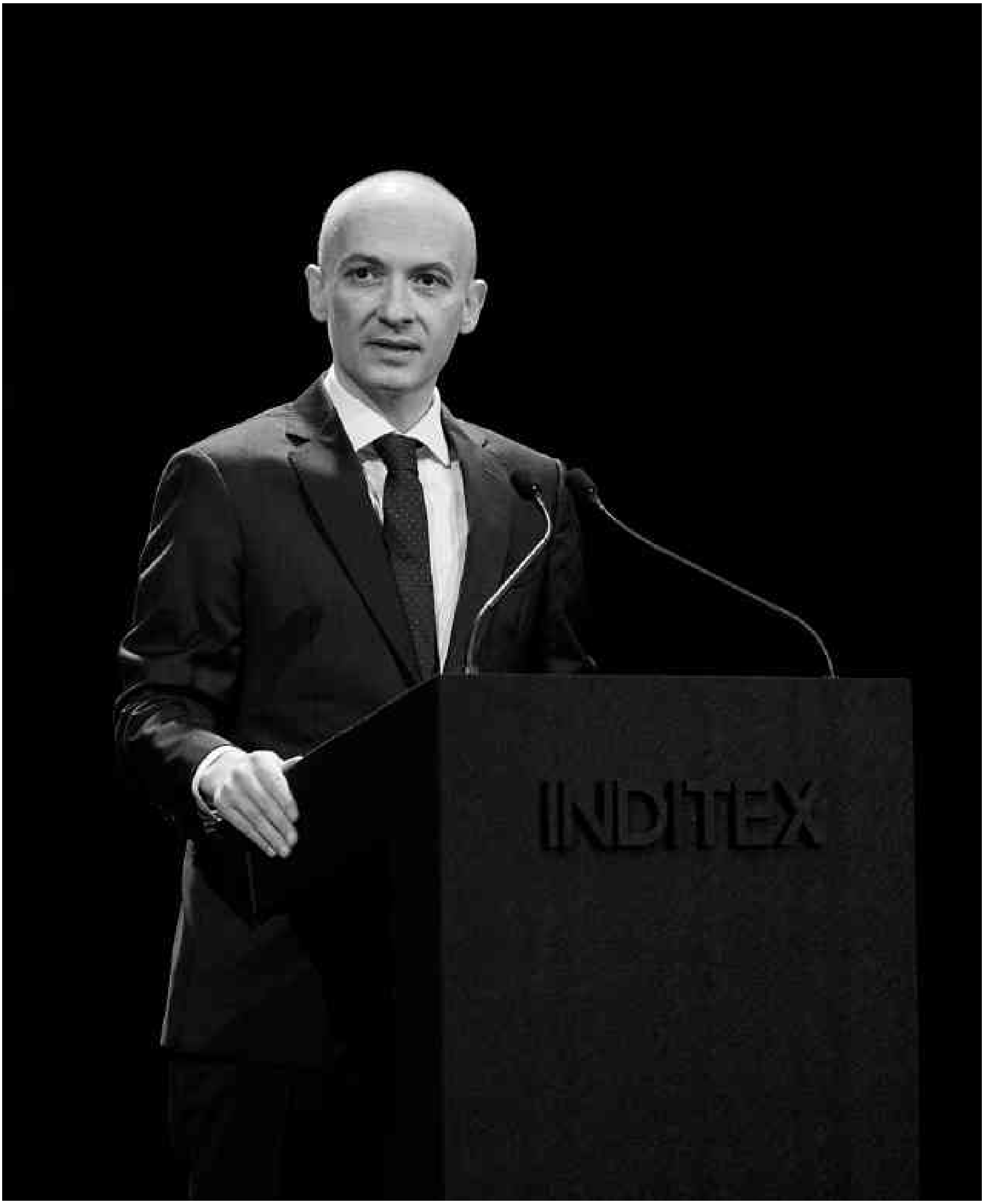
In parallel, we worked hard to consider all of the people who collaborate with us along our supply chain. We work actively to instil our ambition to constantly do better in their workplaces, putting workers at the centre.

We never forget, not even for a minute, that our creative, manufacturing and retailing activities are carried out in communities on which we want to have a positive social and environmental impact. We feel responsible and we act accordingly.

We are working alongside the industry to make our business more sustainable and in 2024 we made some very important progress, which we talk about in this report. We are also looking out for the most vulnerable, once again increasing our contribution through our community investment programmes in 2024.

Far from being satisfied with our achievements, we remain convinced that we can continue to innovate and improve the quality of our work. We are confident that this effort will translate into new accomplishments and the conquest of new challenges, while staying true to our desire to consistently bring excitement, creativity and a dash of the magic that makes Inditex a very unique project.

Marta Ortega Pérez


INDITEX

2. CEO's statement

Inditex is a company with a powerful corporate culture and solid roots. The Group's strong performance in 2024, detailed throughout this Annual Report, is the result of these qualities, our refusal to settle and our innovative drive, which guide everything we do and allow us to navigate any environment, no matter how uncertain or complex, with confidence.

The directions the fashion world will take are difficult to predict. Fashion is, by definition, constant change and innovation. That gives us an advantage: our very business forces us to read and listen to our surroundings constantly in order to respond nimbly, adapt and provide our customers with what they want at any moment of time, always living up to the expectations of society. Our results for 2024, which are very positive, reflect our teams' dedication and success tackling these challenges.

In the last few months, specifically between 1 February 2024 and 31 January 2025, we delivered on the commitments we made to our stakeholders, as detailed throughout the various chapters of this report. Our collections were once again warmly welcomed by our customers: Group revenue increased by 7.5% year-on-year, underpinned by growth across all our retail formats.

These achievements can only be explained by the talent of our designers and creative professionals and the performance of our sales, logistics and corporate teams. The mutual and complementary support provided by our physical stores and online platforms is another key differentiating factor, while all of our brands, without exception, launched innovative projects in 2024. Some aim to reach new customers, while others seek to get closer to their followers in new ways, offering them new experiences, each stamped with their own style and identity. We once again demonstrated that ambition and audacity, not being afraid to launch innovative proposals (some in partnership with prestigious designers and artists), form part of Inditex's identity.

Our brands' physical stores continue to enter new markets (reaching 97 in 2024), accompanied by more visits to our online platforms (over 8,000), more active app accounts (218 million) and more social media followers (257 million across all our brands). By the end of this year, we were selling our fashion proposals to customers in 214 markets thanks to our online reach.

Our execution was framed by efficiency, marked by a record gross margin and stringent control over operating expenses. Net profit was 9% higher than in 2023, while our net cash position topped €11.4 billion.

Getting ready for the future

2024 was also marked by intense work to get ready to take advantage of growth opportunities going forward. We are executing our 2024-2025 logistics expansion plan, increasing our capacity through projects for several of our retail formats in Zaragoza, Lelystad (Netherlands) and Valencia. These are strategic investments that uphold stringent sustainability standards and incorporate cutting edge technology.

In our model, the product and customer experience go hand in hand. That is something we are very much keeping in mind as we look to the future. That is why our brands are driving continuous improvements in the design and image of their retail spaces. All of our formats continue to assess new formulas for using their surface area by tapping into new ways of displaying our products and providing new customer experiences. The combination of technology and our teams' know-how when it comes to looking after each type of customer are the drivers underpinning these advances. Visiting any of our brands' stores will remain a special experience.

Continuous improvement and innovation also guided our progress on the sustainability front in 2024. We made important strides in the use of lower impact and recycled fibres, with the latter already accounting for more than one-third of the textile materials we use.

In this same vein, in 2024, we tightened our ties with promising startups specialised in next-generation fibres under different forms of partnership. We continue to offer them our knowledge of textile processes and fashion and access to our network of partners and suppliers so that they can scale up their activity and align their research and lines of initiative with market demands. In short, so that they can effect change.

Partnership is also the backbone of our Supply Chain Transformation Plan, launched last year. We are leveraging that plan to support and advise our suppliers and manufacturers so that they can meet more ambitious requirements around water management, chemical substances, waste and emissions. As a result of this and other initiatives, we made further progress towards a low-carbon economy: between 2018 and 2024, while our sales registered growth of 47%, our emissions came down by 5%. As for emissions generated by our own operations only, the reduction over that same timeframe increases to 88%.

Looking after our professionals

Facilitating our professionals' career development was a priority once again. Inditex's unwavering effort to do better is underpinned by our teams' commitment, dedication and passion for learning and innovating. In 2024, we provided our people with 3.3 million hours of training and filled 70% of our vacancies through internal promotions.

We remained committed to diversity and inclusion, achieving our goal of doubling the number of employees with disabilities over a two-year period and bringing our For&From platform to new markets. We made these inroads in a year in which Inditex signed the European Union's Diversity Charter, a commitment to fostering the principles of equality, diversity and inclusion in the workplace.

Committed to our surroundings

In 2024, we continued to work to have a positive impact on our business communities beyond the strict sphere of our organic influence as a fashion company. Our people devoted more than 353,600 hours to community initiatives. We supported 953 social and environmental programmes in partnership with 485 community organisations and initiatives.

The corresponding sections of this report outline the most important work done in our communities. I would like to use these lines to specifically recall the tragic floods that engulfed Valencia last October, which affected members of our team and had an extremely hard impact on one of our closest communities.

How Inditex sees the future

The various chapters of this report give a very detailed account of our Group's activities and performance throughout 2024. They also provide a snapshot of how Inditex sees a future filled with major opportunities:

- With a family of well-differentiated retail formats empowered to act autonomously both creatively and commercially;
- With a broad web of partners and suppliers located in dozens of areas;
- With a powerful sales reach so that we can bring our responsibly-made, sophisticated fashion propositions all over the world.
- And with a shareholder and financial structure that locks in the stability and strength needed to continue to invest, changing and innovating as needed.

That is how the creative, international and varied adventure that is Inditex welcomes in 2025, the year in which we will celebrate the 50th anniversary of the first Zara store. We are ready to continue to create quality fashion that helps make people's lives that little bit better.

Óscar García Maceiras
Chief Executive Officer

3. Inditex at a glance

Key data in 2024

214
markets

+8,000 M
visitors to the Group's online stores

Key indicators

38,632M€
net sales

5,866 M€
profit

11,495 M€
net financial position

4,797 M€
dividends

9,341 M€
total tax contribution

A unique team

162,083
employees

170
nationalities

73%
women

70%
of vacancies covered by internal promotion

+3,000
Changemakers
or in-house sustainability ambassadors

Corporate Community Investment

+134 M€
investment

+4.6 M
beneficiaries

7.2 M
donated items from our collections

+353,600
hours contributed by our people to social or environmental initiatives

Supply Chain

6,615
factories

1,817,233
reached by Workers at the Centre during the year

Headquarters effect

6,594
product and general services suppliers in Spain

7,632 M€
invoicing to suppliers in Spain

2024 milestones

Continuous improvement in commercial presence
We continue to improve our commercial presence in all commercial formats with such notable examples as the Zara Rossio store in Lisbon. Massimo Dutti Miami Aventura Mall, Bershka London Oxford Street, Pull&Bear and Oysho on Milan's Via Torino, Stradivarius Bogotá Calle 82, Zara Home Dubai Mall; along with the arrival of Oysho and Stradivarius in Peru, with stores in Lima Jockey Plaza.

Outstanding collaborations
Our brands feature innovative and trend-setting proposals by prominent designers and artists, such as Massimo Dutti's collaboration with renowned artist Marina Abramović for Miami Art Week 2024 to mark the brand's arrival in the US market, Zara's collections with designer Stefano Pilati and with model Kate Moss, Stradivarius' initiatives with Iranian designer Safu Seghatoleslami or Danish designer Jane Kønig, Bershka's venture with British creative director Jamie Reid, or that of Zara Home with Lucinda Chambers, co-founder and creative director of Collagerie.

Store image in constant renovation
The new store design created by Zara's Architecture Studio is reflected in openings, extensions and relocations such as Madrid Hermosilla, Valladolid Constitución, Liverpool One, Dublin South King, Birmingham Bullring, Istanbul Istinye, Thessaloniki Tsimiski, Los Angeles Topanga and Bangalore Mall of Asia. Pull&Bear, meanwhile, has cemented its renewed store image at the flagship store in Rotterdam (the Netherlands), with a large surface area, and in Beaugrenelle shopping mall in Paris (France), with its multi-dynamic space. Oysho has brought its new brand image to the renovation of its flagship store in Plaza de Lugo, A Coruña.

Recognition as an employer
Inditex obtained 'Top Employers' certification in 12 of our most important markets, a distinction granted to companies that place their people at the centre of what they do, creating working environments that generate a sense of belonging, in which they feel accepted, are free to express their ideas and are listened to.

Innovation in sustainability
Inditex has announced a capital investment in Galy, a US startup that has developed innovative technology for lab-growing cotton from cotton stem cells. In August 2024 we launched our second CIRCxZara collection, designed by Zara Studio and made from textile waste. It was also agreed to make an investment in Epoch Biodesign, a startup that uses artificial intelligence to design enzymes that allow the recycling of plastic and textile materials, and in Infinited Fiber, a startup specialised in the recycling of cellulosic materials and creator of Infinna™. Both are alternative to transform waste into new materials, promoting textile-to-textile circularity.

Logistics Expansion Plan
In light of the significant opportunities for future growth, Inditex is implementing a Logistics Expansion Plan in 2024 and 2025. This extraordinary two-year investment programme focused on business expansion allocates 900 million euros to boost our logistics capacity in each of the financial years 2024 and 2025. The main projects will be: a new Zara distribution centre in Zaragoza and an extension to the one in Lelystad (the Netherlands); a new Bershka distribution centre in the region of Valencia and a new Tempe distribution centre in Sagunto (Alicante). These investments meet the strictest sustainability standards and include cutting-edge technology.

Support to those affected by the floods in Valencia
Inditex donated four million euros to the Red Cross and Caritas to support persons hit by the humanitarian emergency. Likewise, more than 350,000 items (clothing, footwear and household kits) were delivered to the Red Cross, Caritas and Fundación Entreculturas to be distributed in the affected area.

Inclusion of people with disabilities
We met our goal set in 2023 of doubling the number of people with disabilities in our workforce. Thus, at the end of 2024, at Inditex we directly employ 3,142 people with disabilities. We promote sustainable hiring with a long-term strategy, ensuring inclusive selection processes for people with different types of disabilities.

Commitment to diversity
We participated in the European Diversity Month, organised by the Diversity Foundation and the Representation of the European Commission in Spain. At this event, Inditex signs the European Diversity Charter in Spain, a commitment based on the promotion of the principles of equality, diversity and inclusion in the workplace.

Renewal of the collaboration with Médicins Sans Frontières (MSF)
The Group contributed a further 2.5 million euros to this organisation's emergency relief, humanitarian and refugee and migrant care programmes. Since 2008 we have earmarked more than 37 million euros for this cooperation, supporting numerous medical-humanitarian response projects in various parts of the world.

Biodiversity protection through The Great People's Forest
Inditex contributed three million euros to The Great People's Forest, one of the largest nature restoration initiatives in southern Asia. This project focuses on conservation in the Eastern Himalayas region, in which more than a billion people reside and which provides one-twelfth of all the Earth's biodiversity. It is important to highlight the mobilizing capacity of this initial contribution.

Nurturing creative talent
By launching the Creatives initiative we identify and foster a talented new generation of designers in our creative teams.

In tandem with the world's top fashion schools, we seek out new talent to whom we offer a unique training and professional development experience, furnishing them with the key tools to overcome the challenges of a constantly evolving industry.

We updated our Code of Conduct
The Group updated and added new commitments to the Code of Conduct that governs our activity, always grounded upon five essential principles: Respect, Honesty, Integrity, Transparency and Responsibility.

Expansion of the for&from project
The for&from project for the inclusion of people with disabilities continues its expansion with the opening of stores in Lisbon (Portugal) and Mexico City (Mexico). The store located in Lisbon, with Zara Home products, is a favourable environment for the social and labour integration of the 17 people on the staff and is carried out in conjunction with the community organisation Asociación VilacomVida. The for&from store in Mexico City, which offers shoes and accessories from several of our brands in collaboration with Tempe, is managed by CONFE.

Continuous improvement in labour practices in partnership with UNI Global
Inditex and the trade union federation UNI Global Union -which represents 20 million workers in more than 150 countries- renewed their Global Agreement to implement best labour practices. The new framework addresses challenges such as the inclusion of workers with disabilities, as well as combating sexual harassment and gender-based violence.

4. General disclosures

[ESRS 2]

BP. Basis for preparation

BP-1. General basis for preparation of the Report

BP-1_01

In the **2024 Consolidated Statement of Non-Financial Information and Sustainability Information**, we present information concerning the sustainability performance of the Inditex Group (hereinafter also the 'Group', the 'Inditex Group' or the 'Company') —which includes the individual companies consolidated under the Group parent company, Industria de Diseño Textil, S.A. (Inditex, S.A.)— in the financial year 2024 (from 1 February 2024 to 31 January 2025).

Accordingly, we present our Annual Report 2024, including the Inditex Group's Consolidated Annual Accounts, followed by the Consolidated Directors' Report, also comprising the Consolidated Statement of Non-Financial Information and Sustainability Information (hereinafter, the 'Report').

BP-1_02

With regard to the scope of information reported in the Report, it includes all the companies over which the Inditex Group has control or joint control, listed in *Annex I* of the Consolidated Annual Accounts. Any changes therein with respect to 2023 are specified in *Note 3* to the Consolidated Annual Accounts. The jointly controlled entities, which are the entities that make up the Tempe Group (see *Note 28* to the Consolidated Annual Accounts), they are included in this Report at 100% in all reported metrics, unlike in the individual annual accounts, where they are booked using the equity method.

BP-1_03

Considering that this Report contains consolidated information for all the Group companies, all the individual companies that consolidate under the parent company of the Group, Industria de Diseño Textil, S.A. (Inditex, S.A.) are exempt from publishing an independent report under the framework of Spanish Act 11/2018 and under the European Corporate Sustainability Reporting Directive (CSRD).

BP-1_04

The Consolidated Statement of Non-Financial Information and Sustainability Information includes important information about the Company, from the operations themselves (such as the design of our garments and the physical and online sales), to the various stages of the value chain (including both upstream and downstream activities).

The report includes additional information regarding the scope of the indicators referring to the value chain. The breakdown of the relevant metrics is provided in the *Methodological Annex.*

BP-2. Disclosures in relation to specific circumstances

Reporting framework

BP-2_16;
BP-2_17

Through this Report we fulfil the legislative requirements of the Spanish legislation in force, Act 11/2018, on non-financial information and diversity, and we also meet, voluntarily and in advance, the requirements of the CSRD Directive as well as the European Sustainability Reporting Standards (ESRS), which are applicable to us based on our materiality assessment.

Accordingly, this report follows ESRS structure and takes as a reference the 'IG 3: List of ESRS Datapoints' guidance issued by the European Financial Reporting Advisory Group (EFRAG). The correlation with applicable material datapoints is shown in the left-hand margin of the report.

ⓘ More information on the correlation of requirements reported can be found in the *Contents Indexes* section of this Report.

We also comply with the EU Taxonomy Regulation (Regulation (EU) 2020/852 of the European Parliament and of the Council on the establishment of a framework to facilitate sustainable investment).

In addition to responding to legal requirements that apply to Inditex, we also follow the guidelines of the main reporting initiatives and entities, such as:

/ Principles of the Sustainability Accounting Standards Board (SASB) framework

/ Global Reporting Initiative (GRI) Standards or GRI Standards

/ Recommendations of the Task Force on Climate-related Financial Disclosures (TCFD)

/ The principles of the International Integrated Reporting Framework

How we report

Time horizons

BP-2_01;
BP-2_02

Time horizons referred to in this Report correspond to those established in ESRS 1, section 6.4. This means:

/ **Short-term:** the reporting period in the financial statements, 12 months from the end of the financial year.
/ **Medium term:** from the end of the reporting period up to five years later.
/ **Long term:** more than five years.

For the specific case of the presentation of information relating to chapter *E1. Climate Change*, the time horizons shown differ from these since their definition, which was prior to the entry into force of the CSRD Directive, is in keeping with best practices in disclosure —such as the Task Force on Climate-related Financial Disclosures (TCFD) framework— based on the consideration that the definitions provided best reflect the potential occurrence of climatic events.

The following time horizons are specifically used in this case:

/ Short-term: up to five years.
/ Medium term: between five and ten years.
/ Long term: more than ten years.

However, for the purposes of the materiality assessment, the time horizons of the climate-related impacts, risks and opportunities have been reconciled with those provided in ESRS 1.

Calculation methodology

BP-2_03;
BP-2_04;
BP-2_05

The information on the reported sustainability indicators corresponds to primary, secondary or modelled data[2], expert opinion or a combination of those. When source data are not available, estimates or assumptions based on trends in actual data, as well as information from external sources, are used, provided that there is a reliable source of information and its use is supported by industry or subject experts and that the estimated information meets the qualitative information requirements as defined in ESRS 1.

These estimates are used mainly to disclose emissions and consumption throughout the value chain, as well as to report information relating to raw materials source data, the direct measurement of which is hard to access, given its geographical and operating diversity.

The *Methodological Annex* includes the calculation methodology and scope of the information reported on the metrics and targets and —specifically for the value chain indicators— details on the use of indirect information sources used in their preparation along with the degree of estimation.

BP-2_06

Consequently, it should be noted that the methodologies currently used in the reporting and calculation of sustainability indicators will continue to evolve going forward. Hence, as we move towards globally harmonised reporting, it may be necessary to restate historical data as well as future pathways in the next few years. In particular, for indicators on the value chain, there are currently difficulties in obtaining rigorous and comprehensive information. Nevertheless, in the next few years an improvement in the availability of information is planned, along with the future development of new data sources.

BP-2_07;
BP-2_08;
BP-2_09

On the other hand, throughout this Report, for those metrics that are subject to a high degree of uncertainty, the reasons for said uncertainty have been specified, along with the measurement methodology if applicable (including assumptions and approximations made).

It is also important to highlight that in preparing the Report various future projections were made which, by nature, involve a high degree of uncertainty and inherent risk.

[2] Primary data is defined as data obtained directly from the original source, secondary data as data obtained from bibliographic sources, and modelled data as data obtained from mathematical models in which both primary and secondary data may be used.

Modifications with respect to previous years

BP-2_10; BP-2_12; BP-2_13; BP-2_14

The historical values reported may be subject to changes from those reported in previous years. These modifications may be due to methodological updates, changes in data sources, correction of inaccuracies or other issues. In such cases, and where practicable, we have restated the information from previous years to make it comparable.

ⓘ More information on the indicators subject to modifications can be found in the *Methodological Annex* of this Report.

References to other documents

BP-2_20

It should be noted that in the Consolidated Statement of Non-Financial Information and Sustainability Information no content required by ESRS has been incorporated by reference. However, throughout the document, cross references are included between the different sections of the Report where related information can be found.

In addition, at Inditex we also have public contents where some of the issues dealt with in this Report are expanded. In these specific cases, references have been included to the additional communication materials that are available on our corporate website, remaining outside the scope of the external verification.

External assurance

BP-2_18; BP-2_19

The information included in the Consolidated Statement of Non-Financial Information and Sustainability Information has been verified by an independent third-party, Ernst & Young. The scope and results of this independent verification are described in the Verification Report attached hereto.

This Report has been reviewed in accordance with generally accepted professional standards applicable in Spain and specifically with the guidelines contained in Guidelines 47 Revised and 56, issued by the Instituto de Censores Jurados de Cuentas (ICJCE) of Spain on non-financial information verification assignments and considering the content of the note published by the Instituto de Contabilidad y Auditoría de Cuentas (ICAC) on December 18, 2024, based on ISSA 5000 and the non-binding guidelines of COESA.

ⓘ More information in section *9. Independent Verification Report* included in this Report.

GOV. Governance

GOV-1. The role of the governing bodies

Group's Corporate Governance System

Inditex has a Corporate Governance System comprising a series of bodies, rules, procedures and mechanisms to guarantee that the directors and the management team, who are responsible for the governance of the Company, carry out their duties in a diligent, ethical and transparent manner, and are accountable for their activity, which is subject to verification and control, both internal and external. At the same time, it ensures that no individual or small group of individuals holds decision-making power within the Company that is not subject to checks and balances, and that no shareholder receives privileged treatment over other shareholders.

At present, Inditex's Corporate Governance System fully complies with the regulatory requirements set forth in the applicable legislation, and fully adheres to the recommendations outlined in the Good Governance Code (GGC) of Listed Companies of the Spanish National Securities Market Commission (CNMV).

In addition, in 2024, the Group obtained the highest score in the Good Corporate Governance Certification from AENOR, which verifies a high degree of compliance with the best practices applicable in this area.

Organisation of our Governing Bodies

General Meeting of Shareholders

Board of Directors

Audit and Compliance Committee
Nomination Committee
Remuneration Committee
Sustainability Committee

Cybersecurity Advisory Committee
Social Advisory Board

General Meeting of Shareholders

The General Meeting of Shareholders duly convened and with a quorum present in accordance with all statutory requirements and those provided for in its own Regulations, is the supreme and sovereign body for the expression of the corporate will. .

Inditex's 2024 Annual General Meeting (hereinafter, also the '2024 AGM') was held on 9 July 2024 in hybrid format, with in-person and remote attendance and participation. Agenda items included the approval of the Annual Accounts and the grant of discharge to the directors of the Company.

ⓘ More information on the regulation, organisational and operational rules and the details of the resolutions passed at the 2024 AGM in section *B. General Meeting of Shareholders* of the Annual Corporate Governance Report.

Board of Directors

Except for any matters reserved for the General Shareholders Meeting, the Board of Directors is the Company's highest decision-making, supervisory and monitoring body. It has been entrusted with corporate management, administration, operation and representation, generally delegating the management of Inditex's day-to-day business to the management team and the internal committees. Its activity concentrates on the general function of oversight, which includes guiding Inditex's strategy and approving its policies, monitoring the management bodies, assessing the performance of the directors, adopting the most important decisions for the Company and liaising with shareholders.

Organisation and operation of the governing bodies

GOV-1_01;
GOV-1_02;
GOV-1_07

The composition of the Board of Directors at the end of the financial year was as follows:

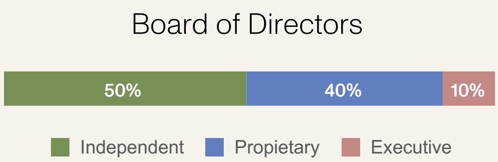
Ms Marta Ortega Pérez
Non-executive Chair

Mr José Arnau Sierra
Deputy Chair

Mr Óscar García Maceiras
Chief Executive Officer

Mr Amancio Ortega Gaona
Founder - Proprietary Director

Ms Flora Pérez Marcote
Proprietary Director



Ms Pilar López Álvarez
Independent Director

Ms Belén Romana García
Independent Director

Mr José Luis Durán Schulz
Independent Director

Mr Rodrigo Echenique Gordillo
Lead Independent Director

Bns. Denise Patricia Kingsmill
Independent Director

Mr Javier Monteoliva Díaz
Secretary non-member

Accordingly, the Board of Directors of Inditex comprises one executive director and nine non-executive directors, of whom four are proprietary and five are independent. Based on the foregoing, there is an ample majority of non-executive directors on the Board and the number of independent directors represents 50% of all members, all in accordance with the GGC recommendations and applicable best practices.

GOV-1_03

There is no direct worker representation on the Company's administrative, management and supervisory bodies, as this is not mandatory under Spanish law and applicable good governance recommendations, unlike in other jurisdictions, nor is it standard market practice among comparable Spanish companies. However, the Company pursues dialogue and relations with its employees through various channels and initiatives, which are described in this Report.

GOV-1_08;
GOV-1_09

Board of Directors Committees

To carry out its supervisory duties, the Board of Directors has a series of committees (some of them statutory in nature for being mandatory), internal and permanent bodies, for informative and consultative purposes. They do not have executive functions, but powers of reporting, supervision, advice and proposal within the scope of the duties assigned to them.

These committees are comprised solely of non-executive directors, most of whom must be independent directors.

Sustainability Committee
This Committee, whose existence is not mandatory, was created in 2019 to foster the Group's sustainability strategy.

The main mission of the Sustainability Committee is to support the Board of Directors in aspects relating to the Group's sustainability practices, by supervising its strategy and overseeing proposals in this area, in the social, environmental areas and the area of health and safety of the products marketed by the Company, or by any Group company, as well as to foster the commitment to the Sustainable Development Goals. It is also the body responsible for overseeing effective liaisons with stakeholders in the field of sustainability.

The Committee is also vested with certain powers in connection with the supervision of the process of preparing the sustainability information that the Company discloses publicly (with the scope and limitations detailed below).

Pursuant to the Sustainability Committee's Regulations, its members are appointed in such a way as to ensure that they — and in particular its chair— have the knowledge, expertise and experience to match the functions they are called upon to perform, including, among others, in connection with sustainability, social action initiatives, sustainable management of resources and the design of stakeholder communication policies.

The composition of the Committee at the reporting date was as follows:

Member	Position	Directorship type
Bns. Denise Patricia Kingsmill	Chair	Independent
Mr José Arnau Sierra	Ordinary Member	Proprietary
Ms Pilar López Álvarez	Ordinary Member	Independent
Ms Belén Romana García	Ordinary Member	Independent

Audit and Compliance Committee

The main mission of the Audit and Compliance Committee is to oversee and monitor the independence of the statutory auditor and the effectiveness of the enterprise risk management system covering both financial and non-financial risks — without prejudice to the ultimate responsibility of the Board of Directors. It also has powers of oversight and assessment over the process of compiling and presenting the financial and non-financial (sustainability and corporate governance) information included in the mandatory annual reports, and of the independent verification of that information. These tasks are carried out in coordination with the Sustainability Committee in connection with the matters within its purview (as described below).

In accordance with the provisions of the Audit and Compliance Committee's Regulations, the members of the Committee as a whole —and in particular its chair— must be appointed in consideration of their knowledge and experience in accounting, auditing and risk management, both financial and non-financial, as well as their industry-specific knowledge.

The composition of the Committee at the reporting date was as follows:

Member	Position	Directorship type
Mr José Luis Durán Schulz	Chair	Independent
Mr José Arnau Sierra	Ordinary Member	Proprietary
Bns. Denise Patricia Kingsmill	Ordinary Member	Independent
Ms Pilar López Álvarez	Ordinary Member	Independent
Ms Belén Romana García	Ordinary Member	Independent
Mr Rodrigo Echenique Gordillo	Ordinary Member	Independent

Nomination Committee

The main purpose of the Nomination Committee is to help attract and retain talent in the Company, ensuring that the Company has the best professionals in its governing bodies and Senior Management and that the applicable selection policies are consistent with the Company's strategy.

The composition of the Committee at the reporting date was as follows:

Member	Position	Directorship type
Ms Belén Romana García	Chair	Independent
Mr José Arnau Sierra	Ordinary Member	Proprietary
Ms Pilar López Álvarez	Ordinary Member	Independent
Mr José Luis Durán Schulz	Ordinary Member	Independent
Mr Rodrigo Echenique Gordillo	Ordinary Member	Independent

Remuneration Committee

The Remuneration Committee's main mission is to help attract and retain talent in the Company through the remuneration policies applicable to directors and members of senior management.

The composition of the Committee at the reporting date was as follows:

Member	Position	Directorship type
Mr Rodrigo Echenique Gordillo	Chair	Independent
Mr José Arnau Sierra	Ordinary Member	Proprietary
Bns. Denise Patricia Kingsmill	Ordinary Member	Independent
Mr José Luis Durán Schulz	Ordinary Member	Independent

ⓘ More information on the rules governing the organisation and operation of the Board of Directors and of the Committees in section *C. Company management structure* of the Annual Corporate Governance Report.

Other relevant internal bodies

The Company has a series of permanent internal, consultative bodies, without executive functions, with powers to inform, advise and make proposals to the Company's governing and management bodies, as they discharge their duties.

These bodies are composed entirely by persons from outside the Company to provide strategic and independent advice to the Group's governing bodies on key issues for the Company.

Cybersecurity Advisory Committee

The Cybersecurity Advisory Committee is the independent expert advisory body on information security and, in particular, cybersecurity. This Committee supports and advises the Board —through the Audit and Compliance Committee— and the Chief Information Security Officer (CISO) on such matters so as to ensure an effective system for protecting the Group's information.

The composition of the Committee at the reporting date was as follows:

Member
Mr Christopher Cox Krebs
Ms Hazel Dolores Díez Castaño
Mr José Manuel González-Páramo Martínez-Murillo
Mr Herbert Hugh Thompson
Ms Maria Markstädter
Ms Marene Nyberg Allison
Mr Juan Alberto Yépez

Social Advisory Board

The Social Advisory Board is the expert advisory body on sustainability, both social and environmental, and provides support and advice to the Board —through the Sustainability Committee— and to the Management on these matters. The Social Advisory Board also arranges and institutionalises dialogue with those spokespersons considered key in the civil society in which we develop our business model and plays, in addition, an important role in our double materiality assessment.

The composition of the Social Advisory Board at the reporting date was as follows:

Member
Ms Paula Farias Huanqui
Ms Cecilia Plañiol Lacalle
Mr Ezequiel Reficco
Mr Jean Jacques Salaun
Mr Francisco Javier Sardina López
Mr Victor Viñuales Edó

Management Committee

Inditex's Management Committee is responsible for coordinating the company's management and supports the CEO in the exercise of his duties. Although it has no delegated executive functions, this Committee was set up to promote, in keeping with best practices, an environment of collegiate decision-making at the most senior level, as well as the exchange of opinions and considerations among directors.

The Management Committee has comprised those Group executives who are deemed able to provide a vision conducive to a comprehensive understanding of the Group's reality at all times, thus underpinning the management and implementation of the Group's strategy.

Its composition at the reporting date is as follows:

Member	Position
Mr Miguel Díaz Miranda	Chief Financial Officer & Chief Operating Officer, Zara
Mr Ignacio Fernández Fernández	Chief Financial Officer
Mr Antonio Flórez de la Fuente	Bershka Director
Mr Javier García Torralbo	Chief Digital Officer
Ms Begoña López-Cano Ibarreche	Chief People Officer
Mr Javier Losada Montero	Chief Sustainability Officer
Ms Beatriz Padín Santos	Zara Woman Director
Mr Jorge Pérez Marcote	Massimo Dutti Director
Mr Óscar Pérez Marcote	Zara Director
Mr Jordi Triquell Valls	Stradivarius Director

Diversity in our governing bodies

Diversity in the governing bodies ensures there are multiple perspectives, helping to identify risks and opportunities and, therefore, to achieve corporate objectives. It also encourages the promotion of equal opportunities across the organisation, nurturing a diverse and inclusive workplace.

In this regard, at Inditex, we have: (i) the Diversity and Inclusion Policy, which establishes the framework that promotes the values of diversity, multiculturalism, acceptance and integration in all the Group's entities and is driven by the most senior levels of the Company, and (ii) the Diversity of Board of Directors Membership and Director Selection Policy, which sets forth the criteria for the selection of directors to guide the activities of the relevant corporate bodies.

Furthermore, in accordance with applicable best practices, the Company has a Board Skills Matrix, which identifies the skills of the members of the Board of Directors at any given time, in terms of education and professional experience, among other aspects. The Skills Matrix is updated periodically and whenever there is a change in the composition of the Board. Therefore, the matrix is a useful tool for establishing the criteria for the possible assessment of new candidates.

The Nomination Committee is the Board specialised committee involved in the process of selection, nomination, ratification and re-election of our directors, ensuring an appropriate composition of the Board and its Committees. With regard to gender diversity, the Committee has consistently strived to achieve and retain high levels of female representation on the Board of Directors, as can be seen in the following table:

GOV-1_04;
GOV-1_05;
GOV-1_06

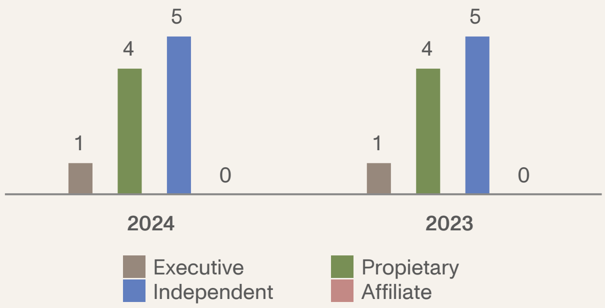
Percentage of women represented in the governing bodies

Governing Body	2024	2023
Board of Directors	50%	50%
Audit and Compliance Committee	50%	50%
Nomination Committee	40%	40%
Remuneration Committee	25%	25%
Sustainability Committee	75%	75%

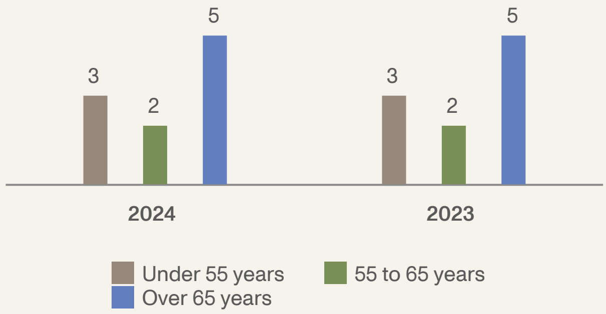
Therefore, the Company currently has an equal representation of men and women on Inditex's most senior governing body, which is above the target established for the least represented gender on the boards of directors of listed companies, as provided in Spanish Organic Law 2/2024, of 1 August, on the equal representation and balanced presence of women and men, which transposes Directive (EU) 2022/2381 of the European Parliament and of the Council of 23 November 2022 on improving the gender balance among directors of listed companies and related measures.

Main diversity indicators of the Board of Directors of Inditex for financial year 2024 and their performance

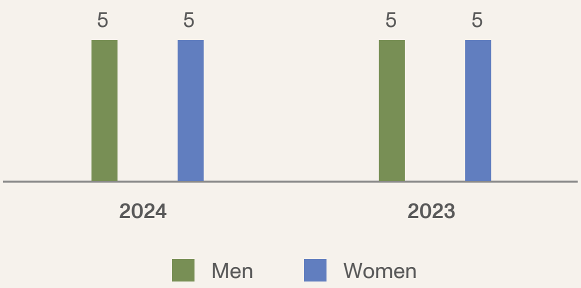
Directorship type



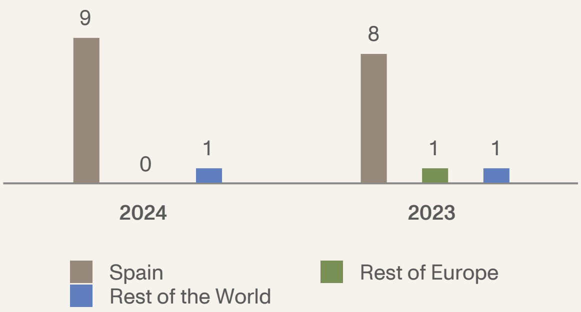
Age



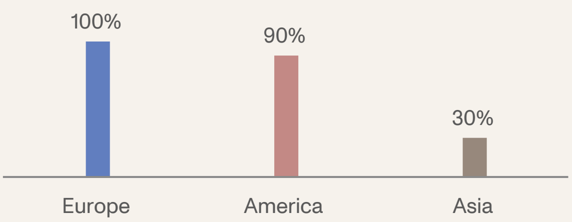
Gender



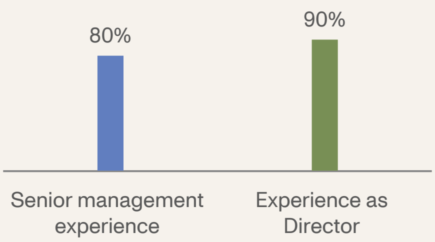
Geographic origin



International experience/ Education

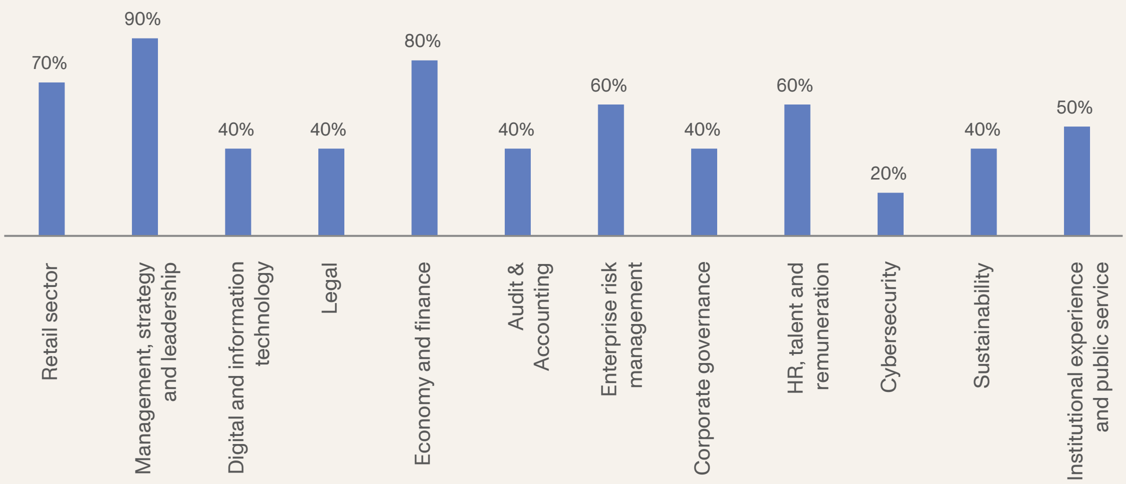


Previous experience



GOV-1_16

Board of Directors Skills Matrix



ⓘ The CV of the members of the Board of Directors is available in the ‘Shareholders’ section of ‘Corporate Governance - Board of Directors’ of our corporate website.

GOV-1_15;
GOV-1_17

Overall, in accordance with the updated Board Skills Matrix, the structure and current composition of the Board of Directors to this date is deemed to maintain a high level of balance, stability and diversity that is materialised in the form of an equal presence of men and women and an adequate balance of skills, knowledge and experience, appropriate to the interests of the Group.

In addition, the Company provides its directors with a continuous training programme, ITX Board Academy, to ensure that they are kept abreast and to supplement and reinforce their knowledge in connection with current topics (such as legal developments with an impact on the Group). In 2024, directors received training from prestigious external advisors in connection with the following key areas for the Company: (i) the new scenario-based Risk Management methodology; (ii) the Directors and Officers Civil Liability Insurance, better known as D&O insurance; and (iii) other aspects of sustainability related to climate change, due diligence and human rights, approached from a holistic point of view, including assessment of the risks and opportunities associated therewith.

Likewise, to ensure adequate oversight, the Board and the committees are empowered to seek advice from external advisors whenever deemed necessary.

ⓘ More information on the Company's diversity policies and the role of the Nomination Committee in this area in sections *C. Company management structure C1.5 to C.1.7* of the Annual Corporate Governance Report.

Main roles and responsibilities of governing bodies in relation to the oversight of strategy, risks and opportunities

Definition and oversight of targets and strategy based on risks and opportunities

GOV-1_10;
GOV-1_11;
GOV-1_12;
GOV-1_13;
GOV-1_14

Inditex’s Board of Directors undertakes the general function of strategic guidance, with a particular focus on strategic impact issues affecting the business.

For this purpose, the Board of Directors examines the regular reports from the Chair and the CEO outlining a range of financial, operational, business and sales aspects of the Group. In particular, the CEO addresses, among other aspects, matters relating to: (i) snapshot of the current business situation and, in particular, the fulfilment of strategic objectives, (ii) the Management Committee’s strategic thinking and main lines of action in this area, (iii) the foremost conclusions and viewpoints gleaned from the quarterly meetings held with investors and analysts, (iv) the evolution of the industry as a whole and of other comparable companies, and (v) the main projects of a more strategic and/or reputational kind (when these do not require express approval by the Board of Directors).

As a cornerstone, the directors and managers of the various brands and subsidiaries are encouraged to appear quarterly to monitor and analyse the performance and outlook of the business in relation to the various commercial concepts and the different markets where the Group operates. The same goes for corporate directors and managers who, together with the CEO, are responsible for establishing the general strategies and policies (for example, concerning Sustainability, People and Innovation) and their related objectives, periodically and whenever they require discussion and/or updating. This gives the Board of Directors a comprehensive and timely overview of business developments and expectations, major risks and related opportunities and targets.

Furthermore, the members of the Sustainability, Remuneration and Nomination committees, including their chairs, also serve on the Audit and Compliance Committee. The overlapping presence of directors on these committees and the report that each committee chair submits to the Board of Directors regarding the main issues discussed at their respective meetings ensure that the most relevant issues on these topics are taken into consideration in the deliberations of the Audit and Compliance Committee and of the Board, allowing for a better identification of the risks and opportunities associated with these matters.

Risk management

The Board of Directors is responsible for overseeing the development and outlook of the business, including the related risks, and is generally in charge of steering the strategy.

One of the main functions of the Audit and Compliance Committee is to support the Board in the oversight and assessment of financial and non-financial risks, such as those arising from the Group's actions pertaining to its social and environmental sustainability practices, or the use of new technologies, such as cybersecurity risks, etc., as well as in monitoring the effectiveness of enterprise risk management systems.

In any event, for an adequate risk control, the Audit and Compliance Committee's agenda is planned annually on the basis of overseeing the most salient risks for the Company, in accordance with the updated performance report, and as identified in the Group's Risk Map.

In this connection, the head of the Enterprise Risk Management department reports regularly to the Committee to outline the critical risks (i.e. those that may affect business performance, included in the Risk Map, and/or those that have undergone significant changes in the annual risk review and that have worsened), and to report on the control mechanisms established for their adequate management and control.

In addition, the head of the Enterprise Risk Management department reports to the Committee whenever there is exposure to a given critical risk, together with the managers and heads of of the Company and/or the relevant control areas.

Oversight functions

The Company also has a number of assurance functions which have their own risk prevention and control models, in connection with cybersecurity risk, compliance risk (including criminal risk), and personal data protection and privacy, as well as those associated with the process of compiling the Group's financial and non-financial information so as to reasonable ensure the accuracy thereof.

/ **Compliance:** the Chief Compliance Officer reports periodically to the Audit and Compliance Committee regarding the enforcement of the Codes of Conduct and the findings of the supervision of the Inditex Group's Model of Criminal Risk Prevention and the actions for implementing the Global Compliance Model. More information on the scope of the Compliance function's report to the Committee can be found in section *G1-1. Corporate culture and business conduct*.

/ **Cybersecurity:** the CISO reports on matters under their purview to the Audit and Compliance Committee on a half-yearly basis and, when so required, to the Board of Directors.

/ **Data Protection and Privacy:** the head of the Data Protection and Privacy department and the Group's Data Protection Officer appear before the Committee to report on, among other aspects, the strategy, data protection and privacy risk management, the main projects and initiatives, the Annual Work Plan, the annual budget and the human and material resources of the function as well as the monitoring of its Privacy Framework.

/ **Financial Information and Sustainability Information Control Systems:** within the framework of the supervision of the process of preparing and presenting the financial and sustainability information, the Audit and Compliance Committee periodically receives information concerning the efficacy of those systems from the area head.

Internal Audit function

The Internal Audit Function provides the Board of Directors, the Audit and Compliance Committee and senior management with assurance, advice, knowledge and prospective vision on the suitability and effectiveness of the governance, risk management and control processes for the Inditex Group.

It is part of the organizational structure through its functional dependence on the Audit and Compliance Committee and its hierarchical dependence on the non-executive President of the Board, which makes it possible to exercise its function independently and objectively. The scope of Internal Audit services covers the entire Group.

In the exercise of its functions, Internal Audit coordinates with other second-line functions of the Company, such as the Risk Management or Compliance Departments. It also assists the Audit and Compliance Committee in its work of supervising the external audit services of financial information and external verification of sustainability information, coordinating said services.

The Audit and Compliance Committee oversees the function, including, among others, its authority, its responsibilities, the scope of its services and the adequacy of its human and material resources, approving its budget. It also ensures independence and objectivity in the exercise of its powers. Approves the Annual Internal Audit Plan, ensuring that its activity is focused primarily on the relevant risks of the Group, including reputational risks, and that it is appropriate for the needs of the Company.

The Chief Internal Audit Officer reports quarterly to the Audit and Compliance Committee about the degree of compliance with the Annual Plan, including possible changes and deviations, incidents and limitations to the scope that may arise in its development, as well as about the work carried out in the different areas of the audit activity and the recommendations issued (with the corresponding action plans, which are monitored). The Audit Committee verifies that senior management takes into account the conclusions and recommendations derived from the reports issued by Internal Audit.

Finally, the Audit and Compliance Committee evaluates the operation of Internal Audit and the performance of its manager at the end of each year.

GOV-2. Information provided to governing bodies and sustainability matters addressed

GOV-2_01;
GOV-2_02;
GOV-2_03;
GOV-2_04

Sustainability governance

Board of Directors

Body responsible for approving Inditex's sustainability strategy.

EXECUTIVE BODIES

Chief Executive Officer

/ Addresses all aspects related to the operation of the business: defining the sustainability strategy.

/ Reports at least quarterly to the Board of Directors.

Management Committee

/ Body responsible for coordinating the Company's management and supports the CEO in discharging his duties.

/ Addresses all aspects related to the operation of the business: driving the sustainability strategy.

Chief Sustainability Officer

/ The Chief Sustainability Officer is part of the Senior Management of Inditex and member of the Management Committee.

/ Reports hierarchically to the CEO and reports to the Sustainability Committee on a quarterly basis and, where appropriate, to the Board of Directors and to the Audit and Compliance Committee on sustainability, including social, environmental and product health and safety issues, and in relation to climate change and associated risks.

/ Establishes the strategy and identifies tolerance to risks (approved by the Board) related to sustainability, including climate-related risk.

/ Oversees the implementation of the sustainability strategy and the achievement of associated objectives.

Sustainability Operating Committee

The Sustainability Operating Committee is the body in charge of coordinating and promoting the implementation of the sustainability strategy among the Group's different brands and business units. It is chaired by the Chief Sustainability Officer and comprises representatives from various relevant areas.

ADVISORY BODIES

Sustainability Committee

/ Body in charge of overseeing and controlling sustainability proposals in connection with human rights, social, environment and the health and safety of our products.

/ Monitoring sustainability strategy and practices.

/ Measuring and achieving sustainability objectives.

/ Body in charge of liaising with stakeholders in the field of sustainability.

/ Overseeing and evaluating the preparation of regulated and non-regulated non-financial information.

/ Reports to the Board of Directors on a quarterly basis.

Audit and Compliance Committee

/ Body responsible for overseeing and assessing financial and non-financial risks, such as those arising from the Group's actions in relation to its social, environmental and other sustainability practices, including climate change risks.

/ On an annual basis, this Committee oversees and assesses non-financial risks and its degree of tolerance, while ensuring that the risks are managed within the tolerance levels established by the Board.

/ Also responsible for overseeing and evaluating the preparation and integrity of the non-financial information and overseeing the independent verification of this information.

/ Reports to the Board of Directors on a quarterly basis.

Social Advisory Board

A collegiate body composed of external independent experts, which advises the Company in sustainability issues.

Ethics Committee

A Body reporting to the Board of Directors, that oversees compliance with Codes of Conduct. It is responsible for the Internal Information System and the management of the Ethics Line.

The Group's commitment to sustainability is reflected at the highest level of the Company, starting with the most senior governing bodies, with sustainability as a factor integrated in the decision-making process. In this regard, the Board is supported by a number of consultative and executive bodies, represented in the Group's management team, with the involvement, firstly, of the Chief Sustainability Office, who in turn is supported by the Social Advisory Board and the Sustainability Operating Committee.

As an informative and advisory Board committee, the Sustainability Committee is responsible for monitoring our social and environmental sustainability strategy and practices and verifying their compliance with the Sustainability Policy.

The Committee therefore regularly liaises with the CEO and Sustainability management, who define and establish the general sustainability strategy, its targets and the roadmap for achieving it. The Chief Sustainability Officer (CSO) reports, at least quarterly, on the degree of achievement of the strategic targets and the proposals and plans devised to achieve them, in the areas of human rights, social, environmental and product health and safety.

The CSO is also a member of the Inditex Management Committee —which reviews the strategy and business and investment plans in this area too— and chairs the Sustainability Operating Committee —the body in charge of coordinating and promoting the implementation of the sustainability strategy among the various brands and business units— at all times liaising directly with the different corporate and business areas responsible for its execution.

The Sustainability Committee is further tasked with the supervision of the process of preparing regulated and non-regulated sustainability information. With regard to the sustainability information included in the Directors' Report, this oversight is carried out in coordination with the Audit and Compliance Committee, which is responsible for the ultimate oversight and evaluation of the preparation process and the integrity of the sustainability information included in the Directors' Report, ensuring compliance with all legal requirements, and also dealing with the process of independent verification of this information.

Such coordinated action ensures a global view of the effective implementation of policies relative to their respective areas of competency, as well as enhancing transparency by improving the quality of sustainability information made available to the market.

In particular, the Sustainability Committee is responsible for evaluating whether the information included in the mandatory report is consistent with the Company's sustainability policies. As part of the sustainability reporting process, a double materiality assessment is carried out annually to identify the impacts, risks and opportunities that relate to our activity, strategy and business model. The findings of that assessment are reported to the Sustainability Committee, which must then ensure they are taken into account in the aforementioned sustainability reporting.

The result of this double materiality assessment is also taken into account by the Company's management when identifying sustainability risks and opportunities and defining its strategies and action plans. These issues, in turn, shape the agenda of matters addressed by Inditex's corporate bodies and, in particular, by the Board of Directors. In 2024 the Board has tackled the following matters in connection with sustainability, mainly through the reports submitted by the chair of the Sustainability Committee:

/ The approval of the different action plans and roadmap for the compliance with sustainability targets, such as:

- The Fibres Plan, concerning the goal of using lower-impact textile raw materials.
- The Cotton Strategy.
- The Climate Transition Plan, with respect to the net-zero target.

/ The analysis of the supply chain and its clusters

/ Monitoring of the new regulatory framework regarding sustainability reporting and due diligence.

/ The strategy in innovation and, in particular, in sustainability.

Moreover, in 2023 the Board of Directors approved the new sustainability targets presented by the management, which were subsequently announced by the CEO at the 2023 AGM, along with the Group's diversity and inclusion strategy, which is part of the Group's responsible action. These sustainability targets have gradually been added to the variable remuneration components of the Chief Executive Officer and other key positions in the Company.

The main activities carried out by the Board of Directors and the Sustainability and Audit and Compliance Committees in the performance of their respective duties in connection with sustainability and other material topics for the Group in accordance with the double materiality assessment are outlined below.

ⓘ More information on the activities of the Sustainability and Audit and Compliance Committees in section *C2.1* of the Annual Corporate Governance Report.

Activities of the Sustainability Committee:

Monitoring the social and environmental sustainability strategy and practices

- Approval of the Annual Activities Report of the Sustainability Department for 2023 and the annual work plan and budget of that department for 2024.

- Through the reports of the CSO and the CEO, quarterly monitoring of (i) the most relevant milestones and initiatives in these periods, and (ii) the degree of compliance with the sustainability targets in progress.

- Review and acknowledgement of the objectives and main lines of action of the various initiatives featured in the following plans promoted by the Sustainability Department: (i) Climate Transition Plan, (ii) Fibres Plan, and (iii) Cotton Strategy.

- Analysis of other matters, through the reports of the directors and heads of the different Sustainability areas: (i) the Group's supply chain, (ii) the analysis of the Clusters of the Group; (iii) analysis of the carbon footprint calculation methodology, (iv) sustainability innovation strategy and initiatives and (v) legislative updates in connection with due diligence and reporting, and the measures implemented to comply with them.

Oversight of the process of preparing and releasing regulated and non-regulated sustainability information

- Prior favourable report to the 2023 Statement on Non-Financial Information within the scope of its competency (as explained above). This Report was approved by the Board of Directors, also following a favourable report from the Audit and Compliance Committee, with regard to the oversight of the process for preparing this information and the findings of its verification by the external auditors.

- Monitoring of the status of preparedness of the Consolidated Statement of Non-Financial Information and Sustainability Information for 2024 under the new European reporting standards.

- Evaluation of the methodology and results of the double materiality assessment and verification that those results were taken into account in the Consolidated Statement of Non-Financial Information and Sustainability Information for 2024.

Activities of the Audit and Compliance Committee:

Activities in relation to risk oversight and assessment and effectiveness of control systems

- Report by the head of the Enterprise Risk Management department on the work and results of the Risk Map updating, in accordance with a new, scenario-based methodology. The Board of Directors approved the 2025 Risk Map update.

- Analysis on the working of the management systems in place and the conclusions reached, in relation to the risks identified in the Risk Map as critical or relevant. Thus, in 2024 the Audit and Compliance Committee has supervised and monitored the following risks: (i) work-related risks; (ii) risks arising from the geopolitical situation; (iii) third-party risks of the Group and its management model through the corresponding directors' reports; and (iv) risks related to the Group's logistics activity.

Besides, in relation to this risk supervision function, the Committee also carried out the following activities:

/ **Information Security:** approval of the Annual Work Plan and budget for 2024 for the function and, through the CISO reports, a half-yearly analysis of the level of cybersecurity maturity and monitoring of events of interest and incident management (previously analysed in the pertaining meetings of the Information Security Committee).

ⓘ More information on the Group's cybersecurity activity and on the main matters addressed by the Cybersecurity Advisory Committee in section *Additional information. Cybersecurity* of this Report.

/ **Supervision of the Compliance function and internal regulations reporting**: (i) acknowledgement of the periodic reports of the Chief Compliance Officer on the operation of the Global Compliance Model, compliance risk management and the main projects and initiatives (including training and awareness), (ii) approval of the Annual Work Plan for the year 2024, the annual budget and the human and material resources, as well as (iii) the favourable report on certain internal regulations, within its area of competence, prior to their approval by the Board of Directors.

/ **Oversight of the Model of Criminal Risk Prevention:** acknowledgement of the regular reports of the Ethics Committee about the supervision of the Model of Criminal Risk Prevention (i.e. the 2023 annual report and the report for the first half of 2024).

/ **Review of the Ethics Committee´s reports and proceedings:** review and acknowledgement of the Ethics Committee's regular reports on the main activities carried out by in relation to the Ethics Line (i.e. the 2023 annual report and the report for the first half of 2024) and quarterly follow-up of the evolution of the number of cases processed and concerns received through the Ethics Line.

/ **Data Protection and Privacy Report:** through the annual report of the Data Protection and Privacy department and the Group's Data Protection Officer, a monitoring and analysis was carried out on, among other aspects, the strategy, data protection and privacy risk management, the main projects and initiatives, the Annual Work Plan, the annual budget and the human and material resources of the function, as well as the operation of its Privacy Framework.

GOV-3. Integration of sustainability- related performance in incentive schemes

GOV-3_01;
GOV-3_02;
GOV-3_03;
GOV-3_04;
GOV-3_05

Inditex's Directors' Remuneration Policy for 2024, 2025 and 2026, currently in force, was approved at the Annual General Meeting held on 11 July 2023 ('Remuneration Policy') and is effective during the aforementioned years.

Directors' remuneration

The remuneration of directors in their capacity as such, in accordance with applicable best practices, is composed entirely of fixed components. Specifically, the Remuneration Policy establishes the items of annual fixed remuneration that directors may receive in their capacity as such, as well as the relevant amounts thereof, while this Policy is in effect.

Within this limit, which is set by the Annual General Meeting, the Board of Directors determines the manner and timing of payments, based on a proposal from the Remuneration Committee.

ⓘ More information on the principles, foundations and components of the Remuneration Policy, as well as on the remuneration of directors in their capacity as such in sections A and *B of* the Annual Report on Remuneration for 2024.

Remuneration of the Chief Executive Officer for his Senior Management duties

In addition to the remuneration received as a director of the Company, the CEO receives remuneration for the performance of his executive duties.

This remuneration package consists of a fixed component (the amount of which is determined by the Remuneration Policy), a short-term or annual variable remuneration component and a long-term or multi-year variable remuneration component, payable in cash and/or shares.

The Remuneration Policy establishes the possibility of linking both variable components to financial, operational and value creation metrics, and non-financial metrics, such as sustainability indicators. The CEO's variable remuneration, both annual and multi-year, is linked to the fulfilment of certain sustainability targets (environmental, social and corporate governance), consistent with the Group's sustainability strategy, which is a further incentive for the development of that strategy.

/ Short-term or annual variable remuneration

The Board of Directors resolved, at the proposal of the Remuneration Committee, that the CEO´s annual variable remuneration for 2024 would be determined on the basis of certain criteria and, in particular, in relation to progress made in the implementation of Inditex's global sustainability strategy —measured according to the indicators detailed below— in corporate governance and in the implementation of the diversity and compliance programmes, with a total weight of 15%.

The sustainability-related measurement criteria are detailed below:

Target
Progress in the implementation of the strategy towards global sustainability at Inditex:
Performance criteria
(i) Degree of progress in adoption of recycled fibres. (ii) Degree of progress in the supply chain transformation plan (water, energy, waste and chemicals). (iii) Degree of progress in the development of strategic partnerships aimed at the transformation of the industry. (iv) Degree of progress in improving traceability across of our supply chain. (v) Development of additionally mechanisms in the renewable energy infrastructure. (vi) Level of implementation of environmental projects related to the initiative to charge for paper bags and envelopes at stores. (vii) Development of innovation projects in fibres and production processes.

ⓘ More information in the Annual Report on Remuneration.

/ Multi-year or long-term variable remuneration
The Company has various long-term incentive plans in place, consisting of a combination of a multi-year cash bonus and a pledge to deliver shares. The incentive in question may be paid in cash and/or include the release of shares provided that the relevant targets are met. The period for measuring the targets is at least three years.

In line with the Remuneration Policy, the weight of sustainability metrics to which multi-year remuneration is linked in the long-term incentive plans currently in force is 25%, which is above the 20% market median.

The second cycle (2022-2025) of the **2021-2025 Long-Term Incentive Plan** ended on 31 January 2025. In 2024, both cycles of the **2023-2027 Long-Term Incentive Plan** approved by the Annual General Meeting on 11 July 2023 were also in force.

This Plan has a total duration of 4 years and is structured into 2 mutually independent time cycles: (i) the Plan's first cycle runs from 1 February 2023 to 31 January 2026, and (ii) the second cycle spans the period from 1 February 2024 to 31 January 2027.

The sustainability-related measurement criteria, which may account for up to 25% of the total long-term variable remuneration for each of the plans, are detailed below:

Target		
Sustainability index (comprising four indicators):		
Plan 2021-2025 Performance Criteria	**Plan 2023-2027 Performance Criteria**	
Cycle II (2022-2025)	**Cycle I (2023-2026)**	**Cycle II (2024-2027)**
Fibre consumption: measured as the reduction in percentage points of the weight of conventional fibres in total fibre consumption (in t), for the four fibres subject to a public commitment (cotton, polyester, man-made cellulosic fibres and linen).	Consumption of textile raw materials with lower impact (referred to as 'preferred'): measured as the percentage of preferred textile raw materials (organic, in-conversion, regenerative, recycled, certified as European linen, Green viscose in the Hot Button Report by Canopy and EU BAT compliant or 'Next Generation') in the FY2025 winter campaign on the total purchase of the main fibres (cotton, polyester, linen, viscose, modal and lyocell) in said campaign.	Consumption of textile raw materials with a lower impact (referred to as 'preferred'): measured as the percentage of preferred textile raw materials in the FY2026 winter campaign on the total purchase of the raw materials in that campaign.
Water consumption: measured as the percentage reduction of water consumption (litre/kg) in the supply chain.	Water consumption: measured as the percentage reduction in water consumption (litre/kg) in the supply chain between the cycle start date (1 February 2023) and the end date of the cycle (31 January 2026).	Biodiversity improvement: measured as the increase in the number of hectares that are protected, restored, regenerated or under other forms of biodiversity improvement management between the start date of the second cycle (1 February 2024) and the end date (31 January 2027).
Decarbonisation: measured as the percentage reduction in the volume of scope 3 Greenhouse Gas emissions, in the category 'purchased goods and services'.	Decarbonisation: measured in terms of percentage reduction of the volume of scope 3 Greenhouse Gas emissions, in the 'purchased goods and services' category, between the start date of the cycle (1 February 2023) and end date of the cycle (31 January 2026).	Decarbonisation: measured as the percentage reduction in the volume of Greenhouse Gas emissions (scope 3), in the category 'purchased goods and services', between the start date of the second cycle (1 February 2024) and the date of its completion (31 January 2027).
Social: measured as the percentage of suppliers of Inditex products that are classified with a social ranking A and B.	Social: total number of workers who are part of the programmes of the priority impact areas of social dialogue, living wages, health, respect and resilience of the Workers at the Centre Strategy in the period between 1 February 2023 to 31 January 2026 (cumulative data for the three financial years: FY2023, FY2024 and FY2025).	Implementation of the Environmental Improvement Programme for Supply Chain Transformation: measured as the percentage of facilities in which the plan has been implemented over the total facilities targeted by the plan (cumulative data for the three financial years: FY2024, FY2025 and FY2026).

Considering the degree of achievement of the various targets to which the 2024 variable remuneration of the Chief Executive Officer is linked, **the weight of sustainability targets over the Chief Executive Officer's total variable remuneration was approximately 20% and 72% over fixed remuneration.**

ⓘ More detailed information on the targets, measurement criteria and the scales of achievement for each of the sustainability objectives linked to the variable remuneration of the Chief Executive Officer in sections A and B of the *Annual Report on Remuneration.*

Compensation paid to other members of Senior Management

There is a clear alignment between the CEO's and the Senior Management's remuneration structures, coinciding both in their principles and remuneration components and in the design of the incentives, which are broadly consistent throughout the organisation, as well as in the mechanics of the pay review process.

Accordingly, **reaching sustainability targets is also a component of the Senior Management's variable remuneration, as well as a component of other key personnel variable remuneration**, which reinforces the commitment of the Company's people to sustainability.

GOV-3_06

Finally, below is a breakdown of the competencies of the various governing bodies in connection with the approval of the incentives system:

/ **Annual General Meeting:** (i) approval of the Directors' Remuneration Policy at least every three years; (ii) determination of the maximum amount of annual remuneration to be paid to all directors in their capacity as such; and (iii) separate approval of incentive plans involving the delivery of shares or remuneration linked to the share price.

/ **Board of Directors and Remuneration Committee:** the Remuneration Committee carries out an annual, global assessment of the following proposals: (i) the specific metrics and targets to which the variable annual remuneration of the CEO is linked at the start of every year and the review of their achievement at year end, and (ii) the specific metrics, targets and scales of achievement of each long-term variable remuneration cycle, and the review of their achievement and the associated incentives at the end of each cycle.

Furthermore, the Sustainability Committee previously assesses proposals on sustainability metrics and targets to which variable remuneration —both annual and multi-year— are subject, and their degree of achievement and related incentives, referring them to the Remuneration Committee.

This assessment of the sustainability targets and the degree of achievement thereof to which variable remuneration is linked, is carried out on the basis of the data and results provided by the Sustainability Department and reviewed by external and in-house auditors. In any event, the Sustainability Committee carries out quarterly monitoring of the targets and, at the end of the cycle, assesses their global achievement.

Based on this, the Remuneration Committee draws up a proposal for the variable remuneration, which is submitted to the Board of Directors for approval.

ⓘ More information in the *Annual Report on Remuneration.*

GOV-4. Statement on due diligence

GOV-4_01

Our due diligence process allows us to identify and prioritise the potential sustainability-related negative impacts (including human rights and environmental aspects) throughout the value chain, in order to incorporate the findings into our activities, designing tools to prevent and mitigate those impacts, enriching and continuously complement these tools. This process is based on the United Nations Guiding Principles on Business and Human Rights and on the OECD Guidelines for Multinational Enterprises on Responsible Business Conduct.

In this regard, due diligence is the second cornerstone of Inditex's human rights strategy (the Human Rights Policy is the first and the grievance mechanisms the third).

Due to its importance, nature and scale, our supply chain is a priority area of the value chain in terms of sustainability. Thus, comprehensive and effective due diligence in a global supply chain entails robust policies, tools and practices designed to identify, prioritise and mitigate the impacts on people and the environment. Inditex has developed a sustainable management of its supply chain with a compliance programme that includes audits (both social and environmental), corrective action plans and training, among other measures. This is accompanied by a social strategy (Workers at the Centre) grounded on identifying and prioritising impacts on human rights.

Furthermore, grievance mechanisms are key elements to improving the due diligence process, as their information facilitates the identification of potential negative impacts, and allows the Company to react and mitigate the risk.

ⓘ More information in sections *G1-1. Corporate culture and business conduct* , *S2. Workers in the value chain* and *G1-2. Management of relationships with suppliers* of this Report.

CORE ELEMENTS OF DUE DILIGENCE	LOCATION IN THE REPORT
Embedding due diligence in governance, strategy and business model	ESRS 2. GOV-1
Identifying and assessing adverse impacts	ESRS 2. IROs
Engaging with affected stakeholders in all key steps of the due diligence	ESRS S1. S1-2
	ESRS S2. S2-2
	ESRS S3. S3-2
	ESRS S4. S4-2
Taking actions to address those adverse impacts; and Tracking the effectiveness of these efforts and communicating	ESRS S1. S1-3
	ESRS S2. S2-3
	ESRS S3. S3-3
	ESRS S4. S4-3
	ESRS E1. E1-3
	ESRS E2. E2-2
	ESRS E3. E3-2
	ESRS E4. E4-3
	ESRS E5. E5-2
	ESRS G1. G1-3

GOV-5. Risk management and internal controls over sustainability reporting

GOV-5_01;
GOV-5_02

Internal control system on sustainability reporting

The Group continues to evolve its Internal Control System on Sustainability Reporting (ICSR) to ensure the quality, accuracy and transparency of the information included in this Report, in compliance with the provisions of Act 11/2018 and considering the new CSRD regulatory framework.

This system was developed considering the synergies between the methodologies of our control models, such as the Internal Control over Financial Reporting System (ICFR). Both systems have been developed in line with the COSO (Committee of Sponsoring Organizations of the Treadway Commission) international standard for internal control. Furthermore, in an exercise of continuous improvement, the ICSR is equipped with more comprehensive controls, to match new regulatory frameworks.

The ICSR covers the control environment, the risk assessment related to the drafting of the report, the specific control activities implemented to mitigate these risks, the activities for supervising the main indicators included in the report and the information and communication to improve the management of the system.

Among the bodies responsible for the existence of the Internal Control System on Sustainability Reporting (ICSR), the Board of Directors is the highest decision-making, supervisory and control body of the Group, including the ultimate responsibility for the existence and maintenance of an adequate ICSR.

ⓘ More information in section *GOV-1. The role of the governing bodies* of this Report.

GOV-5_03;
GOV-5_04

We consider the risks related to the reporting of Sustainability Information to be those understood as the absence or insufficiency of stable and defined processes, which can lead to errors or incompleteness in the presentation of information, and therefore to the reporting of unreliable information.

To achieve this, we use tools and systems that allow us to automatically analyse compliance with the applicable regulations, also introducing a layer of governance and automated workflows. Furthermore, we have manuals for the creation of the indicators, which include the construction methodology, the measurement criteria and the information systems involved.

In this regard, a reporting model was developed for managing and reporting indicators (both qualitative and quantitative), defining different assessment attributes for each indicator that allow reports to be automatically generated, facilitating compliance control.

Likewise, consistency controls are in place to check for variations in the indicators with respect to previous years. Completeness checks have also been introduced as an additional control mechanism.

Parallel to this, for the capture, management and presentation of data from external sources, we have management systems that facilitate the compilation of this data, such as our supplier management systems. Lastly, the information systems involved in the process include mechanisms for controlled access, completeness, change management, continuity and information security.

GOV-5_05

Every year, the ICSR area carries out an assessment of the execution of the controls, identifying any areas for improvement, and, together with the heads of the areas concerned, carry out maintenance and updating of the model. Based on this assessment, the ICSR area compiles a report that is submitted to the management of the areas involved and to the Internal Audit department.

Likewise, the Internal Audit department may carry out, as part of its Annual Audit Plan, operational reviews of the governance, risk management and internal control processes linked to the preparation of the Sustainability Information. In addition, the Consolidated Statement of Non-Financial Information and Sustainability Information is subject to verification by the Company's external auditor.

SBM. Strategy

SBM-1. Strategy, business model and value chain

About Inditex

SBM-1_01 Industria de Diseño Textil, S.A., is the parent company of the Inditex Group, which is listed on all four Spanish stock exchanges. Details of the composition of the Inditex Group as of 31 January 2025 are provided in *Annex I* of the Consolidated Annual Accounts.

Our main activity —the distribution and sale of fashion and household products— is aimed at offering our customers an inspiring, quality and responsibly produced range of products. This activity is carried out through various brands or retail concepts: Zara, Pull&Bear, Massimo Dutti, Bershka, Stradivarius, Oysho and Zara Home. Each concept operates through an online and store model that is managed directly by companies over which Inditex exercises control through the ownership of all or the majority of the share capital and of the voting rights, except in certain markets where, for several reasons, the business is carried out through franchises.

On the other hand, the Group holds joint ownership interests in the entities making up the Tempe Group. The Group does not have any other significant non-controlling interests.

SBM-1_02 Inditex is focused on producing global fashion aimed at society as a whole, although each of our brands offers a different commercial range, thereby enabling us to address the various market trends and meet our customers' wide-ranging needs. The Group has a presence in 214 markets, with a relatively low market share in most of them and in a highly fragmented sector, meaning that it has strong growth opportunities.

Retail concepts

Zara

Zara is a driver of change in the fashion world, with trends and inspiration within everyone's reach. It's goal is to provide everyone with the fashion they deserve: always up to date, inspiring and responsibly made.

Based on continuous customer feedback, Zara's design team responds to their changing needs, catering for the latest trends and offering new proposals at the right place and time, while weaving sustainability into its processes.

Pull&Bear

Pull&Bear was launched in 1991 with the aim of dressing young people who are committed to their environment, who reject stereotypes and who are part of a community.

The brand takes the latest international trends, combines them with the influences that make up streetstyle and fashion clubs, and reinterprets them, transforming them into comfortable and easy-to-wear garments.

Pull&Bear evolves with its customers, and is always alert for new technologies and the latest trends in art and music,

Massimo Dutti

Massimo Dutti offers a refined vision of natural elegance in today's world, with a sophisticated fashion proposal that responds to the demands of an urban and independent individual for whom stylishness is the reflection of a quality life.

Combining graceful tailoring with the comfortable and timeless style of more informal and relaxed garments, Massimo Dutti embodies a modern, comfortable and yet sophisticated interpretation of natural distinction.

Bershka

Bershka is at home among music, technology and the social community. It offers a creative and immersive experience that connects the coolest city youth with emerging trends.

The brand has three lines —Bershka Women and Men, and BSK Teen— covering different styles and combining everyday garments with special, trendy proposals. The general collection is enhanced by customisation options, limited editions and collaborations with major partners.

Stradivarius

Stradivarius understands fashion as a constantly evolving form of expression, capable of inspiring and reinventing itself. Just like people do, its style changes and transforms. That's why collections are designed with versatility and authenticity in mind, so that, with its garments, each customer can find the freedom to be whoever they want to be, regardless of the occasion.

Stradivarius started out as a family-run women's fashion business and joined Inditex in 1999. Our design teams, made up of passionate professionals who are always open to change, render current trends into unique styles with the aim of inspiring and connecting with each customer.

Oysho

Oysho is a sports and leisure brand that combines innovation, performance and quality. It offers a broad range of technical collections designed to deliver maximum performance and comfort during sports activities.

Oysho's leisurewear collections offer outstanding functionality and versatility, adapting perfectly to every situation and need. With a focus on sport and an active lifestyle, the brand continues to evolve, driving innovation and honing its designs.

Zara Home

Zara Home's collections combine timeless ambiences with refinement. They include everything you need to decorate the various rooms in a house: bedroom, kitchen, dining room, living room and bathroom; as well as a special selection of children's products and a complete collection of home fragrances.

As the brand evolves, Zara Home aspires to continue accompanying customers through a quality offering, developing inspiring proposals for their lifestyle and being a part of all the moments of their life.

SBM-1_03

At the end of the financial year 2024, our Group comprises a team of 162,083 people employed in 56 markets and representing a total of 170 nationalities (161,281 people, 57 markets and 174 nationalities in 2023). The breakdown by geography of our people is as follows:

Distribution by geography

	2024	2023
	Number of employees	**Number of employees**
Americas	18,743	19,963
Asia and rest of the world	14,139	15,526
Spain	49,915	47,761
Europe (ex-Spain)	79,286	78,031
Total	**162,083**	**161,281**

ⓘ More information on how we calculated employee figures in the *Methodological Annex* of this Report.

SBM-1_05

At Inditex we undertake to market quality products that respect the environment and the health and safety of our customers. Our range of products is global and adapted to cultural criteria, demand and the legislation in force in each market. Accordingly, we do not market products that are prohibited in the markets where we operate.

SBM-1_06; SBM-1_07; SBM-1_24

Our main sphere of operation is the retail sale of Textiles, Accessories, Footwear and Jewellery[3]. In 2024 our activity generated revenue amounting to 38,632 million euros.

ⓘ More information in *Note 4. Net Sales* to the Consolidated Annual Accounts of this Report.

SBM-1_08; SBM-1_09; SBM-1_15; SBM-1_17; SBM-1_19

It is also important to note that the Group does not significantly operate in other ESRS sectors, in particular fossil fuel sectors (coal, oil and gas), chemical manufacturing, weapons manufacturing or tobacco production. In other words, it is not related to impacts (material or otherwise) or risks in other sectors significant for the Group.

Business model

SBM-1_25

Our business model covers all the stages, including the design of our products and their sale in our stores and online platforms. This business model is based on **four drivers,** with the aim of generating maximum value for our customers, investors and other stakeholders:

- A **fashion proposal** built on creativity, innovation, quality and, above all, on permanently listening to the needs and wishes of our customers.
- An **increasingly engaging shopping experience.**
- Our commitment to **sustainability and responsibility.**
- **Our people's** talent.

A model tailored to demand

Our retail concepts excel in their capacity to adapt and respond to any change in the market or the irruption of a new trend, thanks to our fine-tuned production processes, with short runs that are fully adapted to demand. This also allows us to maintain a tight inventory.

So as to guarantee an agile and effective response to this demand, a significant portion of our garments are manufactured in proximity markets near our headquarters, such as Spain, Portugal, Morocco and Türkiye. Furthermore, the integration of the inventory of our physical stores and online platforms allows our customers to access all our products regardless of where they shop, maximising the opportunity to sell the units produced.

[3] ESRS sector, according to the draft pending publication via Delegated Act European Sustainability Reporting Standards – SEC 1 Sector Classification and General Requirements – Exposure Draft.

This **flexible business mode**l helps us to meticulously manage clothing inventories to **avoid surpluses,** which in 2023[4] represented **0.67%** of total articles sold.

SBM-1_26

Main inputs of our business model

Our fashion proposal requires the commitment of all those involved throughout our value chain —which is described later in this chapter— from sourcing to distribution and sales.

/ **Our teams:** this is one of our most significant inputs. Our talent recruitment and retention strategy allows us to obtain the necessary human resources to carry out our activity, while at the same time taking care of our people's working conditions and creating diverse and inclusive work environments in which they can fulfil their potential.

/ **Raw materials:** this is the key input for manufacturing our products, and includes cotton, man-made cellulosic fibres, polyester and linen, among others. Our manufacturers and suppliers avail themselves of these raw materials in accordance with our instructions and with our Fibres Plan. The Inditex Group does not currently carry out direct raw materials purchases.

/ **Water and energy:** in addition to raw materials, they are the main resources used in the manufacturing processes. In particular, these consumptions are higher in the factories of our supply chain that use wet processes, i.e. dyeing, washing, finishing and printing, among others.

/ **Suppliers and factories of the supply chain:** they are also a fundamental part of the operation of our business. That is why we strive to maintain a relationship of mutual trust and support.

ⓘ More information in sections *S1. Own workforce*, *G1-2. Management of relationships with suppliers*, *S2. Workers in the value chain*, *E1. Climate change*, *E2. Pollution*, *E3. Water and marine resources* and *E5. Resource use and circular economy* of this Report.

SBM-1_27

Main outputs of our business model

Through our business model we want to generate the greatest possible positive impact for our stakeholders.

/ **Customers:** our flexible fashion proposal and our means of analysing their preferences allow us to quickly address their needs. We also aim to continuously improve the customer experience.

/ **Our teams:** we have a Code of Conduct that establishes the Group's commitments to creating work environments that promote their well-being and development.

/ **Suppliers and factories of the supply chain:** the ultimate aim of our Workers at the Centre 2023-2025 strategy is to ensure well-being of the workers in the supply chain and respect for their human rights.

/ **Society:** we work with various stakeholders to promote the sustainable development of the communities where we operate and of society as a whole.

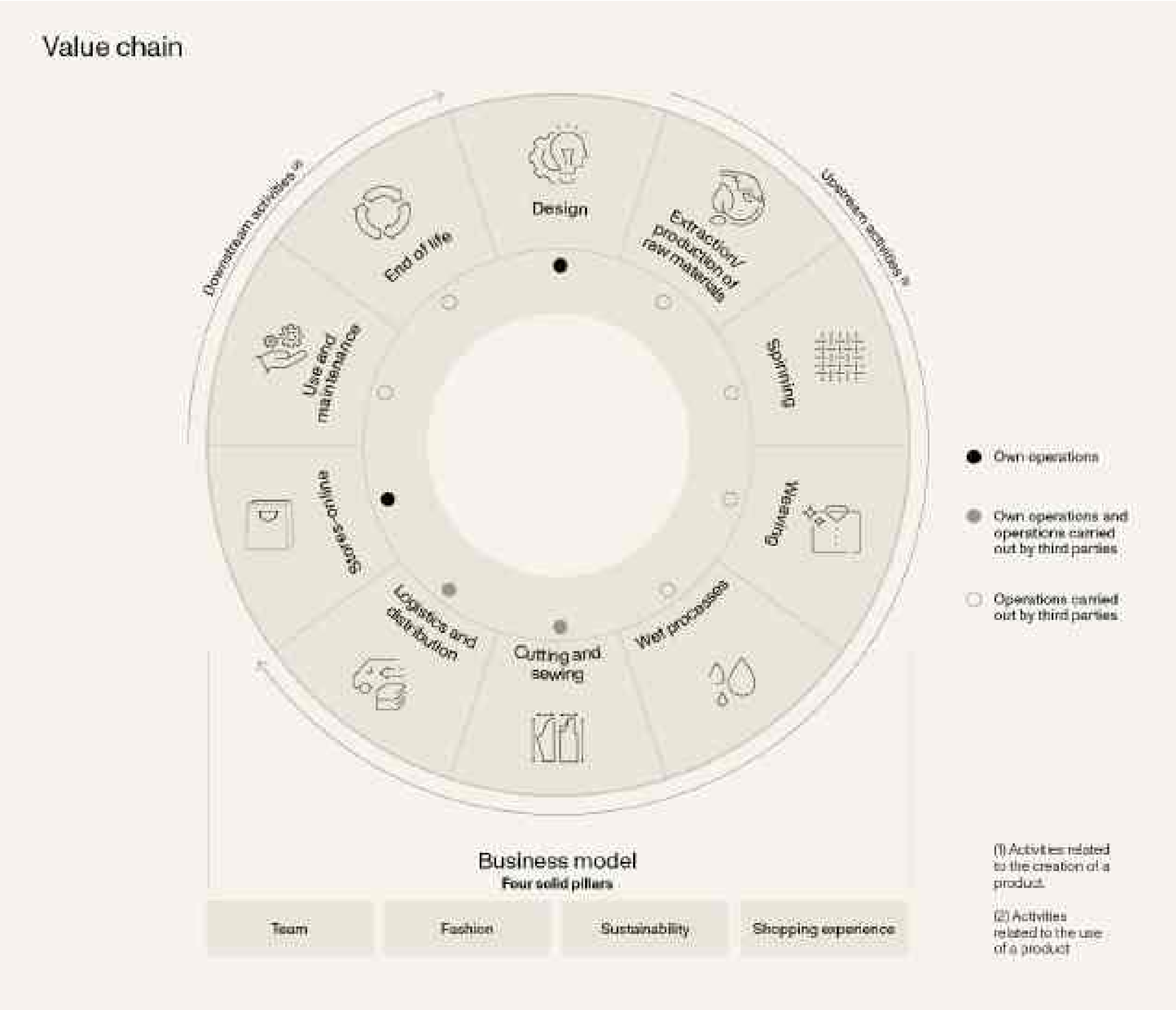
/ **Shareholders:** we implement a policy of transparent and fluid communication. Our shareholder remuneration policy aims to offer an attractive, predictable and sustainable dividend over time.

/ **Environment:** we are committed to carrying out our operations in a more efficient and circular way —for example, by consuming renewable energy, reducing water consumption or using lower-impact fibres in our garments— easing the pressure on resources.

ⓘ More information in sections *S1. Own workforce*, *S2. Workers in the value chain*, *S3. Affected communities*, *S4. Consumers and end-users*, *E1. Climate change*, *E2. Pollution, E3. Water and marine resources*, *E4. Biodiversity and ecosystems* and *E5. Resource use and circular economy* of this Report.

[4] Surplus figures are shown for 2023 as the 2024 winter campaign is ongoing in stores at the time of writing this Report, and therefore the surplus inventory has not yet been fully processed.

Our value chain



SBM-1_25; SBM-1_28

The key stages of our value chain are as follows:

/ **Upstream activities:** primarily the design, sourcing of raw materials, manufacturing of our products, logistics and distribution.

/ **Downstream activities:** sales in physical stores and online platforms; and the use and end of life of our products.

Furthermore, these are divided into:

/ **Own operations:** mainly comprising the design and sale phases —via physical and online stores, as well as other ancillary activities carried out in our stores, logistics centres, own factories and our headquarters (where in particular we carry out transversal support activities, such as those related to administration, sustainability, people management, etc.).

/ **Operations conducted by third parties:** raw materials sourcing and product manufacturing; logistics and transport; product use and end of life initiatives.

In the chapter on the materiality assessment, we identified and described those impacts, risks and opportunities that affect both our own operations and our value chain, specifically indicating where the impact is for each one.

Upstream activities

Design:	More than 700 designers; a key factor in the business model.	
	A focus on lower-impact materials and processes.	
	Innovation in alternative raw materials.	
Raw Materials Extraction/Production:	Main categories of fibres: natural (cotton, linen or wool, among others), man-made (cellulosic fibres like viscose or modal, among others) and synthetic (polyester, polyamide and acrylic, among others). The raw material most widely used by the Group is cotton.	
	Raw materials are extracted or produced by third parties independent of the Group.	
Manufacturing:	Non-exclusive suppliers and manufacturers not owned by the Grup[1] organised into 10 clusters in Spain, Portugal, Morocco, Türkiye, India, Pakistan, Bangladesh, China, Cambodia and Vietnam.	
	Process stages:	**Spinning:** production of threads and yarns from the raw materials obtained in the supply stage.
		Weaving: production of fabric from threads and yarns.
		Wet processes: dyeing, washing and printing, among others.
		Cutting and sewing: proximity to headquarters in Spain to boost flexibility and enhance control.
	All these facilities together make up what we call our supply chain. It comprises 6,615 factories that include all stages of our supply chain in 50 markets.	
Logistics and Distribution:	Logistical operations carried out directly by the Group or by third parties. Transport and distribution by independent third parties not owned by the Group.	
	Cutting-edge technologies: RFID and Integrated Stock Control System (SINT).	
	Focus on sustainability: efficiency in transportation, distribution and other logistical operations. Reverse logistics efficiency.	

[1] The only exception are the factories owned by the Group and located in the proximity of the Inditex corporate headquarters in Arteixo (A Coruña), which primarily carry out support duties in production completion processes for certain products.

Downstream activities

Stores and Online:	Integration of our physical stores and online platforms into a single sales environment.
	Customer experience: avant-garde stores, advanced technology, innovative proposals.
Use and Maintenance:	Initiatives to extend product life cycles: Zara Pre-Owned: garment repair and care guide.
End of Life:	Circular economy: recycling and reuse of materials, collection programmes and second life for garments.
	Operations carried out by third parties.

Sustainability strategy

We have a sustainability strategy with which, in addition to contributing to the transformation of our business and of the textile industry, we aim to address the demands of civil society, our customers and our people, while meeting the requirements of our investors and the increasingly regulatory framework on sustainability.

Furthermore, we integrate sustainability —one of the drivers of our business model— into all processes and decisions throughout our value chain. To achieve this, we implement actions that foster a culture of sustainability. In 2024, more than 17,000 members of our staff received training in this connection. We also have our Changemakers programme, a community that collects proposals and ideas about sustainability from our people and customers in stores.

In 2024, Inditex's sustainability team comprises 287 people, along with 7,867 external partners dedicated to making progress on our sustainability goals and strategies.

SBM-1_23

The impact: focus of our sustainability strategy

To improve our impact, we continuously analyse the repercussions of our activity throughout the value chain. In this process we work with environmental specialists, academic institutions, international organisations, trade unions and NGOs.

What we want to help protect through our strategy

/ Air / Water / Ecosystems / Land / People

Pillars

/ Circular processes and services
/ Lower-impact fibres
/ Lower-impact production
/ People wellbeing
/ Reduction of emissions
/ Reduction of use of virgin resources
/ Reduction of waste
/ Contribution to biodiversity

ⓘ More information in section *IROs. Disclosures on the materiality assessment process* of this Report.

Levers of change for our strategy

Climate Transition Plan

It enshrines our commitment and action lines to tackle the climate challenge, nurturing the precepts of the circular economy and energy efficiency.

ⓘ More information in section *E1-1. Transition plan for climate change* of this Report.

Supply Chain Transformation Plan

It focuses on boosting our suppliers' and manufacturers' performance to achieve our sustainability targets.

Our Environmental Transformation Plan promotes the reduction of water and energy consumption while improving the management of chemicals, waste and discharge quality at our suppliers' and manufacturers' facilities.

ⓘ More information in section *E1-3. Actions in relation to climate change* of this Report.

On the social front, we have our Workers at the Centre strategy which has five Priority Impact Areas: Social dialogue, Living wages, Respect, Health and Resilience.

ⓘ More information in section *S2-4. Actions related to value chain workers* of this Report.

Fibres Plan

It aims to cement our commitment and ensure that 100% of our garments are made from lower-impact textile fibres by 2030.
We estimate that, by then, about 40% of the fibres we use will be recycled, about 25% will come from organic or regenerative farming, about another 25% will be innovative fibres, which do not yet exist on an industrial scale, and the remaining 10% will be other lower-impact fibres in keeping with benchmarking organisations' indicators.

ⓘ More information in section *E5-2. Actions related to resource use and the circular economy* of this Report.

SBM-1_21;
SBM-1_22

Our goals

Roadmap 2040

2025	2030	2040
/ Obtain 100% of our linen and polyester from preferred or lower-impact sources. ⓘ E5 / Reduce water consumption throughout the supply chain by 25%. ⓘ E3 / Help 10 million people through our corporate community investment programme. ⓘ S3 / Reach 3 million people in the supply chain through the Workers at the Centre strategy (fostering progress in the areas of social dialogue, living wages, health, respect and resilience). ⓘ S2 / Provide circularity services such as Zara Pre-Owned in key markets. ⓘ E5	/ Reduce our emissions a 53%, including our own operations and value chain. ⓘ E1 / Use only textile fibres that have a lower impact. ⓘ E5 / 5 million hectares protected, restores or regenerated, or under other forms of management for biodiversity improvement. ⓘ E4	/ Achieve net-zero emissions, reducing at least 90% of our carbon footprint with respect to 2018. ⓘ E1

Although our objectives are global and apply to all our product lines, the scopes and specifics of each of them are described in the relevant sections of the table above. It should be noted that our targets related to the consumption of fibres apply only to the fibres referred to in the target statement itself. Meanwhile, our circularity services target does not apply to all the markets where we operate, but only to those considered key.

Furthermore, we believe that the transformation of the sector must be based on a collaborative approach and a commitment to innovation. Hence the importance, for example, of our Sustainability Innovation Hub, through which we support innovation in sustainability, contributing expertise, capital and commitment to explore more responsible materials and processes.

Collaboration is another key to this transformation. Examples of our main collaborations are with entities such as the United Nations Global Compact, the International Labour Organization, UNI Global Union, IndustriALL Global Union, The Fashion Pact, International Apparel Federation, Ellen MacArthur Foundation and Zero Discharge of Hazardous Chemicals.

Human rights strategy

We approach respect for human rights from a **transversal** perspective, weaving it into our everyday processes, decisions and relationships. We have a human rights strategy aligned with the UN Guiding Principles on Business and Human Rights, which pervades all Group operations and articulates our alignment with best practices throughout the value chain.

Pillars of our human rights strategy

Human Rights Policy
Approved in December 2016 and modified by the Board of Directors in February 2024.
It applies to the entire Group.

Due diligence
/ Identifying potential impacts arising from operations and relationships with third parties.
/ Prioritising impacts.
/ Integration of the results in processes.

Grievance mechanisms
Underpin the identification of potential impacts and help strengthen aspects of the due diligence process.

SBM-2. Interests and views of stakeholders

SBM-2_01

Our stakeholders are entities or groups that are related to Inditex —both throughout our value chain and in the communities in which we carry out our activity— and which have the capacity to influence our Company with their decisions and opinions. As detailed in our Sustainability Policy, our relationship with them is based on **transparency**, which helps us to establish a bond of trust with them, and **permanent dialogue**, which allows us to respond to their demands and needs.

To make these principles a reality, we use strategies, goals and channels of communication and dialogue that are constantly being updated. Moreover, we have policies that define the principles of the relationship with each stakeholder group, such as our Code of Conduct, our Code of Conduct for Manufacturers and Suppliers or our Human Rights Policy, adjunct to our Sustainability Stakeholder Relations Policy.

ⓘ More information in section *MDR-P. Policies* of this Report.

SBM-2_05

Our work with stakeholders keeps us aware of the issues and trends that are most relevant to them so that we can respond to their needs more effectively, integrating their views into our strategies.

Furthermore, collaboration with all relevant actors is essential to effect the transformation of the textile sector that our sustainability targets pursue.

SBM-2_02;
SBM-2_03

We thus identify and group our stakeholders according to their link to our business model.

Inditex's main stakeholders	Related standard
Our teams Any person who works at Inditex, including our people and other staff. • *Staff at our stores, offices, logistics centres and our own factories and union representatives*	ⓘ S1
Customers Every person who purchases any product sold by the various brands of the Inditex Group. • *Customers and potential customers of physical and online stores*	ⓘ S4
Suppliers Companies that are part of Inditex supply chain and their respective workers. • *Direct suppliers, manufacturers and workers in the supply chain; trade unions; employers associations and international organisations*	ⓘ G1
Community All those persons or entities that form part of the environment in which Inditex carries out its activity. • *NGOs, governments and public authorities, academic institutions, civil society and the media*	ⓘ S3
Environment Set of natural elements present in the environment in which Inditex develops its business model. • *Environmental organisations, governments and public authorities*	ⓘ E1, E2, E3, E4, E5
Shareholders Any person or entity who owns shares in the Inditex Group. • *Institutional and private investors*	ⓘ Consolidated Directors' Report

SBM-2_04

Our relationship with these groups is organised in the following stages:

/ Identification of all the pertinent topics, issues and trends and all the stakeholders that may be related thereto, throughout the value chain and in the environment in which we operate.

/ Classification and prioritisation of stakeholders based on our business model and value chain.

/ Definition of a strategy for each group of stakeholders, establishing concrete objectives, commitments and dialogue tools.

Among these specific tools, which are detailed throughout the Report, are our **alliances and partnerships** with governments, trade unions, academic institutions, local and international organisations and representatives of civil society. In this regard, it is worth highlighting our agreements with trade union federations UNI Global Union and IndustriALL, with the aim of promoting participation, decent work and labour rights for our people and for supply chain workers, respectively. It is also relevant our framework agreement with the International Apparel Federation in order to promote a transformation in the clothing industry and supply chains, laying the foundations for the implementation of projects that seek to improve working conditions, protect the environment, move towards circularity and promote transparency and traceability in supply chains.

We also have transversal communication tools, such as the Sustainability Committee, the Social Advisory Board, our corporate website, this Report and the materiality assessment itself.

SBM-2_06
SBM-2_07

One of the keys to developing our strategy is to actively listen to and work with our stakeholders. This dialogue and constant engagement informs our decisions, allowing us to permanently update our strategy, which factors in the needs and expectations of our stakeholders.

In addition, every year we conduct a materiality assessment in which our stakeholders play a key role. The findings of this assessment, coupled with the continuous dialogue and collaboration between our teams and our stakeholders, tell us what they need and expect from our Company and the potential impacts, risks and opportunities (IROs) of our business model and value chain.

ⓘ More information in section *IROs. Disclosures on the materiality assessment process* of this Report.

This serves as a very valuable guide that helps us to define priorities and develop the policies and strategies that underpin the Company's principles of action and whose level of ambition is reflected in our targets. To achieve these targets, we have implemented a range of action plans, projects and initiatives that are detailed throughout this Report.

Interaction with our stakeholders is also pivotal to ensure the effectiveness and keep our due diligence processes up to date.

SBM-2_08;
SBM-2_09;
SBM-2_10;
SBM-2_11

With that in mind, there have been no significant changes in our strategy or business model over the course of this financial year.

Governance and stakeholder engagement

SBM-2_12

At Inditex we have been fostering dialogue with our stakeholders on sustainability for decades. For example, in 2002 we set up our **Social Advisory Board**, an advisory body composed of independent external individuals which, among other tasks, is responsible for establishing and institutionalising dialogue with key partners from civil society.

Another key tool that helps us nurture collaboration with and commitment to our stakeholders is our **Sustainability Committee**, set up in 2019. In particular, it is in charge of overseeing and evaluating, both the strategy of communication and relations with the various stakeholders, as well as the procedures and channels of communication in place at Inditex to guarantee proper and seamless communication with them.

The Committee liaises with the Social Advisory Board and is also apprised of the results of the annual materiality assessment, which identifies our sustainability impacts, risks and opportunities.

ⓘ More information in section *GOV-2. Information provided to governing bodies and sustainability matters addressed* in this Report.

Notably, in 2024 we approved our Sustainability Stakeholder Relations Policy, which purpose is to lay the groundwork for the Inditex Group to manage, in an orderly and systematic way, our relations with stakeholders on relevant issues and matters in the area of sustainability.

ⓘ More information in section *MDR-P. Policies* of this Report.

Partnerships

Partnerships with organisations and institutions are paramount for Inditex, as they enable us to deepen our understanding of our stakeholders and join forces with key players to move inexorably towards a positive transformation of our sector, industry, society and planet.

Indeed, these partnerships help us contribute to achieving the Sustainable Development Goals (SDGs) and create economic, social and environmental value both in our value chain and in the communities where we operate.

That is why we cultivate partnerships with a number of governments, trade unions, academic institutions, local and international organisations and representatives of civil society.

In 2024 we preserved essential partnerships, such as those with International Apparel Federation, IndustriALL Global Union or the International Labour Organization, and established new collaborations, such as with the American Apparel & Footwear Association, and we joined initiatives such as RE100, promoted by the Climate Group, and *Pack4good*, a Canopy project. In addition, Inditex's CEO has been appointed in June 2024 as co-chairman of the steering committee of The Fashion Pact, an initiative of which we are co-founding partners.

We also signed up to the Deforestation-Free Call to Action for Leather by Textile Exchange and Leather Working Group, and launched a partnership with Iberia and Repsol to reduce the emissions of cargo flights.

ⓘ For further information, refer to the document *Partnerships* on Inditex's corporate website.

SBM-3. Material impacts, risks and opportunities

Impacts, risks and opportunities

SBM-3_01;
SBM-3_02;
SBM-3_11

Through our materiality assessment, we identify our material impacts, risks and opportunities (IROs).

In this sense, the assessment allows us to know:

/ Through the **impacts**: how our own activity and that of our value chain may positively or negatively affect the environment and people, including human rights.

/ Through the **risks and opportunities:** the potential financial implications stemming from the impacts and/or dependencies on resources, affecting our financial position and performance in the short, medium and long term, from both a negative perspective (risks) and a positive one (opportunities).

In 2024 we continued the review of our IROs, in accordance with the ESRS framework methodology, already anticipated in 2023. We are thus providing greater detail than in previous years, when we reported by groups of material topics. With regard to opportunities, we will continue to work on further analysis and development in order to be able to provide more information in future reporting periods.

Specifically, this year we have identified **47 material impacts, risks and opportunities.** More information on these and on the various related topics can be found in the topical standards in this Report.

Each impact, risk and opportunity has its own identification code to help pinpoint the main actions to which they are linked within each thematic standard.

ⓘ More information in section *IROs. Disclosures on the materiality assessment process* of this Report.

Material Impacts, Risks and Opportunities in 2024

	Type (I/R/O)	Affectation on Human Rights
E1 - CLIMATE CHANGE		
Greenhouse gas emissions (GHG)	I	
Energy consumption	I	—
Physical and transition risks related to climate change	R	—
E2 - POLLUTION		
Impact from the use of chemical substances	I	
Possible emissions of other pollutants and microfibres	I	
Transition risks due to pollution	R	—
E3 - WATER RESOURCES		
Water withdrawal	I	
Water discharge	I	
Physical and transition risks due to water resources	R	—
E4 - BIODIVERSITY AND ECOSYSTEMS		
Impacts relating to the exploitation, degradation and disruption of ecosystems and natural resources	I	
Physical and transition risks due to biodiversity and ecosystems	R	—
E5 - RESOURCE USE AND CIRCULAR ECONOMY		
Possible impact from the use of conventional raw materials	I	
Circularity	I	
Waste generation	I	
Transition risks due to the use of resources and the circular economy	R	—
Opportunity for new business models (e.g. Zara Pre-Owned)	O	—
Opportunity to improve efficiency in the consumption of natural resources	O	—
S1 - OWN WORKFORCE		
Quality employment	I	
Payment of adequate wages	I	
Efficient mechanisms for social dialogue and respect for the rights of freedom of association and collective bargaining	I	
Work-related accidents and occupational diseases	I	
Professional development	I	—
Possible impacts on vulnerable groups	I	
Possible loss of personal data	I	
Risks related to human capital	R	—
Business development opportunities by attracting and retaining talent	O	—

	Type (I/R/O)	Affectation on Human Rights
S2 - WORKERS IN THE VALUE CHAIN		
Working conditions	I	
Achievement of adequate wages	I	
Social dialogue and respect for the rights of freedom of association and collective bargaining	I	
Work-related accidents and occupational diseases	I	
Possible impacts on vulnerable groups	I	
Risks related to value chain workers	R	—
S3 - AFFECTED COMMUNITIES		
Value creation and community investment	I	
Possible violations of local communities' rights	I	
Risks related to local communities' rights	R	—
S4 - CONSUMERS AND END-USERS		
Possible loss of our customers' personal data	I	
Possible impacts related to the health and safety of our products	I	
Possibility of consumer discrimination	I	
Responsible marketing practices and transparency	I	—
Risks related to consumers' rights	R	—
Opportunity to attract new customers through responsible practices	O	—
G1 - BUSINESS CONDUCT		
Possibility of ineffectiveness of the grievance mechanisms	I	
Promotion of regulatory development and industry improvement	I	—
Possibility of corruption, fraud, bribery and other unlawful acts	I	—
Supplier relations management and responsible purchasing practices	I	
Risks arising from the relationship with key suppliers	R	—
Cybersecurity risk	R	—

SBM-3_04;
SBM-3_05;
SBM-3_07

Impact characteristics

Our global and integrated business model places us in direct connection with a globalised environment that implies the existence of impact points where our Company might influence our surroundings, whether positively or negatively. Equally, for us this might translate into negative effects (risks), or positive ones (opportunities), which we endeavour to identify and manage in the best possible way.

Accordingly, in our analysis we consider both our own operations and our entire value chain, from product design right through until their use and end of life. In doing so we take a broad approach that allows us to also consider all those impacts that, while not necessarily linked to our activity, might be related to the communities where we are present (our extended value chain).

Based on this assessment, we observe the relationship between our strategy and business model and the existence of possible environmental, social and/or governance-related impacts:

/ **Environmental:** our production requires the sourcing of raw materials that involve the use of water, land and energy and that may have impact on biodiversity and ecosystems, such as cotton crops. In distribution, we move goods between various markets to reach our costumers, with an impact in terms of the emissions linked to climate change, which we are striving to reduce and mitigate through the initiatives detailed in our Climate Transition Plan. Furthermore, due to the nature of our product, we consider the possible impact linked to the shedding of fibres and microplastics, both during the manufacturing process of our articles and in their life cycle, including their end of life.

/ **Social:** we pay particular attention to those impacts that may affect people, from our own workforce to our consumers, including workers in our value chain and the community. Consequently, we identify the possible impacts on human rights, fair working conditions, diversity and inclusion and the health and safety of our teams in order to promote working environments in which well-being is a priority and to ensure that we have the best talent. We replicate this same approach, where the respect for human rights is paramount, throughout our value chain. With regard to the communities, our approach is based on the respect and protection of their rights, and we also aim to create value by implementing investment projects. Lastly, customer relations and the continuous improvement of their experience are among the drivers of our business model.

/ **Governance:** in line with our principles, we keep unwavering control of our business conduct, identifying the potential impacts linked to our own grievance mechanisms (Ethics Line), to the potential materialisation of unlawful actions, or to our supplier relations and responsible purchasing practices. This information regarding how our business model may impact on the environment and society also allows us to analyse our strategy, helping us to minimise the possibility of negative impacts and risks materialising, while seeking to maximise our positive impacts and opportunities.

In this regard, our efforts are aimed at preventing, mitigating and remedying those impacts that may generate an adverse effect, and promoting positive impacts, both on the environment and on people.

ⓘ More information on stakeholder engagement and our materiality assessment in section *IROs. Disclosures on the materiality assessment process* of this Report.

SBM-3_12

Our assessment also covers specific topics for our Company, beyond those provided by the ESRS. An example of one of these topics is cybersecurity.

SBM-3_06

Time horizons

We assess our IROs in the short, medium and long term. For **risks and opportunitie**s, we have identified a greater tendency towards possible materialisation in the medium and long term, especially notable in the case of environmental categories, associated with the increase in uncertainty factors over time. The materiality of social and governance matters remains constant in the different time horizons, as they are less dependent on external factors.

In terms of the **impacts**, the trend towards the medium term for environmental topics continues. However, we observe more short-term patterns in relation to impacts associated with social and governance matters, linked mainly to the importance of certain topics in the current context, and our actions this year.

Resilience

SBM-3_10

By identifying our impacts, risks and opportunities, we can validate that our strategy includes the most relevant sustainability topics, allowing us to be in a position to prevent and mitigate negative impacts or risks, as well as to harness and enhance our positive impacts and opportunities.

This, in turn, helps us to increase the resilience of our business model and boosts our capacity to tackle the challenges stemming from our activity.

Likewise, the Group is in the process of implementing a scenarios methodology for risk assessment, regardless of their nature, which, due to their criticality, could compromise the continuity of the business model. Based on their idiosyncrasies, risks are assessed in the short, medium and long term. The Group periodically updates its business continuity plan, which aims to ensure that essential operations are not halted in the event of potential disruptions.

Along these lines, we implement specific policies that tackle the various environmental, social and governance themes identified; we set monitoring targets for the key metrics; and we introduce actions aimed at addressing the main aspect detected, thereby helping us to prevent, mitigate and remedy possible effects from our impacts and risks, and to maximise the value of our opportunities.

Current and anticipated financial effects of risks and opportunities

SBM-3_03

With regard to the anticipated financial effects of risks and opportunities, only information relating to environmental standards for climate change (E1) is included.

We are currently in the process of developing a methodology to evaluate the anticipated financial effects relating to: pollution (E2), water (E3), biodiversity and ecosystems (E4) and resource use and circular economy (E5). This methodology will be extended to the rest of the topics covered in the ESRS.

The purpose is to report the information required by the ESRS standards in forthcoming years in accordance with the transitional provision set forth in the CSRD, in ESRS 1, section 10.4.

ⓘ More information in section *E1-9 Anticipated financial effects related to climate change* of this Report.

SBM-3_08

This year, no risks and opportunities were identified for which there is a significant risk that could trigger a material change in the valuation of the assets and liabilities booked in the financial statements for the following financial year.

IRO/MDR. Impact, risk and opportunity management

IROs. Disclosures on the materiality assessment process

IRO-1/IRO-2. Material impacts, risks and opportunities

Materiality assessment

IRO-2_01;
IRO-2_02;
IRO-2_13

In 2024, for the fourteenth consecutive year, we conducted our materiality assessment, which enabled us to identify the impacts, risks and opportunities to outline in this Report.

In this connection, we include a table of contents in the Annex presenting the disclosure requirements included in this Report and their location in the Report. Furthermore, in keeping with CSRD disclosure requirements, we have identified those paragraphs of the directive, included in *ESRS 2 - General Information, Appendix B* that are material according to our assessment, along with their location in the Report.

ⓘ More information in annexes *Table of contents required by Directive 2013/34/EU* and *Table of contents of information deriving from other EU legislation* of this Report.

IRO-1_01

In our assessment we applied a methodology based on the **European Sustainability Reporting Standards (ESRS**), **IG1: Materiality Assessment Implementation Guidance**, and the guidelines provided in the various supporting documents and recommendations provided by the European Financial Reporting Advisory Group (EFRAG). We also follow the recommendations outlined by the Global Reporting Initiative in its GRI 3: Material Topics 202 standard.

The assessment is based on a **double materiality** focus, examining both our potential impacts on the surrounding (impact materiality) and risks and opportunities for our Company (financial materiality).

IRO-1_05

Our stakeholders —both internal and external— play a very important role during the process:

/ We conducted interviews with organisations representing our different stakeholders, establishing a Materiality Advisory Network, which includes universities, trade unions, business organisations and organisations specialising in environmental and social issues such as: the University of Leeds, the University of Oxford, Zero Discharge of Hazardous Chemicals (ZDHC), Conservation International (CI), the Pacific Institute, ECODES, the Climate Group, the United Nations Global Compact, the International Organisation of Employers (IOE), the Ethical Trading Initiative (ETI) and UNI Global Union.

/ Various workshops were held with relevant areas of the Company.

/ We collaborated and consulted with external specialist teams, such as the sustainability intelligence company Risilience and its academic partner, the Centre for Risk Studies at the University of Cambridge, and Shift, a leading organisation in the United Nations Guiding Principles on Business and Human Rights.

IRO-1_02;
IRO-1_07

The double materiality process, detailed throughout this section, comprises **the following main phases.** They are preceded by a continuous process of assessment and understanding of our context, as well as a review and updating of our methodology, which allows us to stay abreast of the latest trends in the field.

1) Identification of impacts, risks and opportunities (IROs).

2) Assessment of impact materiality and financial materiality.

3) Validation of results and approval.

IRO-1_03;
IRO-1_04;
IRO-1_08;
IRO-1_14

1) Identification of impacts, risks and opportunities

To identify the impacts, risks and opportunities, we drew on the analysis of our activity and the relationship with our environment, including both our own operations and our business relationships and value chain. Furthermore, since 2023 we have been using as our preferred source for determining our impacts the list of recommended topics in the European Sustainability Reporting Standards (ESRS), specifically in ESRS 1 - Application Requirement 16.

This identification is fuelled by the results of our due diligence processes in the case of impacts, and by our risk map in the case of risks and opportunities. Other relevant sources include the matters addressed by stakeholders in our ongoing dialogue throughout the year, analysis of industry trends and social and online media, and the issues addressed in our Ethics Line.

In the specific case of environmental matters, we have taken the LEAP approach (Locate, Evaluate, Assess and Prepare) as a reference, and we used a range of science-based databases and indices, such as Exploring Natural Capital Opportunities, Risks and Exposure (ENCORE), Integrated Biodiversity Assessment Tool (IBAT), Critical Habitat – developed by the UN Environment Programme World Conservation Monitoring Centre (UNEP-WCMC)- and the Common International Classification of Ecosystem Services (CICES), among others.

Furthermore, in order to identify risks and opportunities, we examine our impacts to detect their connections with possible negative or positive financial effects and we analyse our dependencies on natural and/or social resources. In addition, to analyse those related to the climate, we used the framework of Task Force on Climate Related Financial Disclosures (TCFD), which has been used in recent years.

With regard to opportunities, this is an area where we will continue to work on further analysis and development in order to be able to provide more information in future reporting periods.

IRO-1_06

2) Materiality assessment

Impact materiality
The impacts identified in the previous phase are assessed based on the following parameters, which are determined based on the information compiled in workshops with our internal specialised areas, interviews with our stakeholders and the advice provided by Resilience.

/ Scale: how grave or beneficial the impact is or would be for people or the environment.

/ Scope: how widespread the impact is, based on the geographic extent of the effects and the stakeholders affected.

/ Remediability: degree of difficulty involved in counteracting or remedying the damage, applying only to negative impacts.

/ Likelihood: chance of a potential impact happening.

In addition, the possible affectation of impacts on **human rights** is also analysed; in such cases, even if the impact is only potential, the probability is assumed to be 100%.

In parallel, we qualitatively evaluate the **time horizon**[5] in which the impact would occur.

Thresholds (defined in accordance with the EFRAG materiality guidelines) are applied to these results to determine the materiality of the impacts.

IRO-1_09;
IRO-1_10;
IRO-1_12;
IRO-1_13

Financial materiality
To gauge the financial materiality of the risks and opportunities, we assess the following parameters, which are determined through workshops with internal expert areas:

/ Magnitude of the financial effect: actual or potential deviation of free cash flows estimated by the Group in the various time horizons discounted on the assessment date.

/ Probability: possibility of a potential risk or opportunity taking place in a specific time horizon.

These parameters are used not only for prioritising sustainability-related risks, but also for those belonging to any other risk category of the Group, since the methodology used in financial materiality is aligned with that used for the Risk Map, a fundamental part of the Group's Integrated Risk Management System (IRMS).

[5] The time horizons defined for this assessment are the same for both financial materiality and impact materiality: short term up to one year, medium term up to five years, and long term from five years onwards.

For the calculation, we enter estimates for the financial variables of the Company's income statement, such as those related to revenues and routine costs. This way, we obtain the stressed cash flow for the different time horizons, which we use to calculate the magnitude of the financial effect. This magnitude, adjusted by the estimated probability of occurrence, gives the resulting financial materiality.

The thresholds applied to determine financial materiality are consistent with those used in the identification and assessment process followed in drawing up the Risk Map. Once the result has been obtained, we consider that a time horizon is material if in at least one of its years the risk or opportunity is material. Likewise, if at least one of the time horizons is material, the risk or opportunity is considered material.

ⓘ More information in section *Additional information. Responsible risk management* of this Report.

3) Validation of results and approval

IRO-1_11

The results of the materiality assessment are validated internally, in the first instance by the Company's management and subsequently by the Sustainability Committee.

At the external level, the Social Advisory Board also takes part in the validation, contributing to the integration of the perspective of different stakeholders in our materiality assessment.

Lastly, it is worth noting that the result of the materiality assessment forms the basis of this Report, which was prepared by the Board of Directors of Inditex, following the favourable report by the Audit and Compliance Committee and the Sustainability Committee, both responsible for verifying and overseeing the information included in it, each in accordance with their respective areas of competence.

Updates to the materiality assessment in 2024

IRO-1_15

In 2024 we continued our methodological update, which commenced in 2023, with a view to full accommodation to EFRAG guidance. Primarily, we have updated our process for determining risks and opportunities to gauge their connections with both impacts and dependencies.

We also changed the way we engage our stakeholders in the materiality analysis, transitioning from a survey-based model to one focused on interviews, which enables us to personalise our interaction with them and glean more valuable information.

Furthermore, we incorporate the latest EFRAG guidance on impact and financial materiality, as well as the industry trends.

MDR-P. Policies

Inditex is committed to creating economic, social and environmental value for all its stakeholders, in order to generate the greatest possible positive impact and contribute to sustainable development.

Our engagement with stakeholders is founded upon constant dialogue and transparency. This same approach is applied to the construction and updating of the Group's Codes of Conduct and policies.

To adapt our policies to legal or organisational changes, and to incorporate best practices, we implement updates whenever this is deemed necessary. In 2024, we can highlight the approval of the **new version of the Code of Conduct** and the execution, during the year, of an ambitious global campaign on the same with the aim of strengthening the corporate ethical culture.

As a result of the update of the Code, legal requirements, good practices or the Group's operations, a major review of internal regulations has also been carried out. Specifically, nine corporate policies have been approved or modified: the Gifts and Invitations Policy, the Conflicts of Interest Policy, the Human Rights Policy, the Criminal Risk Prevention Policy, the Policy on Public Policy, the Enterprise Risk Management Policy, the Internal Regulations Policy, the Policy for Representatives and Attorneys of Companies within the Inditex Group and the Ecosystems and Biodiversity Policy. Along the same lines, in February 2025, four policies were approved or modified: the Sustainability Policy, the Sustainability Stakeholder Relations Policy, the Energy Policy and the Water Policy.

In order to facilitate access to and knowledge of all these Policies, communication and awareness-raising actions have been carried out among the Group by publishing and sending newsletters on them, as indicated in section *G1-3. Prevention and detection of corruption and bribery* of this Report.

The main sustainability policies are listed below. These are available on the corporate intranet (INET) and the corporate website, www.inditex.com.

Transversal action principles	/ Code of Conduct ⓘESRS 2 / Code of Conduct for Manufacturers and Suppliers ⓘESRS 2 / Human Rights Policy ⓘESRS 2 / Sustainability Policy ⓘESRS 2 / Sustainability Stakeholder Relations Policy ⓘESRS 2
Action principles related to environmental standards	/ Energy Policy ⓘ E1 / Water Policy ⓘ E3 / Ecosystems and Biodiversity Policy ⓘ E4
Action principles related to social standards	/ Diversity and Inclusion Policy ⓘ S1 / Global Anti-Harassment Policy ⓘ S1 / Occupational Health and Safety Policy ⓘ S1 / Community Investment Policy ⓘ S3 / Information Security Policy ⓘ S4 / Compliance Policy regarding Personal Data Protection and Privacy ⓘ S4
Action principles linked to governance standards	/ Compliance Policy ⓘ G1 / Due Diligence Policy ⓘ G1 / Policy on Public Policy ⓘ G1 / Criminal Risk Prevention Policy ⓘ G1 / Integrity Policies ⓘ G1 / Anti-Money Laundering and Terrorist Financing Policy ⓘ G1 / Conflicts of Interest Policy ⓘ G1 / Global Policy on Internal Reporting Channels ⓘ G1 / Ethics Line Procedure ⓘ G1

MDR-P_01;
MDR-P_02;
MDR-P_03;
MDR-P_04;
MDR-P_05

ⓘ More information on Inditex's action principles in the '*Ethical Commitment*' section of our corporate website.

This section contains fundamental information on our transversal Policies and Codes of Conduct, that apply across all the standards. The Policies that address specific issues are located in the most representative standard throughout the Report.

Code of Conduct

Approved by the Board of Directors on 17 July 2012 and amended on 6 February 2024

Key contents	/ Ethical commitments as a Company / The principles that guide our conduct as a part of the Inditex team and with respect to external stakeholders (respect, honesty and integrity, transparency and responsibility) / Grievance mechanisms / Four thematic blocks: investing in people's development, maintaining our integrity, driving sustainable development, and protecting our assets and information
Scope	/ The entire Group (companies and individuals) / People who provide services or collaborate with the Group (including the Board of Directors) / It promotes the alignment of suppliers, factories along the supply chain and third parties engaged with the Group with the Code
Accountable for the implementation	/ Ethics Committee
Third-party standards	/ The UN International Bill of Human Rights / Main ILO Conventions / Principles of the United Nations Global Compact
Consideration given to stakeholders	/ Collaboration in the review process of a representative group of employees and with the Social Advisory Board of Inditex / The European Works Council was informed

Code of Conduct for Manufacturers and Suppliers

Published in 2001 and last updated by the Board of Directors on 17 July 2012

Key contents	/ Minimum standards for an ethical and responsible behaviour that must be observed by all of the Group's manufacturers and suppliers / Pre-requisite to be a part of our supply chain
Scope	/ All manufacturers and suppliers involved in purchasing, manufacturing and finishing of the products sold by the Group
Accountable for the implementation	/ Ethics Committee
Third-party standards	/ Principles of the Organisation for Economic Cooperation and Development (hereinafter, the 'OECD') / Base Code of the Ethical Trading Initiative / Principles of the United Nations Global Compact / ILO Conventions numbers 1, 14, 26, 29, 79, 87, 98, 100, 105, 111, 131, 135, 138, 142, 155, 164 and 182, among others.
Consideration given to stakeholders	/ Consideration of the interests of supply chain factory workers

Human Rights Policy

Approved on 12 December 2016 by the Board of Directors and last updated on 6 February 2024

Key contents	/ Commitment to respect internationally recognised human rights, both labour and non-labour / Identification of the rights most directly linked to the Group's activities and stakeholders
Scope	/ The entire Group (companies and individuals) / People who provide services or collaborate with the Group (including the Board of Directors)
Accountable for the implementation	/ Sustainability Department and its chief officer
Third-party standards	/ The UN International Bill of Human Rights / ILO Fundamental Conventions numbers 29, 87, 98, 100, 105, 111, 138, 155 and 182 / The ILO Declaration on Fundamental Principles and Rights at Work / The Ten Principles of the UN Global Compact / The United Nations Guiding Principles on Business and Human Rights / OECD Guidelines for Multinational Enterprises / 17 UN Sustainable Development Goals
Consideration given to stakeholders	/ Consideration of stakeholders' expectations and involvement of the Social Advisory Board

Sustainability Policy

Approved by the Board of Directors on 9 December 2015 and amended on 4 February 2025

Key contents	/ The Group's commitment to Sustainability / General principles and action lines for integrating sustainable practices throughout the business model and stakeholder engagement / Commitment to driving a transformation that contributes to the development of a fair and resilient society and a clean, healthy and sustainable environment
Scope	/ The entire Group (companies and individuals) / People who provide services or collaborate with the Group (including the Board of Directors) / It promotes the alignment of suppliers, factories along the supply chain and third parties engaged with the Group with the Policy
Accountable for the implementation	/ Sustainability Department and its chief officer

Third-party standards	/ The UN International Bill of Human Rights / ILO Fundamental Conventions and Declaration on Fundamental Principles and Rights at Work / ILO Convention 169 concerning Indigenous and Tribal Peoples / The United Nations Declaration on the Rights of Indigenous Peoples / The Ten Principles of the United Nations Global Compact / The United Nations Guiding Principles on Business and Human Rights / OECD Guidelines for Multinational Enterprises / Global Assessment Report on Biodiversity and Ecosystem Services, published by IPBES / The Kunming-Montreal Global Biodiversity Framework / Paris Agreement - United Nations Framework Convention on Climate Change / Intergovernmental Panel on Climate Change (IPCC) / Strategic framework of the United Nations Convention to Combat Desertification (UNCCD) / Principles covered by the CEO Water Mandate initiative
Consideration given to stakeholders	/ Information on the sustainability strategy, the programmes on which it is structured, its goals and progress is shared with stakeholders. In addition, their perspective is factored into the Group's sustainability actions / Participation of the Social Advisory Board

Sustainability Stakeholder Relations Policy

Approved by the Board of Directors on 4 February 2025

Key contents	/ Grounds for managing stakeholder engagement in connection with sustainability
Scope	/ The entire Group (companies and individuals) / People who provide services or collaborate with the Group (including the Board of Directors)
Accountable for the implementation	/ Sustainability Department and its chief officer
Consideration given to stakeholders	/ Participation of the Social Advisory Board

5. Environmental information
[ESRS E]

E1. Climate change

A. Governance

Our climate governance is aimed at ensuring that the impacts, risks and opportunities linked to climate are adequately tackled to meet the challenges posed by climate change.

In this regard, our sustainability strategy and our climate change policies are approved by the Board of Directors and integrated into our Company's business model and decision-making processes.

Our Climate Transition Plan establishes our targets for advancing towards a low-carbon economy. To ensure that our sustainability actions are aligned with these targets, the Board of Directors —through the Sustainability Committee— carries out quarterly reviews.

Climate governance follows the same processes and is carried out through the same bodies as are the rest of sustainability-related matters.

ⓘ More information in section *GOV. Governance* of this Report.

GOV-3. Integration of sustainability-related performance in incentive schemes

E1.GOV-3_01; E1.GOV-3_02; E1.GOV-3_03

At Inditex we promote mechanisms to advance in achieving our decarbonisation targets, such as our variable remuneration system.

This system links our workforce remuneration to the attainment of the Company's objectives, including our sustainability commitments. For example, both the Chief Executive Officer and Senior Management have specific, annual and multi-year incentives associated with climate change mitigation.

ⓘ More information in the *Annual Report on Remuneration.*

ⓘ More information in sections *GOV-3. Integration of sustainability-related performance in incentive schemes* and *S1-10/ S1-16. Compensation metrics* of this Report.

B. Strategy

E1-1. Transition plan for climate change

Our sustainability commitments

E1-1_02

Since the adoption of our science-based targets (SBTs) in 2020, scientific knowledge on climate change and its effects has evolved, and so has our ambition and that of our stakeholders.

That is why, in July 2023 we unveiled our new **sustainability commitments**, that included more exacting decarbonisation targets, which we submitted to the Science Based Target Initiative (SBTi) for approval.

In 2024, our new SBTs were approved by SBTi in accordance with the Paris Agreement emissions reduction pathway —limiting the average temperature increase of the Earth's surface to 1.5ºC above pre-industrial levels— . Our goal is to reduce our scope 1, 2 and 3 emissions[6] by 53% by 2030 with respect to 2018. To achieve this we will pare our absolute scope 1 and 2 emissions by 95% and our scope 3 emissions by 51% by 2030. As an intermediate milestone to keep up with our progress, we have set ourselves the goal of reducing scope 1, 2 and 3 emissions by 20% by 2027, as compared to 2018.

SBTi also approved our global net-zero emissions target by 2040, thereby slashing our scope 1, 2 and 3 emissions by 90% as compared to 2018. The remaining 10% will be neutralised by eliminating greenhouse gas emissions, as established in the SBTi guidelines.

ⓘ More information in sections *E1-4. Targets related to climate change* and *E1-3. Actions related to climate change* of this Report.

Climate Transition Plan

E1-1_01

Pursuant to our targets, in 2023 we published our new **Climate Transition Plan**, which evidences Inditex's commitment to a more efficient and circular fashion industry, more capable of tackling the climate challenge.

The Plan includes our action lines and intermediate milestones, as well as the resources we estimate will be needed to attain our targets on the pathway to net-zero emissions by 2040.

Our Transition Plan is consistent with our SBTs, pursuing a GHG emissions reduction pathway aligned with the Paris Agreement ambition of limiting global warming to 1.5ºC over pre-industrial levels.

In drawing up the Plan we used the 'announced policies' emissions scenario, given the current level of climate policy ambition around the world. This pathway envisages the global economy decarbonising at a slower rate than Inditex's reduction commitments, outlined in our Climate Transition Plan, which aim to reach net zero by 2040.

In accordance with this commitment, Inditex's future emissions pathways factor in the effect of our own emissions reduction initiatives, as specified in the Transition Plan, and the effect of the announced industry decarbonisation in relation to scope 2 and 3 emissions.

ⓘ More information in the Climate Transition Plan available on Inditex's corporate website.

[6] Our 2030 and 2040 SBTs include the following categories of scope 3 emissions: purchased goods and services (category 1), fuel- and energy-related activities (category 3), upstream transportation and distribution (category 4), waste generated in operations (category 5), business travel (category 6), employee commuting (category 7), end-of-life treatment of sold products (category 12), downstream leased assets (category 13) and franchises (category 14). The base year was chosen in accordance with SBTi's criteria for the completeness, verification, representativeness and ambition of the emissions inventory.

E1-1_03

The decarbonisation levers included in our Climate Transition Plan encompass a series of actions in our operations and value chain, focusing on:

Main decarbonisation levers		Key actions	More information in
Reduction	Use of improved energy sources	/ Own operations: self-consumption, power purchase agreements, sustainable building / Supply Chain Environmental Transformation Plan	*E1-3; E2-2; E3-2; E3-3*
	Optimisation of energy management		
	Promoting circularity and the use of lower-impact materials	/ Sustainability Innovation Hub / Fibres Plan / Pre-Owned	*E5-2; E5-3*
Neutralisation	Promoting and fostering regenerative practices	/ Fibres Plan / Cotton Strategy / Revitalisation of soils and ecosystems to sustain communities and biodiversity / Conservation, protection and restoration of ecosystems and biodiversity	*E4-3; E4-4; E5-2; E5-3*
	Application of other nature-based solutions		
	Application of technological solutions		
Mitigation beyond the value chain	Fostering biodiversity and balanced ecosystems as well as community well-being		

E1-1_04;
E1-1_05;
E1-1_06;
E1-1_13

ⓘ More information on the economic resources allocated to the Climate Transition Plan in sections *E1-3. Actions related to climate change*, *E4-3. Actions related to biodiversity and ecosystems* and *E5-2. Actions related to resource use and circular economy* of this Report.

E1-1_14

Approval of the Transition Plan

As mentioned in our sustainability governance model, our Chief Executive Officer is responsible for defining and approving the sustainability strategy approved by the Board of Directors. In this regard, in particular the Climate Transition Plan was also presented to the Social Advisory Board and the Sustainability Committee, and announced to our shareholders in the General Meeting, thereby ensuring the involvement of our governing bodies in its review and approval.

E1-1_08

Relationship with the taxonomy

As indicated in the section *Disclosure pursuant to article 8 of Regulation (EU) 2020/852 (Taxonomy Regulation)*, we report information in relation to the Taxonomy since 2021 in accordance with the Commission Delegated Regulation (EU) 2021/2139 (Climate Delegated Act).

Although our main activity is not yet included in the Taxonomy Regulation, we endeavour to implement measures to align our current and future actions with the Taxonomy's technical screening criteria in the activities to which it applies, such as in store refurbishments and openings, construction and refurbishment of corporate headquarters, Group logistics centres and other own facilities, and electricity generation from wind and photovoltaic power. We also have investment plans to align ongoing projects that are scheduled for completion in future years.

ⓘ More information in section *Disclosure pursuant to article 8 of Regulation (EU) 2020/852 (Taxonomy Regulation)* of this Report.

E1-1_15

Progress to date

Throughout 2024, we have continued to strengthen our commitment to responsible resource management —in particular of energy— and to reducing GHG emissions, through initiatives like:

/ Fostering self-consumption and power purchase agreements.

/ Using renewable energy in our own operations and in the supply chain.

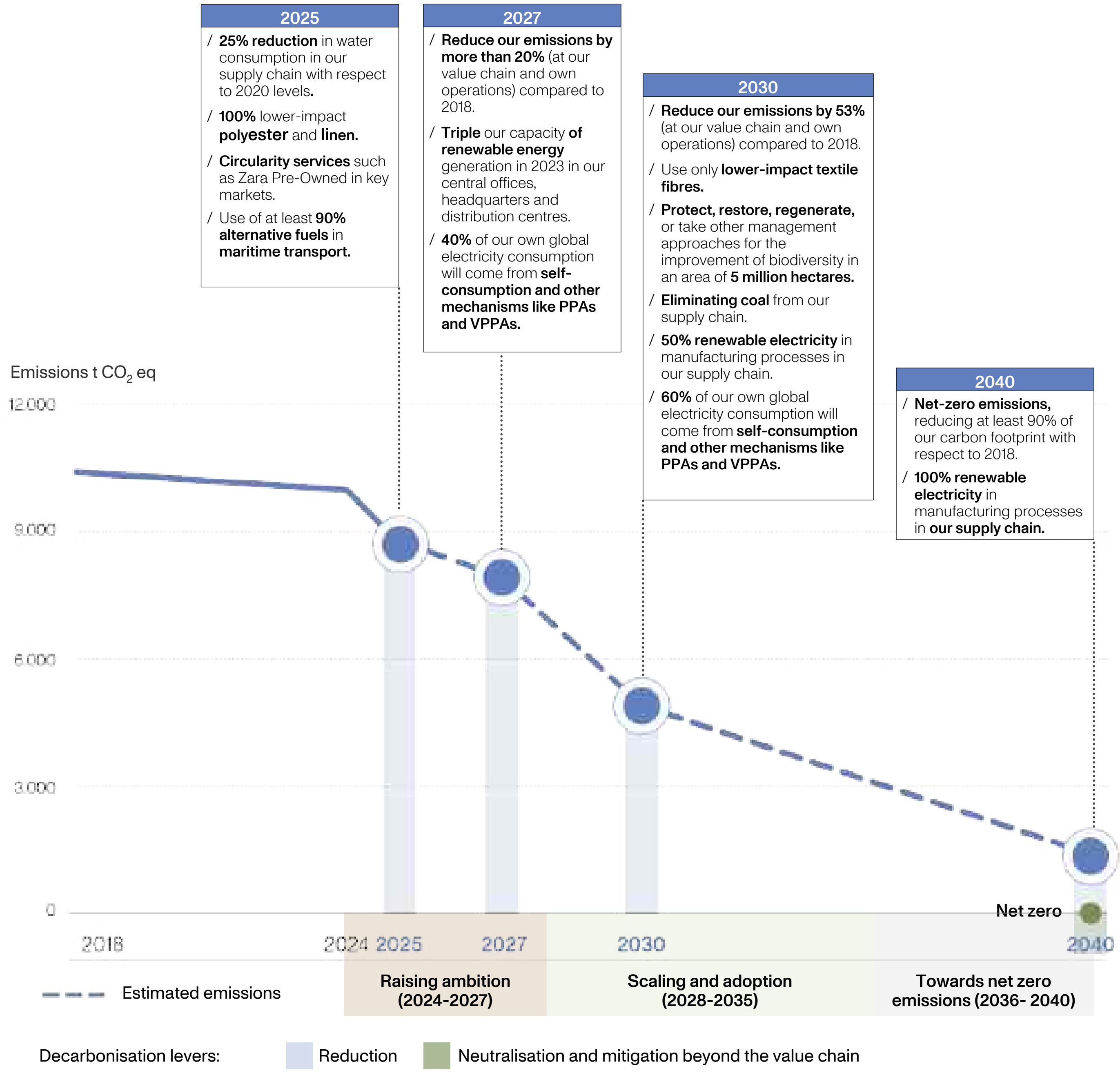
/ Launching the Supply Chain Environmental Transformation Plan 2024-2027.

/ Further headway in our 2030 Fibres Plan.

/ Using alternative fuels rather than fossil fuels in maritime transport.

ⓘ More information in sections *E1-3. Actions related to climate change*, *E1-4. Targets related to climate change* , *E1-5. Energy consumption and mix* and *E5-2. Actions related to resource use and circular economy* of this Report.

Towards net-zero emissions



E1-1_12

In addition, it is worth noting that the Group has not been excluded from the EU Paris-aligned benchmarks, given that the requirements pursuant to Article 12 of Delegated Regulation (EU) 2020/1818 are not applicable.

IRO-1/SBM-3. Material climate-related impacts, risks and opportunities

Identification of Impacts, Risks and Opportunities

E1.IRO-1_01; E1.SBM-3_07

The Group's commitment to mitigating the effects of climate change are most notably reflected in our Climate Transition Plan. This understanding of the effects of climate change is also related to our **annual materiality assessment**, in which we identify a list of climate-related impacts, risks and opportunities, by actively listening to our stakeholders.

We also carry out an **analysis of climate scenarios**, through which we studied five emissions pathways and determined the potential impact of the physical and transition risks in our activity and our own facilities and those of our value chain in the short, medium and long term.

In particular, one of our main impacts are atmospheric greenhouse gas (GHG) emissions in our value chain. In this regard, we identified Inditex's current and possible future sources of GHG emissions, in both our own operations and the value chain, in accordance with the guidelines of the Intergovernmental Panel on Climate Change (IPCC – Guidelines for National Greenhouse Gas Inventories, 2006) and the World Resources Institute's GHG Protocol (2015). Furthermore, in calculating and reporting Inditex's current and estimated future GHG emissions (according to our Climate Transition Plan), we follow the same international guidelines.

ⓘ More information in section *E1-6. GHG emissions* and in the *Methodological Annex* of this Report.

Material Impacts, Risks and Opportunities related to climate

		TYPE (I/R/O)	PHASE OF THE VALUE CHAIN [1]	RELATED POLICIES
E1.I1	**Greenhouse gas emissions** (GHG)	I	/ Own operations / Value chain	**Transversal policies:** / Sustainability Policy / Sustainability Stakeholder Relations Policy **Specific policies:** / Energy Policy / Ecosystems and Biodiversity Policy / Water Policy
E1.I2	**Energy consumption**	I	/ Own operations / Value chain	
E1.R1	**Climate-related physical and transition risks**	R	/ Own operations / Extended value chain	

[1] The extended value chain comprises the environment and the communities in which we are present even if they are not directly linked to our activity.

ⓘ More information on stakeholder engagement and our materiality analysis can be found in sections *SBM-3. Material impacts, risks and opportunities* and *IROs. Disclosures on the materiality assessment process* of this Report.

With regard to opportunities, this is an area where we will continue to work on further analysis and development. Given that climate-related opportunities also affect other environmental aspects and dimensions, we will include them in the following environmental chapters of this Report. Such is the case of the efficient consumption of natural resources, new business models, the transformation of the sector and innovation, among others.

As for more complex opportunities like the strategic transformation of the Company and its resilience, we will continue to analyse them with a view to providing more information in future reporting exercises.

ⓘ More information in section *E5-2. Actions related to resource use and circular economy* of this Report.

Based on our identification and assessment of climate-related impacts, risks and opportunities, we adapt our sustainability strategy in the short, medium and long term, which applies to all our business areas. For instance, in 2023 we developed our new **Climate Transition Plan**, which evidences our commitment to a more efficient and circular fashion industry capable of tackling the climate challenge. To make headway in these targets, in 2024, we rely on the Fibres Plan and the Supply Chain Environmental Transformation Plan.

Moreover, at Inditex we are convinced that fostering a culture of sustainability in all areas of our company is key to making constant progress towards our sustainability targets. **The Sustainable Fashion School** and **Changemakers** are the product of this vision.

ⓘ More information in sections *E1-1. Transition plan for climate change*, *E1-3. Actions related to climate change*, *E5-3. Targets related to resource use and circular economy* and *S1-4. Actions related to own workforce* of this Report.

Analysis of climate-related risks

E1.IRO-1_02; E1.IRO-1_09; E1.IRO-1_05; E1.IRO-1_17; E1.IRO-1_18; E1.IRO-1_19; E1.IRO-1_20; E1.SBM-3_02

At Inditex we take an integrated approach to risks. By analysing climate scenarios we identify and assess risks and opportunities to ensure the resilience of our strategy in the short, medium and long term. This analysis includes both high emissions pathways and those in line with the 1.5ºC emissions pathways.

To quantify the potential climate-related physical and transition risks, we use a representation of the Group. It is known as a 'digital twin' and is updated annually with information on financial estimates, facilities of our own and our value chain, raw materials used in our products, a geographic breakdown of the business and the Group's scope 1, 2 and 3 greenhouse gas emissions.

The result of the scenario methodology represents the potential losses in estimated cash flows in terms of Earning Value at Risk.

Due to the nature and long-term horizon of climate-related risks, especially in the physical dimension, the Group needs to estimate impacts over time horizons longer than five years. For this purpose, once the Group's expected cash flows for the short-term horizon (0-5 years) have been established, these financial estimates are used to assess the impacts on the different climatic conditions in the medium term (5-10 years) and the long term (more than 10 years)[7]. These time horizons take into account the useful life of our assets[8] and the Group's planning and business cycles.

[7] For the purposes of the materiality assessment, the time horizons of the climate-related impacts, risks and opportunities have been reconciled with those provided in ESRS 1.
[8] The time horizons were established on the basis of the useful life of the assets on the balance sheet. *Note 3.2*. Accounting Policies, b) Property, plant and equipment, which is reviewed annually. The useful life of the Group's assets is currently established in the medium to long term.

E1.IRO-1_03;
E1.IRO-1_10;
E1.SBM-3_01

Below are the short-, medium- and long-term physical and transition risks identified and taken into account for our analysis:

Climate-related risks for our Group

Physical risks

Acute

Caused by natural events, including more severe extreme weather events, like cyclones, hurricanes and floods, among others.

Chronic

Long-term changes in weather patterns that may cause an increase in sea level, chronic heat waves or changes to seasons, among other events.

These physical risks may cause damage to material goods and disrupt the supply chain in the following scenarios:

/ Changes in the availability and quality of water resources.

/ Vulnerability in respect of other specific resources or raw materials on which Inditex depends, such as cotton, viscose, etc.

/ Potential disruption in shipping routes.

/ Workers health and safety.

Transition risks

Market

The markets where we operate may be affected by climate change in different ways, but one of the main ones is through changes in the supply and demand of certain raw materials we use in our operating processes, and the products we sell to our customers.

Regulatory and legal

Government policy actions on climate change continue to evolve towards a low-carbon economy. Generally speaking, their objectives fall into two categories: initiatives aimed at reducing greenhouse gas emissions or policies designed to promote climate change adaptation. In this scenario, the Group's carbon footprint throughout its value chain (scope 1, 2 and 3 emissions) could be subject to the price of carbon.

Another risk to consider in the context of transition comes from the eventual legal liability of companies, depending on the evolution of the socioeconomic context, social perception and the scientific development of climate attribution.

Technology

In today's fast-evolving technological landscape, the Group may be exposed to the possibility of having to undertake sizeable investments in operations and infrastructure to adapt to climate change. It will also have to manage the depreciation and/or obsolescence of existing assets in its own operations that are not suited to a low-carbon economy. The members of our value chain face the same risk, which could eventually be passed on to the Group through higher sales and operating costs.

Reputation

As the pace of society's transition to a low-carbon economy picks up and public opinion changes, the Group's individual contribution may come under increasing scrutiny, especially if the Group's transition, or that of our industry, towards a low-carbon economy fails to meet the market's expectations.

ⓘ More information in section *E1-9. Anticipated financial effects related to climate change* of this Report.

E1.IRO-1_07;
E1.IRO-1_08;
E1.IRO-1_15;
E1.IRO-1_13;
E1.SBM-3_03;
E1.SBM-3_04;
E1.SBM-3_05;
E1.SBM-3_06

Scenario analysis

Through scenario analysis, we can learn about the potential impacts of climate change on our company. This knowledge can be applied to strategic planning, risk management and the evaluation of our resilience.

In 2024, we made further headway in the analysis of the resilience of our value chain so we could include in our analysis the mitigation measures that result from implementing our programmes to reduce our carbon footprint.

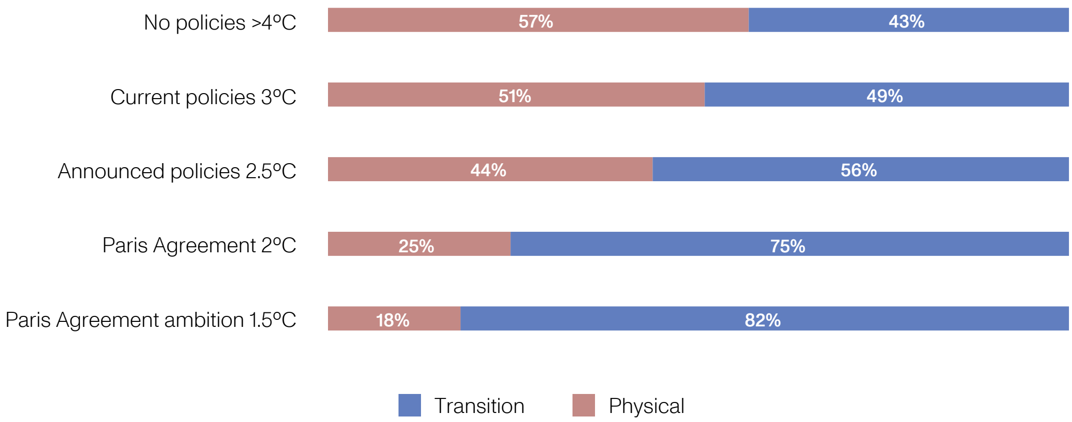
The emissions pathways used in our analysis of scenarios correspond to the latest data published in the Sixth Assessment Report from the Intergovernmental Panel on Climate Change (IPCC).

To assess the potential impacts on the Company stemming from physical and transition risks, we used five scenarios with five different emissions pathways:

/ No policies (>4ºC by 2100)
/ Current policies (3ºC by 2100)
/ Announced policies (2.5ºC by 2100)
/ Paris Agreement (2ºC by 2070)
/ Paris Agreement ambition (1.5ºC by 2050)

Each pathway develops a socio-economic narrative towards regulatory changes, energy outlooks or technological advances on the basis of existing data, probability of occurrence and severity.

With respect to total estimated risk, the table below shows the result of the physical and transition dimensions in each of the pathways[9] in the short term:



ⓘ More information in section *E1-9. Anticipated financial effects related to climate change* of this Report.

E1.IRO-1_16

Furthermore, as stated in *Note 2* to the Consolidated Annual Accounts, in the estimates used to measure certain assets, liabilities, income, expenses and obligations reported therein, climate change related-risks were considered, in particular those associated with the scenarios for those assessments.

E1.IRO-1_04; E1.IRO-1_06; E1.SBM-3_06

Physical risks

There are three possible types (dimensions) of physical risks from climate change:

/ Acute risks: caused by extreme weather events.
/ Chronic risks: the result of gradual changes in long-term weather patterns.
/ In some cases, there may be **a combination of both** acute and chronic.

In 2024, the analysis of physical risks was conducted on over 15,700 own and third-party facilities in our value chain. The facilities analysed are of different types: factories, logistics centres, offices, airports, ports, logistics hubs, stores, etc. In the case of our own facilities, we estimate the physical damage associated with extreme weather phenomena and the resulting financial losses, as well as operating losses due to reduced operating capacity and efficiency.

These climate phenomena are considered in the long-, medium- and short-term analysis: heatwave, freeze, water stress, river flooding, coastal flooding, 'extratropical' storm, tropical storm and flash flooding. The choice of these physical phenomena is based on Cambridge University's Centre for Risk Studies relevance criteria for our business.

[9] Climate modelling is a complex discipline that is exposed to three uncertainties: natural climate variability, how accurate the climate model turns out to be, and how accurate the emissions scenario proves to be. Climate scenarios are not forecasts, predictions or sensitivity analyses, but hypothetical constructions of plausible future situations based on science, aimed at assessing the resilience of a company's assets, business model and strategy to such scenarios.

In order to weigh the financial impacts of extreme weather events caused by climate change, the changing probability and severity of each event is used to quantify the increase or reduction of the physical impacts expected at facility level. The base-case scenario also makes it possible to assess existing risks, especially water stress in the catchment areas where the Group's own or third-party facilities are located, particularly in Spain, where the Group's main assets are concentrated.

Over the course of this year we have experienced nine natural disasters in our stores due to extreme weather phenomena (four in Spain, one in Italy, one in Mexico, two in the United States and one in Austria), mainly due to torrential rain, heavy snow or hail, hurricanes or tornadoes. Although they caused damage to our stores, their impact on the Group was immaterial.

Financial impact of physical climate-related risks[1]

Physical dimension: Acute

Scenario

This scenario envisages the possibility that extreme or catastrophic weather events may reduce the productivity of the Group's activities, disrupt its normal performance and/or increase the costs of operations and processes. The vulnerability of facilities to the various climate threats depends on their type and/or their importance for the value chain. According to these attributes, the scenario translates into different impacts and speeds at which the facilities can recover normal operating conditions.

Impact on business model

The disruption may trigger a decrease in expected cash flows due to a decline in Group sales depending on the operations' level of dependence on the affected facility or facilities, possible impairment of property, plant and equipment and loss of inventories.

Main mitigations

/ Most of the facilities are related to the supply chain and our commercial network so there are technical contingency systems in place that would mitigate the consequences of a disruption or shutdown.

/ Continuous review systems, along with the insurance policies, would cover loss of profit and resulting expenses.

/ In the specific case of logistics centres, they have been configured so as to be able to take on storage and distribution capacity for other centres in the event of a contingency caused by extreme weather events.

ⓘ More information in section *Responsible risk management* of this Report.

Physical dimension: Acute and Chronic

Scenario

This scenario envisages the possibility that unexpected extreme weather events may cause disruptions in estimated revenue in the short term due to changes in consumer demand.

Impact on business model

Extreme weather events can impact short-term normal earnings flows. Sales may be affected by changes to demand if consumers change their behaviour due to the weather, reduced retail traffic or if the value chain experiences local disruptions.

Main mitigations

/ All areas of the Group are geared towards satisfying customer needs and guaranteeing the best shopping experience, which is why our activity begins by actively listening to our customers and identifying their demands and expectations.

/ Flexible, integrated and innovative business model that affords a competitive advantage when it comes to analysis and response in the short, medium and long terms.

ⓘ More information in section *SBM-1. Strategy, business model and value chain* of this Report.

Physical dimension: Chronic

Scenario

This scenario envisages changes in long-term weather patterns affecting the agricultural productivity of the crops from which the various textile fibres used by the Group are derived (cotton, linen, wool, leather and man-made cellulosic fibres, among others). The effect of such phenomena would be a potential change in the supply and availability of raw materials.

Impact on business model

Losing the supply of these raw materials would disrupt business, potentially resulting in a decrease in sales if the shortage caused by the event cannot be recovered and/or selling costs rise due to a reduced or absent supply of the raw materials.

Main mitigations

/ We have put a Climate Transition Plan in place to drive industry transformation and make progress in the fight against climate change.

/ Our Fibres Plan contains stringent commitments for the use of lower-impact materials.

/ The Group's efforts and work to foster the development of technologies to improve the sustainability of the raw materials and their subsequent recycling, with particular attention to innovation in recycled fibres of textile origin that allow reducing dependence on virgin raw materials.

/ The Group's collaboration with other organisations and institutions to increase the range of materials with better environmental performance, which make more efficient use of natural resources, and with recycled content.

(1) The risk trend reflected here corresponds with the short term.

Transition risks

E1.IRO-1_11;
E1.IRO-1_12;
E1.SBM-3_06

Transition risks vary significantly depending on the level of ambition of each pathway analysed and affect all areas of our business.

To calculate their financial impact, we have examined five dimensions of transition risks in the short, medium and long term:

/ Regulatory
/ Legal liability
/ Technology
/ Market
/ Reputation

We have found that the largest potential short-term impact on our operations and business model derives from regulatory risk, due to potential policy action by governments to tackle climate change in the transition to a low-carbon economy.

Financial impact of transition risks (1)

Transition dimension: Regulatory ↓

Scenario

Establishing an explicit carbon price is a key mechanism to incentivise the transition to a low-carbon economy. Carbon prices used in our models vary from country to country with the aim of covering all global emissions by 2025.

Impact on business model

In this scenario, the Group would pay a price for the emissions generated throughout its value chain. The Group's carbon footprint in each of the markets in which it operates is considered and the carbon price in each jurisdiction is applied. The Group's financial impact stems from the increase in production and distribution costs, and the cost of raw material procurements.

Main mitigations

/ We have put a Climate Transition Plan in place to drive industry transformation and make progress in the fight against climate change.

/ We have therefore launched two key strategic plans: the Supply Chain Environmental Transformation Plan and the Fibres Plan to advance towards a low-carbon economy model and meet our sustainability targets.

ⓘ More information in sections *E1-1. Transition plan for climate change*, *E1-3. Actions related to climate change*, *E2-2. Actions related to pollution*, *E3-2. Actions related to water resources* and *E5-2. Actions related to resource use and circular economy* of this Report.

Transition dimension: Legal liability

Scenario

This scenario considers developments in climate-related litigation, a consequence of scientific advances that allow climate change to be linked to specific events, paving the way for potential attributions of liability.

Impact on business model

The intensity of lawsuits related to GHG emissions and climate change that the Group may experience will vary depending on the different emissions pathways. Their probability of occurrence and potential impact will also vary depending on the estimated impact (settlement, legal costs, severance pay, etc.).

Main mitigations

/ Inditex's Climate Transition Plan, Supply Chain Environmental Transformation Plan and Fibres Plan.

/ Inditex's Sustainability Policy, which defines the principles for integrating sustainable practices, in keeping with the Planetary Boundaries and with respect for human rights and those of other living beings, throughout our business model, activities and stakeholder relations.

ⓘ More information in section *MDR-P. Policies* of this Report.

/ Solid Compliance Model in place and a robust corporate governance structure that ensures compliance with regulations, guidelines and best practices in this connection.

ⓘ More information in section *G1. Business conduct* of this Report.

Transition dimension Technology

Scenario

This scenario analyses how the Group's competitiveness might be affected by the development and use of new technologies that are less GHG-emissions intensive, considering their operating costs and the demand for our products.

Impact on business model

Stemming from the depreciation and liquidation value of assets, additional CapEx and increased raw materials costs.

Main mitigations

/ Innovation is an inherent and transversal value throughout the Inditex business model, which is why we collaborate with our suppliers and other organisations to find innovative solutions that may be applied throughout the value chain and life cycle of our products. The Inditex's Sustainability Innovation Hub is a clear evidence seeking to foster the circular economy, contribute to decarbonisation and maximise environmentally-friendly development.

ⓘ More information in section *E5-2. Actions related to resource use and circular economy* of this Report.

Transition dimension: Market

Scenario

This scenario envisages an increasing market interest in sustainable products and services. Potential changes in supply and demand patterns jeopardise the Group's market share and cost of capital.

Impact on business model

The demand impacts are expressed as the loss of earnings and/or failure to comply with growth targets. Investor sentiment translates into an increase in the cost of capital and in the cost of financing. The various emissions pathways determine the scale of these impacts.

Main mitigations

/ The Group's commitment to customers also implies anticipating their demands in diversity, sustainability or transparency matters, among others, while seeking to involve them in the efforts and progress that the Group makes around these issues.

/ Sustainability strategy with a focus on reducing the environmental impact through the Fibres Plan and Supply Chain Environmental Transformation Plan.

Transition dimension: Reputation
Scenario
This scenario considers a context with no progress towards a low-carbon economy, valuing the effects of public opinion, climate activism and investors' perceptions.
Impact on business model
The impacts on demand are materialised through the loss of earnings and/or failure to comply with growth targets. Market sentiment translates into impacts on the capital and financing costs.
Main mitigations
/ Inditex's Sustainability roadmap includes ambitious targets and actions aimed at achieving the long-term goal as a lever of transformation. The Group collaborates with all the actors in the value chain and with stakeholders to tackle global challenges from a holistic standpoint.
ⓘ More information in section *SBM-1. Strategy, business model and value chain* of this Report.

(1) The risk trend reflected here corresponds with the short term.

E1.IRO-1_14

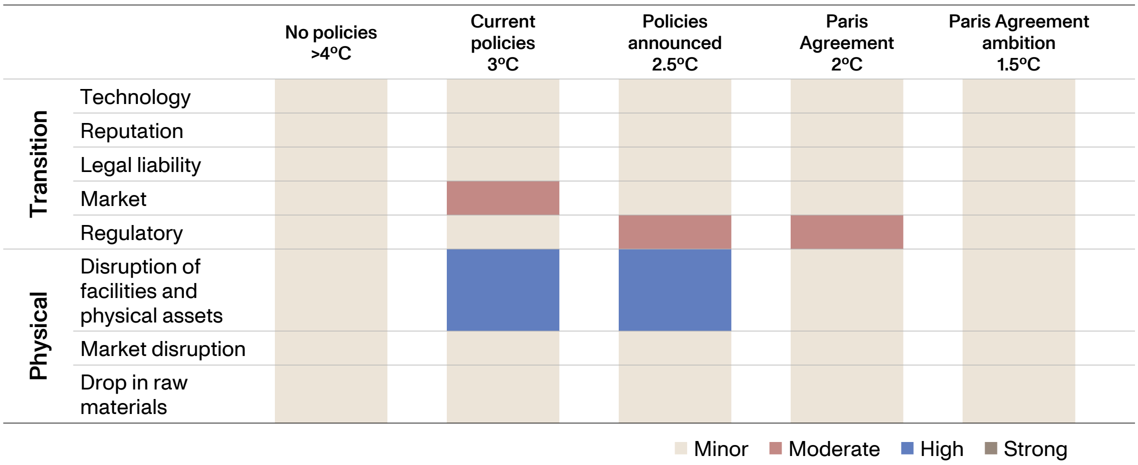
This analysis shows that none of the Company's activities or assets were found to be incompatible with the climate transition, or require significant efforts to guarantee that compatibility.

E1-9. Anticipated financial effects related to climate change

E1-9_08; E1-9_09; E1-9_29;

Based on our analysis of future climate scenarios, we obtained an estimate of the short- (0-5 years), medium- (5-10 years) and long- (more than 10 years) term physical and transitional climate-related risks[10]. The impact of each scenario represents a cash flow at risk deriving from each of the possible emissions pathways, adjusted by the scenario's probability of occurrence and without yet including mitigation measures.

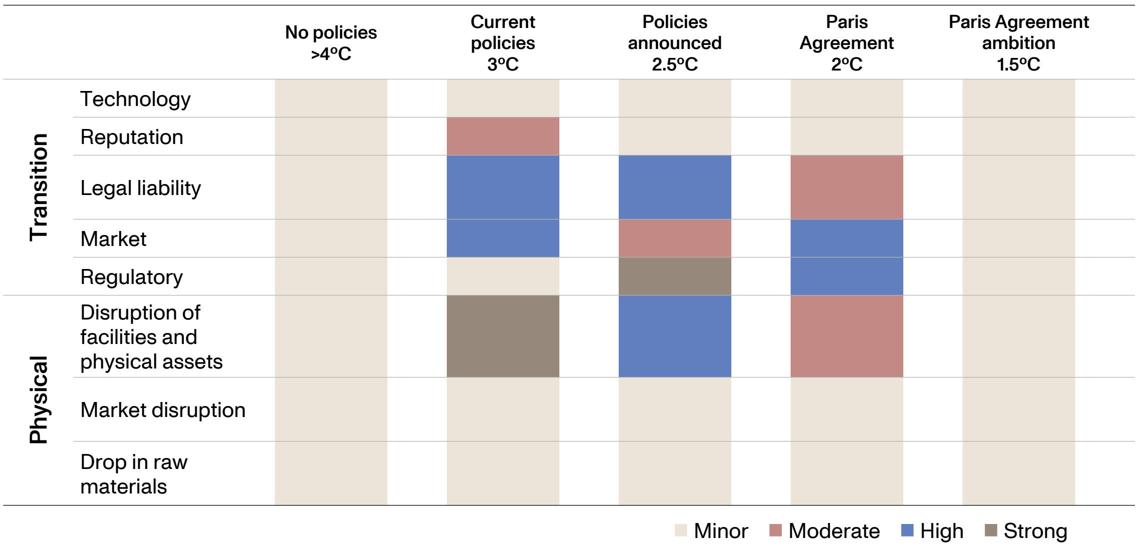
Short-term climate-related risk assessment (0-5 years)



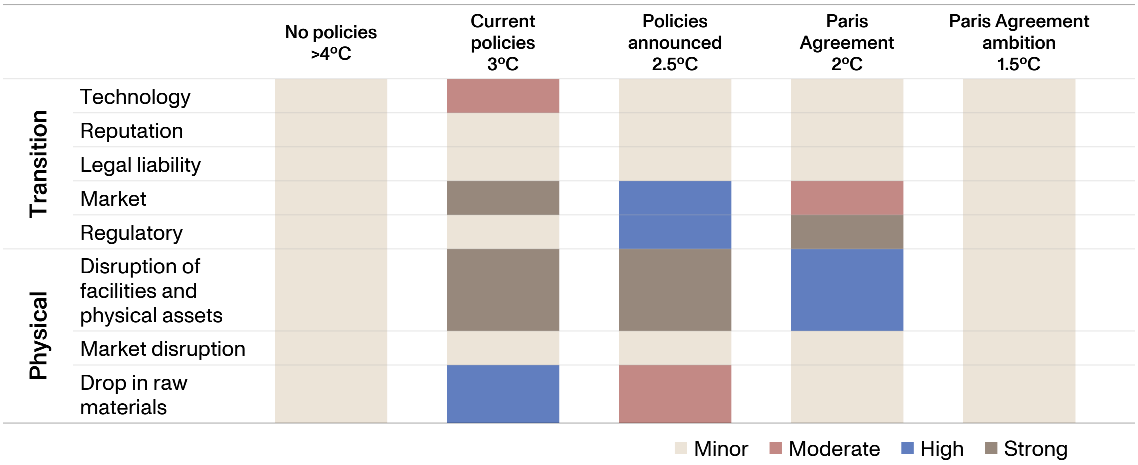
In the next five years, the financial impacts of physical risk are relatively limited to disruptions at key facilities, mainly throughout our value chain, in current policy pathways and announced policies. The probability that acute events could cause significant losses —'catastrophic physical tail risks'— remains low at present. The most impactful weather events for the Group are primarily heatwaves and drought or water stress, followed by coastal flooding.

[10] For the purposes of the materiality assessment, the time horizons of the climate-related impacts, risks and opportunities have been reconciled with those provided in ESRS 1.

Medium-term climate-related risk assessment (5-10 years)



Long-term climate-related risk assessment (+10 years)



E1-9_10;
E1-9_11;
E1-9_18;
E1-9_19

Our climate-related risk assessment methodology is based on that of the University of Cambridge's Centre for Risk Studies. Detailed information on this methodology, including the choice of time frames, climate scenarios and emissions pathways used and the model assumptions, among others, is provided in other sections of this Report:

ⓘ More information in sections *IRO-1/SBM-3. Material climate-related impacts, risks and opportunities* and *in the Methodological Annex* of this Report.

The identification and assessment of physical and transition climate-related risks are subject to numerous uncertainties, arising, among other things, from the complexity of anticipating how the climate may evolve. These uncertainties mean that the data contained in this report may be inaccurate in the future, depending on how the climate and the scientific consensus regarding the process of climate change evolve. Such data therefore represent the best estimate that can be made using existing climate information and models.

C. Impact, risk and opportunity management

E1-2. Policies related to climate change

E1.MDR-P_01-06; MDR-P_01; MDR-P_02; MDR-P_03; MDR-P_04; MDR-P_05

We have recently broadened our ambition by updating our Sustainability Policy and publishing our new Energy Policy -both approved in February 2025-, the latter being key to the development of responsible energy management and a greater capacity for climate change adaptation and mitigation.

We have also approved the new policies Water Policy and Ecosystems and Biodiversity Policy, which strengthen our transversal approach to climate change, acknowledging the need to protect and restore nature and all its resources to contribute to its mitigation.

Policies related to climate change

/ Energy Policy ⓘ

/ Sustainability Policy ⓘ

/ Ecosystems and Biodiversity Policy ⓘ

/ Water Policy ⓘ

/ Sustainability Stakeholder Relations Policy ⓘ

ⓘ More information on our policies and their updates in section *MDR-P – Policies* of this Report.

Energy Policy

Approved by the Board of Directors on 4 February 2025

Key contents	/ Commitment to promote responsible energy sourcing and management that contribute to reduce greenhouse gas emissions in our own operations and in the value chain / Complementary and additional measures to contribute to improve the integrity and resilience of energy infrastructure, as well as actions aimed at transformation
Scope	/ The entire Group (companies and individuals) / People who provide services or collaborate with the Group (including the Board of Directors) / It promotes the alignment of suppliers, factories along the supply chain and third parties engaged with the Group with the Policy
Accountable for the implementation	/ Sustainability department and its chief officer
Third-party standards	/ Paris Climate Agreement / Task Force on Climate-Related Financial Disclosures (TCFD)
Consideration given to stakeholders	/ Stakeholders' interests and concerns relating to energy were taken into account in developing the policy / Participation of the Social Advisory Board

E1-2_01

Our Sustainability Policy develops the Group's commitment to continuous improvement in **climate change adaptation and mitigation**, as well as our commitment to a fair transition.

This commitment is broadened and updated through our Energy Policy, which reinforces our initiatives to reduce GHG emissions, responsibly manage natural resources and work to transform the industry.

The Energy Policy underscores the role of promoting **energy efficiency** in our operations and value chain, allowing us to reduce our environmental footprint through operating efficiency. Accordingly, we propose strategies for monitoring energy consumption, increasing electrical and thermal efficiency to minimise energy losses and reduce the associated environmental impact by adopting innovative technologies and processes that optimise consumption, the application of best practices for design and construction and the adaptation of infrastructures.

Our Policy also emphasises the importance of **choosing the best energy sources**. This applies both to our operations and our value chain, structured through the supply of lower-impact electricity, and the transition towards alternative energy sources (such as renewable energy sources) and the gradual elimination of fossil fuels.

Moreover, we are also committed to contributing to **sector transformation**, through innovation and collaboration, thereby helping to effect systemic change. In this regard, we include benchmark standards in our analyses, such as the TCFD framework for climate-related risk assessment.

E1-3. Actions related to climate change

E1.MDR-A_01-12;
E1-3_01

We continually strive to find solutions that reduce GHG emissions throughout our value chain, with the aim of reaching net-zero emissions by 2040. These efforts centre primarily on our Supply Chain Environmental Transformation Plan, our Fibres Plan, the launch of circularity and efficiency programmes, and the protection and conservation of ecosystems.

Our main measures this year, which we present below, evidence our efforts to mitigate the effects of climate change both at our own operations and in the rest of the value chain, in line with the goals established in our Climate Transition Plan.

ⓘ More information in sections *E1-1. Transition plan for climate change* and *E5-3. Targets related to resource use and circular economy* of this Report.

Initiatives in own operations

Lower-impact consumption

MDR-A_01;
MDR-A_02;
MDR-A_03;
MDR-A_04;
MDR-A_05;
E1-3_03;
E1-3_04

At our Company we are committed to generating and procuring energy from renewable sources to help us reduce our GHG emissions. In this section we present the most noteworthy actions of the year, in which we will continue to work going forward, in keeping with our commitments and targets provided in the Group's Climate Transition Plan. In 2024, we reduced more than 434,000 tonnes of GHG in our scopes 1 and 2 with respect to 2018, highlighting the importance of these initiatives in our own operations. We estimate that their implementation by 2030, together with other actions, will allow us to reduce 36,000 tonnes of GHG with respect to 2018.

Moreover, since 2022 we have fulfilled our goal of obtaining 100% of the electricity at our own facilities from renewable sources.

Self-consumption

Related IROs: [E1.I1; E1.I2; E1.R1]

Self-consumption means renewable energy produced on our premises or in nearby locations to meet our energy needs. To achieve this we use photovoltaic and wind power systems to generate renewable energy that helps reduce the environmental impact and GHG emissions associated with this electricity consumption.

In 2024 we have various active photovoltaic generation plants and a wind turbine generator that have a combined installed capacity of more than 5 MW and that produced 9,962 MWh of electricity.

Another notable self-consumption initiative is the development of the Outer Port Wind Facility in A Coruña in collaboration with the city's Port Authority, which will consist of the installation of various wind turbine generators with an installed capacity of 5.5-6 MW. Through this initiative, we aim to generate the renewable energy necessary to cover the annual electricity required by our headquarters in Arteixo, and, in addition, supply clean electricity to the port's own infrastructures. In 2024, the process of administrative and technical approvals necessary to obtain the required licences continued.

Fostering self-consumption —through the different projects included in this section— is aligned with the objectives of our Sustainability Policy and Energy Policy pertaining to the promotion of the efficient management of natural resources, especially energy, and to reducing their consumption and the associated impacts.

These actions will help us meet our target of tripling our current self-consumption capacity of renewable electricity at our headquarters, offices and own distribution centres by 2027, date when we estimate that around one-fourth of the electricity used by these facilities will be generated by self-consumption sources.

Power purchase agreements

Related IROs: [E1.I1; E1.I2; E1.R1]

MDR-A_01;
MDR-A_02;
MDR-A_03;
MDR-A_05

In addition to implementing self-consumption initiatives, we promote the implementation of new renewable energy sources in our own operations through **power purchase agreements** (PPA), which are long-term agreements between energy consumers and producers.

These agreements enable producers to finance the construction of new renewable energy generation infrastructure, even when there are no incentives or subsidies. They are a way to facilitate the sustainable and long-term implementation of new projects.

At 2024, year-end, we have virtual power purchase agreements (VPPA) in place for periods of 10 and 12 years, with a total installed capacity of 136 MW. The related projects are in development phase, in some cases pending final approval, and will come on stream in 2025.

In 2024 we further developed our energy supply strategies, in particular boosting their alignment with solid criteria of respect for human rights. Consequently, we have established a set of aspects around three fundamental pillars: environmental impact, social implications and support for grid capacity and resilience. In total we have identified 15 criteria for contracting renewable energy projects, distributed in these three key categories, based on best practices, trends and current legislative requirements.

This action, continuously over time, is aligned with our target that, by 2027, 40% of our global electricity should be consumed through mechanisms that help develop additional capabilities, such as self-consumption, or signing new PPAs and VPPAs. By 2030 our goal is to reach 60%.

In line with the objectives of our Sustainability Policy and our Energy Policy, these agreements help promote new infrastructure to generate renewable energy that will allow to reduce the GHG emissions associated with their energy consumption.

MDR-A_04

These agreements allow us to consume renewable energy regardless of the location of our operations, while contributing clean energy to the grid. We aim to continue working in this sphere to generate new renewable energy capacity.

Energy attribute certificates

Related IROs: [E1.I1; E1.I2; E1.R1]

MDR-A_01;
MDR-A_02;
MDR-A_03;
MDR-A_04;
MDR-A_05

When we encounter limitations in the implementation of other mechanisms, we turn to alternatives such as green tariffs and energy attribute certificates.

These third-party-issued certificates evidence that a specified amount of electricity in our own operations was generated from renewable sources, reducing the volume of GHG emissions from our consumption with respect to the consumption of energy from conventional sources. With few exceptions, the renewable energy in the certificates we use is generated in the same electricity market where the electricity is consumed and the certificates are issued and redeemed as close as possible to the energy consumption period in which the instrument is applied.

With regard to the acquisition of certificates, we follow the guidelines established by benchmark organisations, such as CDP and RE100. In 2024, consistent with the previous year, more than 90% of the energy attribute certificates we acquired met these requirements.

This action is aligned with the objectives of our Sustainability Policy and Energy Policy in connection with promoting measures to reduce the environmental impact linked to GHG emissions generated by the production and consumption of energy.

ⓘ More information in section *E1-4. Targets related to climate change* of this Report.

Efficiency and optimisation initiatives

Efficiency on facilities: headquarters, own logistics centres, own factories and stores

Related IROs: [E1.I1; E1.I2; E1.R1]

Headquarters, own logistics centres and own factories

MDR-A_01; MDR-A_02; MDR-A_03; MDR-A_04

Energy efficiency is an ongoing action that helps us to control the consumption of resources with the aim of reducing and mitigating our impact on the environment. Hence, we make the necessary investments in our headquarters and platforms, and we promote best practices in our teams and processes.

Among these best practices is the application of bioclimatic and sustainable architectural criteria in the design and construction of our headquarters, as compared to conventional design and construction practices. In fact, since 2009 we have been certifying our flagship spaces in accordance with the most widely recognised sustainable construction standards, such as the LEED certifications developed by the US Green Building Council.

These initiatives allow us to promote energy savings —with the consequent reduction in GHG emissions—, optimise water use and responsibly manage construction materials and waste, among other criteria, in line with the main environmental objectives of our Sustainability Policy and our Energy Policy.

In 2024 we had two LEED Platinum, 11 LEED Gold, two LEED Silver, one LEED CI Certified and one BREEAM certification.

MDR-A_05

We also continue to certify our facilities in Spain to the ISO 50001 international standard, which distinguishes efficient and sustainable energy management processes. In 2024, our Central Services, CPD and the logistics platform in Arteixo, the logistics platform and CPD in A Laracha, Indipunt, the Europa logistics platform, the León logistics platform and the Meco logistics platform have all either renewed or obtained this certification.

Own stores

MDR-A_01; MDR-A_02; MDR-A_03

Energy Efficiency —consistent with the objectives of our Sustainability Policy and Energy Policy— and the implementation of best practices are also priorities in our physical and online stores.

Accordingly, we periodically review our standards to align them with best practices and implement new programmes for continuous improvement in the sustainability of our stores.

MDR-A_05

At present, seven stores have LEED Platinum certification, 28 have LEED Gold certification and one has BREEAM certification.

Also notable is that by the end of 2024, 83% of our own stores were connected to the central Inergy platform, which allows us to monitor and optimise energy consumption in order to boost energy efficiency.

MDR-A_04

By applying sustainable construction practices in our stores, we are able to optimise their energy consumption as compared with conventional design and construction practices.

Initiatives in supply chain

Supply Chain Environmental Transformation Plan 2024-2027

Related IROs: [E1.I1; E1.I2; E1.R1; E2.I1; E2.I2; E2.R1; E3.I1; E3.I2; E3.R1; E5.I1; E5.I2; E5.I3; E5.R1; E5.O1; E5.O2]

MDR-A_01; MDR-A_03; E1-3_03; E1-3_04

In accordance with Inditex's roadmap to sustainability and in line with our Sustainability Policy, in 2024 we have launched our Supply Chain Environmental Transformation Plan 2024-2027. This Plan is aimed at fostering the inclusion of environmental best practices and continuous collaboration with our suppliers.

The Plan outlines a series of measures to be phased in over the period, to help transform the textile industry through three lines of action:

/ Gradual increase in the minimum environmental requirements and standards.

/ Extension of the scope of application, adding environmental requirements also for dry processing facilities (spinning, weaving and sewing). Until now, its application was mainly for wet processing facilities.

/ Accompaniment through support and evaluation tools and technical support through specialist consulting.

This Transformation Plan is structured around **five priority environmental impacts**: water consumption, wastewater treatment, chemical products, waste management and carbon footprint. In this chapter we will concentrate on energy and reducing the carbon footprint.

The information on the remaining impacts is provided in the actions sections of the different disclosure requirements: wastewater treatment and chemicals (E2. Pollution), water consumption (E3. Water resources) and waste management (E5. Resource use and circular economy).

The Transformation Plan has been launched at all of the Group's suppliers and manufacturers. This year we also commenced the programmes to accompany our key suppliers and manufacturers. This accompaniment through support tools and technical backing will be gradually provided to our supply chain over the course of the Plan's period.

In 2024 we managed to reduce more than 560,000 tonnes of GHG in the goods and services category of our scope 3, with respect to 2018, thereby underscoring the importance of collaboration with our supply chain. We estimate that the consolidation of this initiative through 2030, along with other measures in our value chain, will allow us to reduce 4.9 million tonnes of GHG with respect to our 2018 emissions, in keeping with our SBTs.

MDR-A_02

Environmental requirements: more ambition for a lower impact

In order to promote not only the reduction of the environmental impact of our production, but also transform the textile industry, we will progressively increase the minimum environmental requirements that our suppliers and manufacturers must meet to be a part of our supply chain.

As these new requirements enter into force, they will be incorporated in our Green to Wear (GtW) standard. We have established a calendar for minimum requirements for the 2024-2027 period to enable our suppliers and manufacturers to plan and execute any necessary improvements.

The scope of the Transformation Plan increases the environmental requirements for mainly wet processing facilities — already included under the GtW standard— and gradually incorporates, from 2025 onwards, environmental requirements for dry processing facilities (spinning, weaving and sewing).

/ Carbon footprint

MDR-A_01; MDR-A_02; MDR-A_03; MDR-A_04

The introduction of cleaner energy sources, along with the improvements in energy efficiency, are key to minimising GHG emissions associated with textile manufacturing processes. These measures are aligned with our Sustainability Policy and Energy Policy and help us comply with out targets of reducing our GHG emissions by 53% by 2030 as compared with 2018, and reaching net-zero emissions by 2040.

Accordingly, we have included in our GtW standard a new minimum requirement for manufacturers in our supply chain, who must design a **decarbonisation plan** that must be in the process of implementation in 2025. This plan should:

/ Meet a specific annual average carbon footprint reduction of at least 4.2%, considering scope 1 and 2 emissions as defined in the GHG Protocol.

/ Be updated in 2026 and 2027, in accordance with future benchmark values, specific to each type of facility, in which we are currently working.

/ Have a duration of at least one year; being recommended that it should entail longer-term actions with a more ambitious decarbonisation time frame.

/ Be ratified and signed by the management of each facility.

Furthermore, we continue to maintain the existing environmental requirements of our GtW standard, such as that no new coal-fired facility may join our supply chain, in line with our commitment to eliminate coal as an energy source.

MDR-A_04

Accompaniment: the key to transformation

At Inditex we implement a range of tools and initiatives to move forward in fostering environmental best practices and accompanying all the suppliers and manufacturers who show commitment to improvement.

Thus, we have four types of tools:

/ Monitoring and assessment tools

These tools focus on monitoring the supply chain and verifying that our mandatory standards are met. We highlight the role of environmental audits, which allow us to verify compliance with the GtW standard requirements across wet and dry processing facilities, and to introduce specific actions to continuously improve the environmental impact. They will be applied to dry processes over the course of 2025.

We have also launched a quarterly data collection portal to compile relevant information on production, such as water and energy consumption. Its purpose is to help these facilities to monitor the reduction of environmental impact reduction periodically.

ⓘ More information in section *G1-2. Management of relationships with suppliers* of this Report.

/ Diagnostic tools

We provide our suppliers and manufacturers with the tools to diagnose and monitor the environmental impact of the facilities in their supply chain.

These tools allow them to see their own performance diagnosis, showing their level of compliance with environmental requirements additional to minimum requirements through Inditex's suppliers portal

/ Supporting programmes

At Inditex we believe that responsible management of our supply chain implies accompanying our suppliers in improving their environmental performance. For this purpose, we have technical assistance and monitoring programmes, notably including:

- **Corrective Action Plans (CAPs):** for those instances in which breaches of the minimum requirements of our GtW standard are found. This programme accompanies and helps facilities to meet the minimum requirements so as to remain part of our supply chain.
- **Environmental Improvement Plans:** these are offered progressively to the facilities in our supply chain so that they can devise medium-term improvement plans for priority impacts. To devise these plans, we make available to key suppliers a technical support service through our teams and specialist consultants, to analyse the current status of their facilities and identify the action plans needed to meet the more stringent requirements defined.

ⓘ More information in section *G1-2. Management of relationships with suppliers* of this Report.

/ Best Available Techniques or BATs

Lastly, we have created a tool focused on supporting suppliers and manufacturers in our supply chain in implementing the best available techniques aimed at industrial manufacturing processes. This tool, made in collaboration with a network of experts and specialists, covers the best technologies and measures to reduce the impact in the various impact areas of the Transformation Plan. This is freely accessible and available for anyone interested via our corporate website.

In addition, facilities can access, among other issues, information on the investment needed, the expected effect of consumption reductions and even potential constraints in the implementation of the measures. The platform also provides information on the benefits of the proposed new technologies over conventional ones.

In connection with energy, it addresses and assesses topics like the regionally self-generation of renewable electricity, the signature of power purchase agreements (PPAs), the purchase of certified renewable energy from the grid, the monitoring of the consumption and energy optimisation of equipment and processes or the installation of heat recovery units, among others.

ⓘ More information on Best Available Techniques (BAT) on Inditex's corporate website.

MDR-A_06; MDR-A_07; MDR-A_09; MDR-A_10; MDR-A_11; MDR-A_12; E1-3_05; E1-3_06

The financial resources allocated to the development of the actions carried out both in our own operations and in the supply chain do not represent a material amount in isolation and are accounted for as OpEx or CapEx depending on their nature (*Note 6.* Operating Expenses or *Note 14.* Property, plant and equipment of the Consolidated Annual Accounts), except for the existing vPPAs that are included in the Other Financial Assets item (*Note 26.* of the Consolidated Annual Accounts). Regarding self-consumption, as reflected in our EU Taxonomy section, throughout this year we have made an investment 2.3 million euros in the Outer Port Wind Facility in A Coruña, and another 1.4 million in photovoltaic installations at our centres in Laracha and Zaragoza (Spain). Both investments are accounted for as CapEx in Property, plant and equipment of the Consolidated Balance Sheet (see *Note 14.* of the Consolidated Annual Accounts). The Outer Port Wind Facility in A Coruña, is planned for launch in 2027 with an estimated investments of 34 million euros, which will be recorded under Tangible Fixed Assets on the Consolidated Balance Sheet as the project is executed.

In addition to these actions, we carry out other initiatives that contribute to our climate change targets, focused on both our own operations and the supply chain. These notably include:

- In 2023 we signed a multi-year collaboration agreement with Naturgy and EDAR Bens, the public company in charge of water treatment in the metropolitan area of A Coruña (Spain), to promote R&D work on biomethane (a renewable gas) production processes in the urban WWTP and food industry sectors as an alternative way of generating renewable energy. In 2024, 1,892 MWh of biomethane were generated, which were included in the commercial supply agreement for Inditex's facilities in Arteixo and A Laracha[11].
- This collaboration agreement has opened up avenues of research into the production of green hydrogen from the biogas generated by the plant and its possible injection into the existing natural gas network.

E1-3_05;
E1-3_06;
E1-3_07;
E1-3_08

- Furthermore, in 2024 the Group has conducted an analysis of its accounting information in order to determine which activities are associated with those described in the Taxonomy in relation to each of the six targets. Hence, we ensure the transparency and accuracy of the data reported as per the requirements of Delegated Regulation (EU) 2021/2178 of the European Taxonomy Regulation. During the year, we have recorded CapEx of 411 million euros in environmentally sustainable activities, and 4,867 million euros in Taxonomy non-eligible activities.

It is important to note, as indicated in the section on the EU Taxonomy, that the Company's main activity —the distribution and sale of fashion items— is not included in the current regulatory framework.

ⓘ More information in section *Taxonomy* of this Report.

Agreements and collaborations

Beyond the framework of these actions, we collaborate with numerous organisations to address both the causes and the consequences of climate change.

In this regard, we have signed up to initiatives like the Fashion Industry Charter for Climate Action (FICCA), led by the United Nations Framework Convention on Climate Change (UNFCCC), the United Nations Business Ambition for 1.5º , and the Fashion Pact.

We have also established partnerships with small organisations and initiatives like Smart Freight Centre and Cargo Owners for Zero Emission Vessels (COZEV). With regard to the shipping and distribution of our products, we reached an agreement with Iberia and Repsol to pursue the supply of sustainable aviation fuel (SAF), setting ourselves the goal of using 5% of this fuel in Inditex's cargo flights from Madrid.

In 2024 we joined RE100, led by the Climate Group. Also, ahead of COP29, we signed the World Economic Forum and the Alliance of CEO Climate Leaders open letter calling on policy-makers and businesses to commit strategically and financially to net zero, recognising the need to work together for a just and equitable transition.

In addition, under our framework agreement with the International Apparel Federation, we collaborate with business organisations, brands and other players to drive the decarbonisation of global apparel and textile supply chains, including this year the launch of pilot programmes in Türkiye and Bangladesh.

D. Metrics and targets

E1-4. Targets related to climate change

E1.MDR-T_01-13

Our **Climate Transition Plan**, available on the Inditex corporate website, includes a series of targets for furthering our climate commitment, in line with the Paris Agreement ambition, which aims to cap the increase in global temperature at 1.5ºC above pre-industrial levels.

ⓘ More information in section *E1-1. Transition plan for climate change* of this Report.

[11] The biomethane is injected into the local network by our natural gas supplier, who delivers us the relevant certificates for its renewable origin. Since GHG Protocol does not presently recognise the use of these market mechanisms for scopes 1 and 3, we do not compute it in Inditex's corporate footprint, but we mention it as a project driven by the Group.

In addition, we have set targets for water consumption in the supply chain, use of lower-environmental-impact raw materials and circularity services that help us progress towards our goals of reducing emissions and fighting climate change.

ⓘ More information on our sustainability targets in section *SBM-1. Strategy, business model and value chain* of this Report.

Our climate targets in depth

• Science-based targets (SBTs)

MDR-T_01

Our emissions reduction targets are aligned with the Paris Agreement ambition. In this regard, we want to achieve net-zero GHG emissions in our entire value chain by 2040. Furthermore, by 2030 we aim to reduce our total emissions by at least 53%, including our own operations and the value chain.

Both targets are directly aligned with four of our main policies: the Sustainability Policy, the Energy Policy, the Water Policy and the Ecosystems and Biodiversity Policy. Specifically, with the commitments to preserve the environment, to consider the consequences of climate change and to implement continuous improvement measures to reduce greenhouse gas emissions.

MDR-T_02; MDR-T_03; MDR-T_05; MDR-T_06; MDR-T_07; MDR-T_08; MDR-T_13; E1-4_01; E1-4_02; E1-4_03; E1-4_04; E1-4_15; E1-4_16

Target: reach net-zero GHG emissions by 2040

Breakdown by scope

/ Reduce scope 1 and 2 GHG emissions by 95% by 2040

/ Reduce scope 3 GHG emissions by 90% by 2040

Target: reduce our total emissions by at least 53% by 2030

Breakdown by scope

/ Reduce absolute scope 1 and 2 emissions by 95% by 2030

/ Reduce absolute scope 3 emissions by 51% by 2030

	Base year	Current year	Target year	
	2018	2024	2030	2040
Total emissions (t CO_2eq)	10,528,872	9,962,965	4,941,090	1,028,108
Scope 1 and 2 (t CO_2eq)	495,584	60,912	24,779	24,779
Scope 3 (t CO_2eq)	10,033,288	9,902,054	4,916,311	1,003,329

MDR-T_10; MDR-T_11; E1-4_01; E1-4_21; E1-4_22

Our 2040 net zero emissions target and 2030 emissions reduction target have been approved by the SBTi, in accordance with this organisation's criteria and considerations for the 1.5ºC emissions pathway. This ensures that they are consistent with climate science consensus and the Paris Agreement ambition.

E1-4_01; MDR-T_04

These targets affect both our own operations (scope 1 and 2) and our value chain (scope 3), regardless of their location. With regard to scope 2 emissions, these targets apply to market-based scope 2 emissions. For its part, scope 3 includes the following categories: purchased goods and services (category 1), fuel- and energy-related activities (category 3), upstream transportation and distribution (category 4), waste generated in our own operations (category 5), business travel (category 6), employee commuting (category 7), end-of-life treatment of sold products (category 12), downstream leased assets (category 13) and franchises (category 14).

MDR-T_08; MDR-T_13

Thanks to our efforts within the framework of our Climate Transition Plan, in 2024 we reduced scope 1, 2 and 3 emissions by 5% of our SBT, as compared to 2018. In 2024, we launched our Supply Chain Environmental Transformation Plan 2024-2027, which will allow us to continue advancing towards our intermediate milestone of achieving a 20% reduction of emissions in all three scopes by 2027.

To achieve these targets, we have focused on the following commitments in key action lines with the ultimate aim of attaining net-zero emissions by 2040:

/ Use at least 90% of alternative fuels in maritime transport by 2025.

In the last few years we have worked with our logistics suppliers to promote this target. In this connection, we highlight the recent agreement with Maersk for the shipping company to use alternative fuels on its vessels, such as green methanol or second-generation biofuels.

/ Triple our current installed capacity of renewable energy generation in our central offices, headquarters and distribution centres by 2027.

We are committed to the generation and purchase of energy from renewable sources as one of the key mechanisms for reducing our GHG emissions. We therefore invest in generating renewable energy at our facilities. Specifically, we have facilities for the generation of photovoltaic and wind energy, as well as geothermal and solar thermal energy.

/ Ensure that 40% of our own global electricity consumption comes from self-consumption and other mechanisms such as power purchase agreements (PPAs) or virtual power purchase agreements (VPPAs) by 2027. And that at least 60% of that consumption comes from this kind of mechanism by 2030.

In addition to implementing self-consumption initiatives, we promote the implementation of new renewable energy sources through PPAs, which are long-term agreements between consumers and energy producers. Our energy sourcing strategy factors in considerations around improvements in environmental impact, along with respect for human rights and support for the capacity and resilience of the grid.

/ Eliminate the use of coal in our supply chain by 2030.

In line with our commitment to the UN Fashion Industry Charter for Climate Action, since July 2023 we do not accept new factories to our supply chain that use coal as an energy source, and we continue to work with our suppliers and manufacturers to reduce coal consumption in those facilities where it was already being used.

/ Use 50% renewable electricity in manufacturing processes in our supply chain by 2030, reaching 100% by 2040.

We want to promote the use of renewable energy in our supply chain, and to do this we work both individually with factories and suppliers through our Supply Chain Environmental Transformation Plan, and collaboratively with our stakeholders through industry partnerships.

MDR-T_03; MDR-T_09; MDR-T_12; E1-4_01; E1-4_18; E1-4_20; E1-4_21; E1-4_25

ⓘ More information in the *Methodological Annex* of this Report.

How we work towards our targets

Under our Transition Plan, we launch various initiatives, in accordance with various decarbonisation levers, to reduce our GHG emissions and thereby move towards attaining our targets.

E1-4_23

ⓘ More information in section *E1-1. Transition plan for climate change* of this Report.

E1-4_24

At Inditex, we take a comprehensive approach to climate change, analysing future climate scenarios and identifying the physical and transition risks, as well as associated opportunities to ensure a resilient short-, medium- and long-term strategy.

Based on our identification and assessment of climate-related impacts, risks and opportunities, we adapt our sustainability strategy, which is integrated into all our business areas.

ⓘ More information on the scenario analysis methodology in sections *IRO-1/SBM-3. Material climate-related impacts, risks and opportunities* of this Report.

E1-5_01; E1-5_02; E1-5_03; E1-5_04; E1-5_05; E1-5_06; E1-5_07; E1-5_08; E1-5_09; E1-5_10; E1-5_11; E1-5_12; E1-5_13; E1-5_14; E1-5_15; E1-5_17; E1-5_18

E1-5. Energy consumption and mix

Our Energy Policy aims to promote the sourcing and the responsible management of the energy consumed by Inditex's activities throughout our value chain, to improve control over resources and reduce the environmental impact.

Our global energy consumption includes energy consumed in:

/ Corporate headquarters and international offices.
/ Own logistics centres.
/ Own factories.
/ Own stores.

In 2024 our global energy consumption amounted to 1,670,262 MWh (6,012,942 GJ), of which 1,543,884 MWh came from renewable sources. This implies 27% reduction in relative energy consumption per square metre as compared with 2018 (in 2024, 636 MJ/m^2).

We also undertake to optimise our energy consumption and to use lower-impact energy sources, in line with our Climate Transition Plan.

ⓘ More information in section *E1-1. Transition plan for climate change* of this Report.

Energy consumption	2024	2023	2018 (base year)
Fuel consumption from coal and coal products (MWh)	0	0	0
Fuel consumption from crude oil and petroleum products (MWh)	21,633	12,621	18,267
Fuel consumption from natural gas (MWh)	97,288	96,130	131,011
Fuel consumption from other fossil sources (MWh)	0	0	0
Consumption of purchased or acquired electricity, heat, steam, and cooling from fossil sources (MWh)	7,457	6,416	1,032,288
Total fossil energy consumption (MWh)	**126,377**	**115,166**	**1,181,566**
Share of fossil sources in total energy consumption (%)	**8%**	**7%**	**58%**
Consumption from nuclear sources (MWh)	**0**	**0**	**0**
Share of consumption from nuclear sources in total energy consumption (%)	**-%**	**-%**	**-%**
Fuel consumption for renewable sources including biomass (also comprising industrial and municipal waste of biologic origin, biofuels, biogas, renewable hydrogen, etc.) (MWh)	57	1,272	1,444
Consumption of purchased or acquired electricity, heat, steam, and cooling from renewable sources (MWh)	1,534,720	1,605,158	858,706
The consumption of self-generated non-fuel renewable energy (MWh)	9,107	11,015	2,542
Total renewable energy consumption (MWh)	**1,543,884**	**1,617,445**	**862,692**
Share of renewable sources in total energy consumption (%)	**92%**	**93%**	**42%**
Total energy consumption (MWh) (1)	**1,670,262**	**1,732,611**	**2,044,258**
Total relative energy consumption (kWh/m²) (1)	**177**	**201**	**243**
Total relative energy consumption (Wh/€) (1)	**43**	**48**	**78**

(1) The values for the base year and the previous year were recalculated.

E1-5_20; E1-5_21

As defined by the statistical classification of economic activities of the European Union (NACE), our sector may be assigned to group '47.5 Retail sale of other household equipments in specialised stores', considered of high climate impact. Therefore, the total relative consumption provided is equivalent to consumption in sectors with a high climate impact.

To calculate total relative energy consumption (Wh/€) it has been used net sales obtained in 2024, as stated in *Note 4* to our Consolidated Annual Accounts.

E1-5_16

We have not generated any non-renewable energy over the course of the year.

E1-5_05; E1-5_16; E1-5_17

ⓘ More information in section *E1-3. Actions related to climate change* of this Report.

E1-6_01; E1-6_03; E1-6_04; E1-6_07; E1-6_08; E1-6_09; E1-6_10; E1-6_11; E1-6_12; E1-6_13; E1-6_27

IE1-6. GHG emissions

Below we present a breakdown of our absolute emissions by scope and category, in accordance with the GHG Protocol.

	Retrospective				Milestones and target years [1]			
	2024	**2023**	**2018 (base year)**	**Comparison (2024/2023 %)**	**2027**	**2030**	**2040**	**Target (2024/2018 %)**
Scope 1 GHG emissions								
Gross scope 1 GHG emissions (t CO_2eq)	59,572	49,686	76,136	20%	60,909	3,807	3,807	(22)%
Percentage of scope 1 GHG emissions from regulated emissions trading schemes (%)	-	-	-	-	-	-	-	-
Scope 2 GHG emissions								
Gross location-based scope 2 GHG emissions (t CO_2eq)	433,654	448,966	662,799	(3)%	NA	NA	NA	NA
Gross market-based scope 2 GHG emissions (t CO_2eq)	1,340	1,153	419,448	16%	335,558	20,972	20,972	(100)%
Scope 3 GHG emissions[2]								
C1. Purchased goods and services	6,696,995	7,102,152	7,264,232	(6)%	-	-	-	(8)%
C2. Capital goods	275,050	265,644	240,011	4%	NA	NA	NA	NA
C3. Fuel and energy-related Activities (not included in scopes 1 or 2)	42,536	36,576	140,189	16%	-	-	-	(70)%
C4. Upstream transportation and distribution	2,614,230	2,378,464	2,102,728	10%	-	-	-	24%
C5. Waste generated in operations	3,854	2,819	3,583	37%	-	-	-	8%
C6. Business travel	34,980	34,679	49,425	1%	-	-	-	(29)%
C7. Employee commuting	143,878	142,038	174,105	1%	-	-	-	(17)%
C11. Use of sold products	3,250,659	3,105,308	3,148,636	5%	NA	NA	NA	NA
C12. End-of-life treatment of sold products	236,398	225,882	180,123	5%	-	-	-	31%
C13. Downstream leased assets	0	256	0	(100)%	-	-	-	0%
C14. Franchises	129,183	125,012	118,903	3%	-	-	-	9%
Total gross indirect GHG emissions (scope 3) (t CO_2eq)	13,427,762	13,418,829	13,421,935	0%	8,026,630	4,916,311	1,003,329	0%
Total GHG emissions								
Total (location-based) GHG emissions (t CO_2eq)	13,920,988	13,917,482	14,160,871	0%	NA	NA	NA	NA
Total (market-based) GHG emissions (t CO_2eq)	13,488,674	13,469,668	13,917,519	0%	8,423,098	4,941,090	1,028,108	(5)%

[1] Emissions reported in the Milestones and Targets columns refer to the GHG emissions categories for which there are approved SBTs. More information in the targets section of this Chapter.

[2] Categories C8 (upstream leased assets), C9 (downstream transportation and distribution), C10 (processing of sold products) and C15 (investments), were analysed but not included in this inventory of GHG emissions. More information on the reasons for their exclusion can be found in the Methodological Annex of this Report.

In 2024, our GHG emissions were reduced by 5% compared to 2018, based on the emissions categories subject to our SBT targets. The scope 3 purchased goods and services category continues to have the greatest weight in respect of GHG emissions in our value chain. In this category, 38% of emissions correspond to the extraction of raw materials used in our products. In 2024, thanks to the progress of our Fibres Plan, we managed to reduce GHG emissions related to the extraction of raw materials by 21% compared to 2018. In addition, the gradual implementation of our Supply Chain Environmental Transformation Plan will allow us to continue making progress in reducing emissions associated with the production processes in this category.

Finally, during the year, we have managed to reduce our scope 1 and 2 emissions by 88% compared with 2018.

E1-6_18;
E1-6_19;
E1-6_21;
E1-6_22;
E1-6_23

As indicated in section **E1-3. Actions related to climate change**, in keeping with our ambition to optimise our energy management, we have entered into power purchase agreements (PPAs), whereby energy producers have access to financing to build new renewable energy generation infrastructure. In 2024, as these projects are yet underway, we have self-generated our electricity and used renewable energy certificates.

In 2024, more than 90% of these renewable energy certificates met the requirements of benchmark organisations such as the CDP. Of all the certificates used, 33% were bundled, and 67% were unbundled.

ⓘ More information in section *E1-3. Actions related to climate change* of this Report.

E1-6_30;
E1-6_31

Our emissions intensity in 2024, and its evolution compared with the previous year and the base year, was as follows:

GHG emissions	2024	2023	2018 (base year)
Kg CO_2eq per m^2 (market-based scope 1+2)	6	6	59
Kg CO_2eq per m^2 (location-based scope 1+2)	52	58	88
g CO_2eq per € (market-based scope 1+2)	1.6	1.4	19
g CO_2eq per € (location-based scope 1+2)	13	14	28
g CO_2eq per € (market-based scope 1+2+3)	349	375	532
g CO_2eq per € (location-based scope 1+2+3)	360	387	542

E1-6_32;
E1-6_33;
E1-6_34;
E1-6_35

To calculate the GHG emissions intensity in 2024, we used the total value of our net sales, as indicated in *Note 4* to our Consolidated Annual Accounts. No other revenues were considered that are excluded from the calculation of GHG emissions intensity.

ⓘ More information in *Note 4. Net Sales* of the Consolidated Annual Accounts.

E1-6_17;
E1-6_28

Lastly, we have biogenic emissions from biomass combustion or biodegradation in scope 1 and 3. Specifically, in 2024, 20 and 445,969 tonnes of biogenic CO_2 in scope 1 and 3, respectively, were generated by the use of biofuels at some facilities.

How we calculate our emissions

E1-6_15;
E1-6_25;
E1-6_26

The Methodological Annex of this Report contains details about the methodology used to calculate the Inditex Group's GHG emissions, including the standards used, the scope, the gases considered and the nature of the data used, among other information.

ⓘ More information on the calculation methodology in the *Methodological Annex* of this Report.

The Inditex Group's scope 1, 2 and 3 GHG emissions have been verified independently, in addition to the verification of the information included in this Report by Ernst & Young in accordance with ISAE 3410 standard.

E1-6_02

As stated in our Consolidated Annual Accounts, and based on an analysis of the contractual arrangements that grant joint control, the Group classified its participation in the Tempe Group as a joint venture. Consequently, the Tempe Group's GHG emissions have been consolidated with the emissions of the parent company.

Therefore, the emissions of other participated companies non-consolidated in the Group's financial statements are not applicable, and therefore not disclosed in the table above.

ⓘ More information in *Note 1.* of the Consolidated Annual Accounts.

E2. Pollution

A. Impact, risk and opportunity management

IRO-1. Material pollution-related impacts, risks and opportunities

Identification of Impacts, Risks and Opportunities

E2.IRO-1_01

Based on the analysis of our activity, coupled with the materiality assessment and the views of our stakeholders, we compile a list of material pollution-related impacts, risks and opportunities[12].

In the process we have included the assessment of all our activities and those of our value chain, considering the various locations of the facilities, with the aim of identifying all the potential impact pathways.

The results of the assessment allow us to conclude that the pollution-related material impacts, risks and opportunities are linked to the activity of our value chain (mainly to those supply chain stages that involve wet processes, and the use and end of life of articles) and are immaterial in our own operations.

For the current year, in accordance with the transitional provision of the European Directive (CSRD), in the section 10.2 of ESRS 1, the information reported in this chapter in connection with the value chain is of qualitative nature only.

However, in order to broaden the information reported in future reporting periods, we are working to compile information on metrics related to pollution in our value chain.

Consultations with stakeholders

E2.IRO-1_02

Dialogue with stakeholders is a pivotal part of our materiality analysis, as previously detailed in this Report. Specifically, in 2024 we involved specialist organisations like Zero Discharge of Hazardous Chemicals (ZDHC) in our **double materiality assessment**.

Both in the materiality assessment as during the course of our activity, we work with specialist organisations that give us valuable insight into the possible impacts of our activity in terms of pollution. In this regard, we highlight our adherence to ZDHC.

This continuous engagement also allows us to develop new goals and actions linked to the proper management of our impacts, risks and opportunities.

[12] Pollution derived from greenhouse gas emissions is not included, as this is covered in standard E1 - Climate change.

E2.IRO-1_03

Material Impacts, Risks and Opportunities related to pollution

		TYPE (I/R/O)	PHASE OF THE VALUE CHAIN [1]	RELATED POLICIES
E2.I1	**Impact from the use of chemical substances**	I	/ Raw materials / Supply Chain [2] / Use and end of life	**Transversal policies:** / Sustainability Policy / Sustainability Stakeholder Relations Policy **Specific policies:** / Ecosystems and Biodiversity Policy / Energy Policy / Water Policy
E2.I2	**Possible emissions of other pollutants and microfibres**	I	/ Raw materials / Supply Chain / Use and end of life	
E2.R1	**Transition risks due to pollution**	R	/ Extended value chain	

[1] The extended value chain comprises the environment and the communities in which we are present even if they are not directly linked to our activity.

[2] Including the facilities mainly carrying out wet processes, as these are the ones that use chemical products, water and energy as the main inputs in their manufacturing processes.

ⓘ More information on our stakeholder engagement and our materiality assessment in sections *SBM-3. Material impacts, risks and opportunities* and *IROs. Disclosures on the materiality assessment process* of this Report.

E2-1. Policies related to pollution

E2.MDR-P_01-06

The principles enshrined in our policies are the foundation of initiatives to reduce the impact relating to pollution, and in particular to avoid the emission of substances of concern in the various stages of the value chain, most notably in manufacturing stages.

Policies related to pollution

/ Sustainability Policy ⓘ
/ Ecosystems and Biodiversity Policy ⓘ
/ Energy Policy ⓘ
/ Water Policy ⓘ
/ Sustainability Stakeholder Relations Policy ⓘ

ⓘ More information on our policies and their updates in section *MDR-P. Policies* of this Report.

Mitigation of negative impacts related to pollution

E2-1_01

In keeping with our **Sustainability Policy**, we are working to minimise the potential environmental impact generated in our value chain, affecting ecosystems, biodiversity and its environment, as well as people, ensuring compliance with applicable legislation.

ⓘ More information on the measures implemented to avoid pollution and mitigate its effects in section *E2-2. Actions related to pollution* of this Report.

In accordance with our **Water Policy,** we promote adequate wastewater management by improving treatment processes and minimising the water footprint in the value chain. Similarly, we foster measures to reduce potential emissions to soil and freshwater by substances such as nitrogen and phosphorous, from the supply chain and from consumers' domestic laundry. We also take into account possible microfibre shedding in manufacturing and domestic laundry, so we consider aspects relating to water when we design our products and processes.

Pollution derived from the manufacturing and processing of products represents a significant impact on biodiversity and, accordingly, on natural resources, the environment and people. That is why, in line with our **Ecosystems and Biodiversity Policy**, we are committed to:

/ Protection and improvement of fertile soil health.

/ Water quality and access.

/ Protection of biodiversity and promotion on regenerative practices, among other actions.

Furthermore, our **Energy Policy** also covers impacts on climate, air quality and the integrity of the ozone layer, due to their essential role in regulating the Earth's biogeochemical cycles and maintaining temperatures and radiation levels compatible with life.

Minimising the use of substances of concern[13]

E2-1_02

At Inditex we are fully committed to the safety of our articles. Consequently, in accordance with our **Sustainability Policy**, we work to prevent, reduce and eliminate discharges, with a particular focus on potentially hazardous chemicals that might be harmful either to the environment or to people, such as our customers and the supply chain workers.

In line with our **Water Policy,** we are also committed to reducing the impact of emissions and discharges of pollutants into water, including chemical substances. Accordingly, our Green to Wear standard includes requirements relating to the chemical management system (CMS) and production process control.

We also require our suppliers and manufacturers to adhere to the Manufacturing Restricted Substances List, of the Zero Discharge of Hazardous Chemicals (ZDHC) foundation prior to entering into a commercial relationship with us.

In addition, we have made available to the industry the programme The List, by Inditex through ZDHC's Gateway platform. This is a programme carried out in partnership with the chemical industry that includes a classification of chemical products to ensure the safety of the final garments and improve the discharge quality.

ⓘ More information on *The List, by Inditex* on Inditex's corporate website.

Prevention and limitation of the impact on people and the environment

E2-1_03

In line with our Sustainability Policy and in order to avoid pollution-related incidents and emergencies, we identify the main risks in both our own operations and those of the supply chain.

/ Own operations: our Environmental Management System, which is certified to ISO 14001 standard, identifies the potential risks in connection with pollution emergencies in terms of logistics facilities and headquarters. This system establishes environmental incident logs, procedural reviews and the deadlines for remediation and improvement, among others, so as to avoid incidents and preserve the environment.

/ Supply chain: we carry out environmental audits to verify compliance with our Green to Wear standard and we determine the suitable Corrective Action Plans (CAPs), helping our suppliers to remedy the non-compliances detected.

ⓘ More information on the initiatives carried out in the supply chain in section *G1-2. Management of relationships with suppliers* of this Report

Own standards and certifications

We continuously strive to ensure that the products we sell are safe for our customers, the people who make them, the local communities, our workforce and the planet. To achieve this, we have our **own specific** product and process **standards** that are of general and mandatory application to our entire supply chain, for all the articles we sell[14]. These standards go beyond the requirements of current international legislation and cover processes from design to manufacturing.

[13] The term 'substances of concern', used throughout this Report, also refers to those substances classified by the CSRD as 'substances of very high concern'.
[14] Articles that are outside the scope of Inditex's health and safety standards are subject to minimum requirement reports specifically compiled in accordance with the statutory requirements which apply to the type of product and the markets where they are sold.

In this regard, we have a number of standards focusing on managing chemical products in processes and articles, which we break down in detail below.

Standards linked to chemical safety

	Scope
Green to Wear	Manufacturing processes of textile and leather goods.
The List, by Inditex	Chemical products used in the production of garments, fabrics, footwear, accessories and home textiles.
Clear to Wear	Garments, fabrics, footwear, accessories and home textiles.
i+Cosmetics	Cosmetics.
i+Food Contact Materials	Products in contact with food.
i+Home Fragrances and candles	Home fragrances, candles and their accessories.

With regard to pollution, we highlight our Green to Wear standard, whose chemical management system (CMS) module for the management of chemical products requires suppliers to choose the most adequate chemical products to ensure safety from the outset of the production process. Associated with this programme, we also have The List, by Inditex, to guarantee the use of safe chemical products; and, lastly, our Clear to Wear standard, which focuses on the health and chemical safety of finished products in textile and leather articles, as well as other Inditex health standards that apply to other product types.

We also have other health and safety standards linked to the characteristics of each product type, outlined in section S4. Consumers and end-users.

ⓘ More information in section *S4-4. Actions related to consumers* of this Report.

/ Green to Wear (GtW) standard: environmental impact in manufacturing processes

In order to promote the reduction of the environmental impact of our supply chain, since 2014 at Inditex we have been implementing our Green to Wear standard. This is a key tool to apply best practice in those processes with the highest environmental impact, most notably in wet processes, and thereby to gradually reduce the environmental impact of our garments, by applying a principle of continuous improvement through evaluation, support and monitoring.

ⓘ More information in section *G1-2. Management of relationships with suppliers* of this Report.

/ Clear to Wear (CtW) standard: product health and chemical safety

Our Clear to Wear (CtW) standard incorporates the strictest global regulations on chemical substances in textile and leather articles. Likewise, it includes the European Union REACH law, which regulates the Registration, Evaluation, Authorisation and Restriction of Chemicals), as a mandatory EU regulation for all our suppliers.

In 2024 we launched a new version of the CtW standard to update it with the latest regulatory developments and to further our alignment with the Restricted Substances List (RSL) of the Apparel and Footwear International RSL Management (AFIRM) Group.

This standard is of general application and mandatory for all garments, footwear, home textiles, fabrics and leather supplied to Inditex, as well as for certain accessories, such as: handbags, belts, scarves, fashion jewellery and similar products.

/ i+Cosmetics and i+Food Contact Materials standards

In order to ensure an adequate response to the specific properties of the various product families —those in contact with food or cosmetics— at Inditex we have developed specific i+ standards. They include both the applicable health and safety parameters, and the documentary and best manufacturing practice requirements, as well the analysis protocols for establishing compliance with the provisions contained in the standards.

In the case of products that come into contact with food, our standard also restricts the transfer of their constituent chemical substances to the food they come into contact with.

/ Certified chemical products

Our environmental improvement strategy promotes the use of certified chemical products and makes this mandatory from 2026 onwards, allowing us to ensure the proper selection of products that do not contain or are low in substances of concern (SOCs), with a particular focus on substances of very high concern included in the formulation of chemical products used by the textile and leather industry.

These certifications include the most stringent level of ZDHC compliance —level 3— along with our **The List, by Inditex** programme, which is a part of the ZDHC —Chemical to Zero— strategy for more sustainable chemical products and is included in the Gateway platform as level 3 certification.

This programme consists of a procedure for classifying chemical products that improves production processes and the health and safety of garments, officially categorised by the ZDHC as Progressive level, in its fifth edition. We therefore provide our manufacturers and suppliers with a list of commercially available chemical products used in the manufacturing processes of textile and leather goods. This gives our manufacturers and suppliers key information with which to determine whether a chemical product meets the requirements of ZDHC's Manufacturing Restricted Substances List (MSRL), the Restricted Substances List (RSL) by AFIRM, and our own Clear to Wear standard.

In this programme, which was updated in 2023, chemical products are classified into a positive or negative list, with two categories ('A' and 'C') to distinguish products that are allowed in Inditex production processes, and those that are banned.

E2-2. Actions related to pollution

E2.MDR-A_01-12; E2-2_01

At Inditex, we implement a range of initiatives to prevent and reduce pollution throughout our own operations and in our value chain, both directly —by establishing restrictions on the use of chemical substances, or minimising microfibre shedding from our garments— and indirectly —by reducing energy and water consumption primarily in the production processes of our supply chain, among others—.

ⓘ More information in sections *E1-3. Actions related to climate change* and *E3-2. Actions related to water resources* of this Report.

Avoid pollution

MDR-A_01; MDR-A_02; MDR-A_03; MDR-A_04; E2-2_02

/ Supply Chain Environmental Transformation Plan 2024-2027

Related IROs: [E1.I1; E1.I2; E1.R1; E2.I1; E2.I2; E2.R1; E3.I1; E3.I2; E3.R1; E5.I1; E5.I2; E5.I3; E5.R1; E5.O1; E5.O2]

The Supply Chain Environmental Transformation Plan, due to its transversal nature, is detailed in standard E1. Climate change. The specific information on priority impacts can be found in the associated standards.

ⓘ More information on other related actions in sections *E1-3. Actions related to climate change*, *E3-2. Actions related to water resources* and *E5-2. Actions related to resource use and circular economy* of this Report.

Within the framework of the Plan, we have implemented the following initiatives linked to pollution-related priority impacts:

- **Wastewater treatment**

At Inditex we work to ensure the application of minimum requirements on discharge quality for all wet process facilities with direct discharge to the environment, in keeping with the water impact reduction goals of our Sustainability and Water Policy. To achieve this, we use the Zero Discharge of Hazardous Chemicals (ZDHC) Wastewater Guidelines, focused on improving the application of minimum discharge quality requirements in all manufacturing countries.

This allows us to progress in gradually reducing the values of the conventional parameters, heavy metals and the presence of chemical substances listed in both ZDHC Wastewater Guidelines and Manufacturing Restricted Substances List (MRSL).

In this regard, we have increased our minimum requirements so that all the wet processing facilities in our supply chain with direct discharge into the environment must reach the foundational level by July 2025, and progressive level by July 2026, in accordance with the provisions of the ZDHC Wastewater Guidelines. In addition, they must comply with applicable national and local discharge legislation.

In addition, within the framework of improvement tools, some of the main actions we recommend for improving wastewater management at a facility are the optimisation of their purification processes and the training of purification plant operators/technicians, among others.

ⓘ More information on *Best Available Techniques (BAT)* on Inditex's corporate website.

- **Chemical products**

At Inditex we set up the ZDHC Roadmap to Zero programme as a tool for leading the improvement in managing chemical inputs. This initiative allows us to advance in the protection of workers in the supply chain, guarantee the safety of each article and protect the environment from substances of concern, in accordance with our Sustainability Policy.

This initiative applies to wet processing facilities. Furthermore, the scope of control is extended to cover the entire inventory of chemicals for manufacturing (dyes, pigments and ancillary chemicals used in textile manufacturing), except for commodities, cleaning products and products used to purify water.

The initiative involves including new minimum requirements for the management of chemical products in the **Green to Wear** standard. This includes a gradual increase in the minimum percentage of ZDHC level 3 certified product inventory in our facilities to 95% by 2026. Currently, all the products in the positive list (those classified as A) of The List, by Inditex programme are already ranked as level 3.

In addition, all inventoried chemical products that are not certified by ZDHC must be checked using the Group's chemical control methodology during their transition to achieving the 2026 goal.

With regard to the improvement tools, the main initiatives we advise for increasing the use of ZDHC certified level 3 chemical products at a facility are requiring from the chemical product manufacturers certification of their chemical portfolio, and the use of alternative certified chemical products. Likewise, we recommend using support tools such as the repository with the range of certified products, The List, by Inditex report, and the ZDHC gateway chemicals module.

In addition to the transversal implementation of the Environmental Transformation Plan, we have other actions, categorised according to their level in the mitigation hierarchy, mainly focused on **avoiding** and **reducing** pollution.

/ Compliance verification programmes: Picking, APPLABs, Minilabs and continuous improvement programmes: Root Cause Analysis (RCA)

Related IROs: [E2.I1; E2.R1]

MDR-A_01;
MDR-A_02;
MDR-A_03;
MDR-A_04;
MDR-A_05;
E2-2_02

To verify compliance with the product chemical safety standards mentioned in the previous section, we continuously work with technology companies, research centres and laboratories of international reference to test that the standards are being properly applied. We also conduct our own programmes to analyse our articles, as well as inspections at manufacturing centres.

Moreover, we focus our efforts on ensuring compliance with our standards at every stage of the product: design, raw material selection, manufacturing processes, storage and distribution.

In this way, we contribute to our Sustainability Policy commitment of complying with the most stringent health and safety standards in developing new products, as well as reducing and eliminating substances of concern and other pollutants generated throughout the value chain.

Additionally, to advance compliance with our standards in these early stages of the product's life cycle, we have a network of in-house control laboratories to carry out preliminary tests in accordance with the most demanding international standards. This makes them a very effective tool for preventing non-conformities with our Clear to Wear and Safe to Wear standards at very early stages of manufacture, thereby minimising the risk of non-conformities, and their consequences, in finished garments.

- ***Picking***

This programme verifies that our products comply with the Group's health and safety standards, Clear to Wear (CtW) , and other Inditex product health standards that apply to other product types.

ⓘ More information in section *S4. Consumers and end-users* of this Report.

The programme identifies potential non-conformities, mainly by taking representative samples of production at supply chain facilities and an analysis conducted by external laboratories approved by our APPLABs programme. All our articles are technically assessed in terms of chemical and physical safety (risk assessment) and 100% of articles with risk-assessment are analysed to verify the product's compliance with our standards.

In 2024, a total of 67,562 Picking inspections were performed and 831,896 analyses and tests[15] were carried out (60,685 inspections and 821,934 analyses and tests in 2023) evidencing a high degree of initial compliance with our standards, of 98.4% (98.2% in 2023), with compliance reaching 99.4% in the case of chemical safety compliance. For those productions that were initially non-compliant, we apply recovery protocols that allow these products to be properly corrected, eliminating the presence of restricted substances and improving parameters such as colour fastness to achieve compliance.

- **APPLABs**

We have our **APPLABs** external laboratory approval programme for the analytical support network of the programmes of The List, by Inditex, Green to Wear (chemical products control) and the Picking programme in the CtW verification. This initiative ensures that the analysis process and the results provided by these external laboratories on our articles are accurate and consistent with the particularities of our model. This confidence is crucial because this information determines whether a production meets our standards.

In 2024, a total of 63 on-site audits were carried out at external laboratories and 62 comparison exercises, which involved analysing 7,823 samples (57 on-site audits, 47 comparison exercises and 6,821 samples in 2023).

- ***Minilabs***

In addition to these inspections, since 2017 we have been deploying **Minilabs** a portable laboratory that allows our external inspectors to conduct, at the supplier's own facilities and at any stage of the production process, up to six screening tests for substances and parameters regulated in the Clear to Wear standard and Physical Testing Requirements.

In 2024, we performed 3,283 Picking inspections with Minilabs and 28,933 analyses and screening tests (3,656 inspections and 31,268 analyses and tests were executed in 2023).

- **Root Cause Analysis (RCA)**

We also strive to improve the supply chain through our **Root Cause Analysis** (RCA), which enables us to conduct technical audits when we identify a non-compliance in the Picking programme. These audits, carried out by specialists, are aimed at finding the root cause of the non-compliance in wet process facilities —dyeing, washing, tannery and printing, primarily— and proposing corrective actions and recommendations to remedy the incident and prevent it from recurring.

In 2024 we carried out 31 RCA audits (36 audits in 2023). The results show that one of the main causes of non-compliance is cross-contamination with other productions. This programme allows us to generate and strengthen our expertise so as to be able to tackle and correct the causes of non-conformities and continue to improve our supply chain.

[15] This includes tests and inspections carried out in 2024 as part of the Picking programme for all the Group's brands. The calculation methodology includes primary data obtained through statements from the service provider and checked against the amounts invoiced by the laboratories in the monitoring controls of the allocated budget.

MDR-A_06;
MDR-A_07

The financial resources linked to the development of these actions are associated with operating expenses, which in isolation do not represent a material amount in terms of CapEx or OpEx. This amount is included under Operating Expenses in the Consolidated Income Statement (see *Note 6* to the Consolidated Annual Accounts).

Reduce pollution

As a complement to our actions, we also implement Research, Development and Innovation (R&D+i) initiatives, which allow us to move forward in our sustainability strategy and work to prevent and reduce pollution. In 2024, we highlight our initiatives linked to chemical products, along with the new ambition of our research programmes and adoption of new measures and technologies stemming from innovation.

Research, Development and Innovation (R&D+i) initiatives related to chemical products

/ R&D+I in analysis methodology:

We have developed different procedures to detect substances that might be potentially hazardous for users, reducing their impact and the associated emissions. These notably include:

- Study of formaldehyde emissions in wood materials.
- Development of a method of analysis to verify the presence of synthetic lipid antioxidants in leather.
- Comparison between methods to detect total fluoride in textile samples and chemical products.
- Study of the application of a hydrolysis-based method to detect the nature of PFAS and to help discriminate between intentional application and cross-contamination.

/ R&D+I in studies and projects:

- Study to find alternatives to sulphones and syntans in leather tanning.
- Study of the impact of finishing treatment on the pH of leather and its link to the tendency to form hexavalent chromium.

/ R&D+I in guides:

- Update of the best manufacturing practices guidelines for the use of safe chemical alternatives to PFAS and minimisation of cross-contamination.

ⓘ More information in the document *Innovation, Collaboration and Continuous Improvement for Chemical Safety* available on Inditex's corporate website.

/ Collaboration initiatives to implement measures and technologies derived from innovation

Related IROs: [E2.I1; E2.I2; E2.R1]

MDR-A_01;
MDR-A_02;
MDR-A_03;
MDR-A_04;
MDR-A_05;
E2-2_02

We take part in collaboration initiatives to implement different innovative measures and technologies, co-developed by the Group through industrial research partnerships with notable organisations such as BASF, CHT, Pulcra, EPSON, Jeanologia and DyStar, among others, that allow us to progress towards our goals, in keeping with our strategy and policies.

The aim of this innovation and development network is to demonstrate that new measures and technologies work on an industrial scale. At the same time, information is provided to carry out case studies to verify the improvements made, facilitating their implementation in other facilities.

Among the foremost research initiatives, in 2024 we highlight the following programmes: The Colouring by Inditex, linked to the wet processing impact; The Materials by Inditex, focusing on fibres and materials; and The Microfibers by Inditex, addressing the emerging challenge of microfibres.

We also have The Mill by Inditex, an initiative to accelerate the adoption of innovative technologies in dyeing processes that reduce our environmental impact, especially in connection with water and energy consumption and the chemical products used in these processes. This initiative, a pioneer in the industry and aimed at the transfer of disruptive technologies, looks forward to demonstrate the technological and economic viability of a net zero facility in terms of emissions, water, waste and microfibres. To achieve this, in 2024, we devised a theoretical model based on three core areas –chemicals, circularity and renewable electrification–. This year, in the pilot demonstrations we have included supplier installations in Morocco, which add to those already carried out in 2023 in Portugal and Türkiye.

Research programmes

/ The Colouring by Inditex

This is our strategic innovation programme linked to reducing the potential impact of wet processes, carried out in collaboration with renowned industrial organisations. Some of its most notable initiatives are:

- PIGMENTURA by CHT, an innovative dyeing solution that not only slashes water consumption by up to 96%, but also prevents microfibre shedding. This novel development, which is the result of our research partnership with CHT that commenced in 2020 and that has been awarded with German Ecodesing Award in the product category this year, is based on a pigment dye that does not require washing and drying processes, thereby reducing the energy needed to heat the water used in conventional production processes. This can save up to 60% of energy compared to other, continuous dyeing technologies.
- SUSTINERI COLORING by PULCRA, another innovative dyeing solution, in this case exhaustion dyeing, that reduces water consumption by up to 58%, prevents the release of microfibres and significantly reduces production times. This development arises through the research alliance with PULCRA and is based on the use of high-performance wetting and dispersing agents, designed to combine pretreatment and colouring operations in a single process.
- Circular Dyeing, focused on the circularity of dyeing systems, through the reuse of water, energy and chemicals in a closed-loop to improve the use of resources and reduce pollution.
- Another solution we have developed is SOKALAN by BASF for the implementation and optimization of the first industrial cold-wash system. This system enables a reduction in both temperature and the number of washing cycles, thereby decreasing water and energy consumption as well as the time required in the conventional production process.

/ The Microfibers by Inditex

We continued to work on a number of measures to prevent both synthetic and natural microfibre shedding, especially in stages of the value chain where this shedding and subsequent release into wastewater is particularly relevant, such as in wet processing. Among the main initiatives of the year was the implementation at suppliers of the first units of the AirFiberWasher, developed in partnership with the Spanish company Jeanología, which aims to help prevent the release of microfibres in domestic washing. Using an innovative, air-based technology makes it possible to remove, prior to selling textile articles, a large part of the microfibres that would otherwise be released later in domestic washing. Furthermore, this is achieved without increasing water and energy consumption or compromising the quality of the treated fabrics.

/ The Materials by Inditex

Our programme for the development of circular fibres and materials, with a lower environmental impact. More information in section *E5. Resource use and circular economy of this Report*.

MDR-A_06;
MDR-A_07;
E2-2_02

The financial resources linked to implementing these actions, which on their own do not imply a material amount, are included under Operating Expenses in the Consolidated Income Statement (see *Note 6* of the Consolidated Annual Accounts).

In addition to these actions, we develop other initiatives, such as compiling the **Clothes Caring Guide**. This guide offers our consumers tips for clothing care to help extend the life of the garments and reduce the environmental impact of garment care processes. This reduces wear and tear on clothing and the amount of water and energy consumed in washing and drying garments.

We also carry out projects to use organic or in transition raw materials, which avoid the use of pesticides and fertilisers that may pollute and degrade the soil. Furthermore, we invest in innovative agricultural projects that apply regenerative practices to preserve soil quality.

ⓘ More information in section *E4-3. Actions related to biodiversity and ecosystems* of this Report.

We also work to minimise the environmental impact from the use of our products and to lengthen their useful life. In this regard, it is worth highlighting our **The Laundry by Zara Home** detergent, designed to reduce microfibre shedding in washing and also reducing energy consumption. We therefore include innovation from our supply chain right through to our customers, in line with our commitment to mitigate the Group's impact on the environment, especially to reduce the consumption of natural resources and pollution.

ⓘ More information in section *E5-2. Actions related to resource use and circular economy* of this Report.

Agreements and collaborations

As in previous years, we continue the collaboration with Zero Discharge of Hazardous Chemicals (ZDHC). This year we have taken an active part in the Technical Experts Team Chemical to Zero Progressive (CtZ-P) working group to define the Progressive certification framework and system for the Chemical to Zero roadmap, sharing our expertise and experience in the control of chemical products with The List, by Inditex programme. We are also involved in the AFIRM Group to reduce the use and impact of substances of concern for health and the environment through the creation of an industry RSL standard. We are members of the Board of ZDHC and the Management Committee of AFIRM.

Additionally, we design best manufacturing practice guidelines and provide regular training to our suppliers, especially those involved in wet processes. Thus, we continue to move forward in the proper selection, acquisition, handling, storage and use of chemical products.

B. Metrics and targets

E2-3. Targets related to pollution

E2.MDR-T_14-19; MDR-T_20; MDR-T_21; E2-3_01; E2-3_02; E2-3_03; E2-3_04; E2-3_09

As previously indicated, the impacts related to pollution have been identified in our supply chain and the end of life of our products. That is why at Inditex we do not have direct contribution targets.

However, we have launched a series of collaboration initiatives with our supply chain that are materialised through the establishment of targets related to climate, water consumption, wastewater treatment, chemicals, waste management and raw materials.

On the one hand, management of the air pollution generated in our supply chain is closely linked to climate change. In this regard, we have developed various commitments at Company level in relation to the climate, which are set out in the **Climate Transition Plan**.

In turn, through the **Supply Chain Environmental Transformation Plan**, we aim to reduce the environmental impact associated with textile manufacturing, and accordingly any air, water or soil pollution deriving from the production processes of our articles.

Lastly, the **Fibres Plan** contains goals linked to the use of lower-impact raw materials[16], which are also related to pollution management. Thus, the use of these fibres reduces the impact generated during the cultivation and sourcing stage, thereby easing the pressure on the soil and water, and also in the use and end-of-life phases.

ⓘ More information in the Supply Chain Environmental Transformation Plan (*E2-2. Actions related to pollution*), Climate Transition Plan (*E1-1. Transition plan for climate change*) and Fibres Plan (*E5-3. Targets related to resource use and circular economy*) of this Report.

E2-4. Pollution of air, water and soil

Emission of pollutants

E2-4_01

As previously stated, the impacts derived from pollutant emissions are located in different stages of our value chain, mainly in the manufacturing processes of our supply chain, but not in our own operations. However, it is not currently possible to quantify these significant emissions to air (not greenhouse gases), water and soil. The lack of robust information and estimation methodologies with firm and contrasted criteria in the textile industry also precludes making estimates based on scientific or proxy data.

[16] See the *Methodological Annex* for more information on the criteria that fibres and materials must fulfil to be classified as lower-impact.

We are working to compile this data and be able to disclose information in upcoming reporting periods.

Microplastics

E2-4_05

With regard to the potential generation and/or use of microplastics, it has been determined that the impacts identified in the double materiality analysis are located primarily in our value chain during the manufacturing processes and the use of our articles.

In this sense, we consider the applicable legal restrictions in connection with microplastics and we continue to seek alternatives in our articles.

At present, reporting information on microplastics and/or microfibres presents challenges such as the lack of a robust methodology in the industry to calculate these emissions, or the difficulty in obtaining the data from our value chain. Consequently, and considering the degree of uncertainty, no related metrics have been included.

In qualitative terms, we have estimated the Group's impacts derived from microfibre emissions at various stages of the value chain, also addressing their possible mitigation. In this regard, we aim to introduce possible improvements in the production processes of our articles, and during its use.

ⓘ More information in section *E2-2. Actions related to pollution* of this Report.

E2-4_08; E2-4_09; E2-4_10

Given how challenging it is to estimate the air, water and soil emissions derived from our supply chain, in the next few years we will work with reference organizations on defining the appropriate measurement criteria which, along with developments in the sector, we hope will enable us to report the related metrics and their evolution.

E2-5. Substances of concern and substances of very high concern

E2-5_01; E2-5_02; E2-5_03; E2-5_04; E2-5_05; E2-5_06; E2-5_07; E2-5_08; E2-5_09; E2-5_10; E2-5_11; E2-5_12; E2-5_13

Substances of concern can be harmful to the environment and people. These substances could be contained in the formulation of different chemical products that are used in certain processes, facilities and products in the supply chain. Accordingly, the safety data sheets (SDS) for chemical products indicates the presence of substances of concern generally above the concentration threshold of 0.1%.

Due to a limitation in the data provided by the manufacturers of chemical products on the formulated substances used in those products, it is not possible to confirm whether the absence of a substance is due to a concentration below these thresholds, or if it is not included in the formulation as an ingredient. Furthermore, there is a lack of homogeneous international requirements when it comes to the classification of substances and legal requirements on disclosure and SDS format, which affects traceability in the supply chain outside the European Union.

Consequently, we cannot quantify the volume of these substances generated and/or used to carry out our value chain activity. Neither is it viable to make science-based or proxy estimates due to the lack of truthful information and estimation methods with firm and contrasted criteria in the textile industry.

In this regard, we consider that the best way to avoid the presence of these substances in our products is by controlling the chemicals used in manufacturing processes. It is crucial that all the industries involved, including the chemical industry, work together to guarantee the availability of technically viable alternatives. Some of the **initiatives** we are currently carrying out, and which help minimise the use of these substances, are:

/ The List, by Inditex.

/ Manufacturing Restricted Substances List (MRSL) by ZDHC.

/ Green to Wear standard's chemical product management module.

/ Digitalisation of the chemical inventory.

/ Performance InCheck Report by ZDHC.

ⓘ More information on these initiatives in section *E2-1. Policies related to pollution* of this Report.

E3. Water resources

A. Impact, risk and opportunity management

IRO-1. Material water resources-related impacts, risks and opportunities

Identification of Impacts, Risks and Opportunities

E3.IRO-1_01

Based on the analysis of our activity, coupled with the materiality assessment and the views of our stakeholders, we identify a list of material water resources-related impacts, risks and opportunities.

In the process we have included the assessment of all our activities and those of our value chain, considering the various locations of the facilities, with the aim of analysing in detail the potential avenues of impact associated with the various river basins.

The results obtained allow us to conclude that the material water resources-related impacts, risks and opportunities are associated with our value chain, and are immaterial in respect of our own operations. Regarding value chain and in accordance with the transitional provision of the European Directive (CSRD), in section 10.2 of ESRS 1, the information reported in this chapter is subject to a progressive reporting timeline. However, mindful of our impacts and dependencies on water resources, for some years we have been reporting information on certain metrics relating to our supply chain (specifically, the relative consumption of wet process factories).

As a result of this materiality assessment, we have also found that our activities are not materially dependent on marine resources. With regard to the impacts on the marine environment, we have identified possible chemical substances and microfibre pollution, which we develop further in standard E2. Pollution; however, no other material impacts, risks or opportunities were identified. Consequently, we do not include details concerning marine resources in this standard.

ⓘ More information on identified impacts, risks and opportunities related to water pollution in section *E2. Pollution* of this Report.

Consultations with stakeholders

E3.IRO-1_02

Stakeholder dialogue is a key element of our materiality assessment, as detailed previously in this Report. Specifically, in 2024 we involved specialised organisations like Pacific Institute and ECODES in our **double materiality exercise.**

Both in the materiality assessment as during the course of our activity, we collaborate with specialised organisations that give us valuable knowledge regarding the impacts our activity might have on water resources. In this connection, we highlight our involvement in the United Nations' CEO Water Mandate initiative; and our membership of the Alliance for Water Stewardship (AWS).

This continuous engagement also allows us to develop new goals and actions linked to the proper management of our impacts, risks and opportunities.

Material Impacts, Risks and Opportunities related to water

		TYPE (I/R/O)	PHASE OF THE VALUE CHAIN (1)	RELATED POLICIES
E3.I1	**Water withdrawal**	I	/ Raw materials / Supply Chain (2) / Use and end of life	**Transversal policies:** / Sustainability Policy / Sustainability Stakeholder Relations Policy **Specific policies:** / Water Policy / Ecosystems and Biodiversity Policy
E3.I2	**Water discharge**	I	/ Raw materials / Supply Chain (2) / Use and end of life	
E3.R1	**Physical and transition risks related to water resources**	R	/ Extended value chain	

(1) The extended value chain comprises the environment and the communities in which we are present even if they are not directly linked to our activity.
(2) Including only facilities that carry out mainly wet processes, as these are the ones whose manufacturing processes use chemical products, water and energy as the main inputs.

ⓘ More information on our stakeholder engagement and our materiality assessment in sections *SBM-3. Material impacts, risks and opportunities* and *IROs. Disclosures on the materiality assessment process* of this Report.

E3-1. Policies related to water resources

E3.MDR-P_01-06; MDR-P_01; MDR-P_02; MDR-P_03; MDR-P_04; MDR-P_05

Our new **Water Policy** enshrines our commitment to water valuation, incorporating specific principles and lines of action for that purpose.

Similarly, we have broadened the vision through our Ecosystems and Biodiversity Policy in connection with water quality and health, and our Energy Policy due to its interrelation with energy consumption and wet processes.

Policies related to water

/ Water Policy ⓘ
/ Sustainability Policy ⓘ
/ Ecosystems and Biodiversity Policy ⓘ
/ Energy Policy ⓘ
/ Sustainability Stakeholder Relations Policy ⓘ

ⓘ More information on our policies and their updates in section *MDR-P. Policies* in this Report.

Water Policy

Approved by the Board of Directors on 4 February 2025

Key contents	/ Commitment to water valuation(1) across our own operations and the value chain / Minimising the water footprint impact; protecting, conserving and restoring ecosystems; promoting access to water, sanitation and hygiene; ensuring a good water governance and driving transformation at industry level
Scope	/ The entire Group (companies and individuals) / People who provide services or collaborate with the Group (including the Board of Directors) / It promotes the alignment of suppliers, factories along the supply chain and third parties engaged with the Group with the Policy
Accountable for the implementation	/ Sustainability Department and its chief officer
Third-party standards	/ Principles on valuing water of the UN High Level Panel on Water
Consideration given to stakeholders	/ The interests of and potential impacts on stakeholders relating to water resources were taken into account in developing the policy / Participation of the Social Advisory Board

(1) Information about its consideration and definition in the Group's Water Policy.

Water management

E3-1_01

Our Sustainability Policy features water as a key part of our environmental perspective, from both the standpoint of aquatic ecosystems and that of the use and pollution of natural resources.

This is further extended by our new Water Policy, which enshrines our commitment to water valuation. Its essential principles include minimising the water footprint impact through practices in our own operations and in the value chain —where the impacts identified in our materiality assessment are concentrated— introducing the implementation of responsible water management as one of the main action lines.

E3-1_02

/ Use and supply

We proactively collaborate to ensure sustainable water management in the regions where our supply chain operations take place, recognizing the importance of joint efforts in preserving the environmental quality of river and marine ecosystems.

Accordingly, our Water Policy includes lines of action associated with water use, such as the identification, assessment and management of material water-related impacts, risks and opportunities in the value chain, the prioritisation of using recycled water and alternative sources, and the reduction of water withdrawal and discharge by promoting technologies and practices for savings at every stage of the value chain. Likewise, we have introduced considerations linked to water supply, such as reducing its consumption in areas of high water stress.

Furthermore, in our Sustainability Policy and our Energy Policy, we underscore reducing water consumption in our industry as a means to reduce energy consumption, thereby acknowledging the direct link between managing water as a resource and climate change.

E3-1_03

/ Treatment

In line with the measures associated with water use and supply, in our Water Policy we undertake to explore innovative technologies in water treatment and reuse, which will allow us to prioritise the use of recycled water and the reuse of water in processes. This allows us to promote sustainable resource management, improving treatment processes and minimising our water footprint throughout the value chain.

E3-1_04

/ Pollution prevention

Through our policies we undertake to advance towards the prevention, reduction and elimination of discharges into water, with special attention to potentially hazardous chemicals and other pollutants or waste generated in the value chain. In this regard, we promote responsible practices for water withdrawal and discharge that positively impact water quality, and we undertake to consider potential pollution throughout the life cycle when designing products and processes, and to explore improvements in treatment technologies. This includes the deployment of action plans and targets for reducing the potential impact of the emission and discharge of polluting substances in the value chain.

E3-1_05

/ Lower-water-impact design

Within the framework of our strategy and progress towards a circular economy, we approach water management in a transversal way in every stage of the production chain, from design and selection of materials to manufacturing and distribution throughout the entire value chain.

In connection with water resources, this ambition is strengthened by our Water Policy, which establishes a commitment to consider water-related aspects in product design and production processes, including the assessment of water use and potential pollution throughout the life cycle, from the sourcing of raw materials and manufacturing, to use by consumers and end of life.

E3-1_06

/ Consumption in areas at water risk

Among the main lines of action included of our Water Policy, we specifically include reducing water consumption in areas of high water stress, for which purpose we establish a range of commitments associated with these areas. Notable among these are the ambition to establish contextualised water consumption reduction targets, based on geolocation and monitoring of the impact associated with the water footprint of the Group's suppliers and manufacturers operating in those locations. In addition, we support suppliers to implement regenerative practices, backing the value chain in the transition to more efficient water management systems that reduce water withdrawal and discharge, and to reduce consumption by implementing closed-loop water systems and regenerative practices, thus promoting long-term water availability in these regions.

We also align our commitment to the efforts of conservation, protection and restoration of freshwater and marine ecosystems through the CEO Water Mandate initiative, focused on preserving freshwater through collective action in highly water-stressed river basins.

E3-1_09

Initiatives linked to seas and oceans

Lastly, also within the framework of our commitment to the CEO Water Mandate initiative, we seek to carry out assessments to identify the critical areas in forested river basins, wetlands, oceanic areas and other relevant ecosystems, and to prioritize conservation and restoration actions to work towards the improvement and protection of the hydrosphere.

In this connection, at Inditex we support various projects linked to the protection of seas and oceans, that foster coordinated and collective action between key agents. These notably include the Fashion Pact, Alliance for Water Stewardship and Arctic Corporate Shipping Pledge (Ocean Conservancy).

E3-2. Actions related to water resources

E3.MDR-A_01-12

At Inditex we are aware of the critical importance of water for life and ecosystems and the challenges posed in terms of availability and quality. To address those challenges, we conduct out initiatives on our own and in partnership with our stakeholders to reduce our environmental impact, located primarily in our supply chain, and preserve ecosystems.

E3-2_03

Water withdrawal is one of our impacts in relation to this resource, especially important when it takes place in areas at high water risk. Consequently, we implement a water management strategy with two differentiated approaches: minimising our negative impacts —with an emphasis on our work relating to the framework of the Supply Chain Environmental Transformation Plan and the Green to Wear and Care for Water standards— and contributing to the positive impact, for example through our commitment to CEO Water Mandate.

/ Supply Chain Environmental Transformation Plan 2024-2027

Related IROs: [E1.I1; E1.I2; E1.R1; E2.I1; E2.I2; E2.R1; E3.I1; E3.I2; E3.R1; E5.I1; E5.I2; E5.I3; E5.R1; E5.O1; E5.O2]

To make progress in achieving of our sustainability targets, we have launched our Supply Chain Transformation Plan 2024-2027. It is structured around five priority environmental impacts: water consumption[17], wastewater treatment, chemicals, waste management and carbon footprint. In this chapter we will focus on water consumption. The information concerning the remaining priority impacts is provided in the various standards, and there is a more detailed description of the Transformation Plan in standard E1.

ⓘ More information in sections *E1-3. Actions related to climate change*, *E2-2. Actions related to pollution* and *E5-2. Actions related to resource use and circular economy* of this Report.

Water consumption

MDR-A_01; MDR-A_02; MDR-A_03; MDR-A_04

To foster reducing water consumption in the supply chain in keeping with our Water and Sustainability Policies and further our target, we have implemented the Care for Water (CFW) consumption standard. This standard provides benchmark values for water-intensive manufacturing facilities, which in turn are part of the Green to Wear (GtW) standard.

The CFW standard allows us to classify wet processing facilities by their water consumption levels and set minimum water management requirements for the 2024-2027 period.

From November 2024, wet processing facilities in our supply chain must have a water consumption level classified as '*good*' in accordance with the CFW standard. From July 2025 onwards, these facilities must attain a level of 'excellent' for optimal water consumption management. In this regard, the GtW Supporting Documents contain instructions for facilities to calculate their water consumption and their Care for Water target.

We also have support and accompaniment mechanisms that are a crucial part of the Transformation Plan. These include our Best Available Techniques (BAT) tool with detailed information on solutions for improving process optimisation and recipes for pre-treatment, dyeing and finishing; investment in new, more efficient machinery; and wastewater recycling for use in textile processes.

ⓘ More information on the *Best Available Techniques (BAT)* and *GtW Supporting Documents* on Inditex's corporate website.

[17] Throughout this Report, we use the term 'water consumption' to refer to all water withdrawal, including amounts returned to the aquatic environment, as this is the term most commonly used in the sector. For more details about the calculation methodology of the associated metrics, see the *Methodological Annex.*

In addition to this action, we also develop other environmental initiatives to address water-related impacts transversally. These include our initiatives aimed at preventing and mitigating pollution, associated with water quality.

ⓘ More information on collaboration initiatives in section *E2-2. Actions related to pollution* of this Report.

Commitment to valuing water in the value chain

In 2024 we have worked to foster water valuation in our value chain, from the supply of raw materials to the end product, introducing measures to minimise our water footprint and promote the responsible use of this essential resource.

Some examples of our collaborative initiatives for valuing water are:

/ **Minimization of the water footprint:** collaboration with suppliers in the implementation of good practices in water usage, associated with our ⓘ Green to Wear standard. We also work on consumer awareness, with the creation of manuals that promote responsible water consumption among our clients (ⓘ Clothes Caring Guide).

/ **Protection, conservation and restoration of ecosystems:** establishment of alliances for the restoration and conservation of hydrographic accounts (CEO Water Mandate, ⓘ WWF).

/ **Promoting global and equitable access to water, sanitation and hygiene:** collaboration with stakeholders, civil society, manufacturers and suppliers to improve adequate hygiene conditions and access to drinking water (Water.org, ⓘ Workers at the Centre).

/ **Drive for transformation and innovation:** improvement of production processes to reduce water consumption and minimise wastewater, such as the installation of closed circuit systems at dyeing plants (ⓘ Circular Dyeing).

Agreements and collaborations

We maintain various collaborations with organisations like the World Wildlife Fund (WWF), the CEO Water Mandate and the Alliance for Water Stewardship. We also work with Water.org to improve access to drinking water and sanitation for low income families in Bangladesh, Cambodia and India.

We also work with industrial partners to drive industry transformation through collaboration and science-based innovation. Our industrial research partners include industry leaders such as BASF, CHT, Pulcra, Jeanología, DyStar and others.

B. Metrics and targets

E3-3/E3-4. Water consumption and related target

Water consumption in our supply chain (entity specific information)

E3-4_01;
E3-4_11

The ESRS define water consumption as the amount of water withdrawn and not discharged back to the water environment: for example, evaporated water or water incorporated into articles. In our business, the amount of water consumed according to this definition is very low, since almost all the water withdrawn is discharged at the end of its use in our supply chain production processes, so it does not imply material consumption.

Therefore, relative to consumption, water withdrawal is the most representative metric of water-related impacts reported under the ESRS E3 standard in the textile sector. However, considering that the most commonly use term is water 'consumption', that is the term we use in this Chapter.

That said, it is worth noting that, as previously indicated, water consumption in our own operations is not material considering the nature of our activity. Water consumption is material at our value chain, specially at the production stage of our articles, in particular in wet processes —dyeing, washing, finishing and printing, among others—. Another relevant phase in this connection is raw material production, an area we are working on to provide more information in future reporting periods.

- **Reduction in water consumption in the supply chain**

E3.MDR-T_01-13; MDR-T_01

We work with our suppliers and the rest of the industry in adopting best available practices, particularly in connection with water management and improving discharge quality.

As part of our approach to water management, we have set ourselves the target of reducing relative water consumption in our supply chain by 25 % in 2025, as compared with 2020. The aim is also to reduce the emissions associated with managing, handling and heating water during manufacturing processes.

This target is related to our Sustainability Policy and our Water Policy. Specifically, with our commitment to taking into account the consequences of climate change, water management and biodiversity protection.

MDR-T_02; MDR-T_05; MDR-T_06; MDR-T_07; MDR-T_08; MDR-T_13; E3-4_01; E3-4_10

Target: 25% reduction of water consumption throughout the supply chain by 2025

	Base year	Current year	Target year
	2020	2024	2025
Water consumption (litres/kg garment)	101	78	76
Reduction percentage		22%	25%

E3-3_01; E3-3_03

This target allows us to directly address our progress in preventing, minimising and remedying impacts linked to our supply chain. This demonstrates our commitment to developing innovation-based initiatives, and in collaboration with our manufacturers, for a responsible water management.

ⓘ More information on these initiatives in section *E3-2. Actions related to water source* of this Report.

This target therefore helps us to transfer an effect to our supply chain that helps reduce the potential impact associated with water withdrawal, especially in water-stressed areas, by improving water management in the wet processes involved in making our products.

It also allows us to prevent associated risks, both physical —susceptibility to production disruptions associated with water scarcity— and in terms of transition —aligning ourselves with the regulatory changes linked to the topic—. This target applies to all geographies where our manufacturers' activities are carried out, being especially relevant in those locations deemed to be at water risk.

MDR-T_03; MDR-T_04; MDR-T_09; MDR-T_12; E3-3_08; E3-4_06; E3-4_07

ⓘ More information on the scope, methodology and changes in the year in the *Methodological Annex* of this Report.

Areas at water risk

To obtain the water necessary to carry out supply chain production processes, and given our global presence, our suppliers and manufacturers withdraw water from various river basins.

E3-4_02

We have located and assessed water-related impacts to which both our own operations and those of our supply chain are exposed. This allows us to identify potential risks linked to our operations, specifically whether our facilities or those of our supply chain are located in water stressed river basins.

Specifically, in our 2024 materiality assessment we analysed the location of our supply chain facilities in relation to water stressed areas. We thus found that Türkiye, Mainland China and Morocco are the main markets with wet processing facilities exposed to material water risk.

E4. Biodiversity and ecosystems

A. Strategy

IRO-1/SBM-3. Material biodiversity and ecosystem-related impacts, risks and opportunities

Identification of Impacts, Risks and Opportunities

E4.IRO-1_01; E4.IRO-1_02; E4.IRO-1_03

Based on the analysis of our activity, coupled with the materiality analysis and the views of our stakeholders, we compile a list of material biodiversity and ecosystem-related impacts, risks and opportunities.

In this process, we have taken the **LEAP approach** (Locate, Evaluate, Analyse and Prepare) as a reference, analysing the locations of our own facilities and those of our value chain and identifying the Company's connection to the natural resources needed to produce raw materials and other key value chain processes, as well as the impact and dependencies on nature.

In this regard, we acknowledge our dependency on nature's ecosystem services in order to be able to offer our products and services. The provision of ecosystem services depends on a healthy state of nature and, in some areas across our operational footprint and value chain, these services are sourced from areas where there is a loss of biodiversity and health of ecosystems as a result of various pressures.

The likely material dependencies on ecosystem services identified can be broadly grouped under water, soil and climate regulation in both upstream and downstream operations. However, no material dependencies on ecosystem services have been identified in relation to own operations, transportation and factories of our supply chain that do not perform wet processes.

E4.IRO-1_04

Our risk analysis also included the possible occurrence of systemic risks. In this regard, we have identified two potential risks associated with the collapse of ecosystems from an environmental point of view —unavailability of agricultural raw materials— and the disruption of the supply chain associated with the collapse of ecosystems —paralysis of manufacturing production— .

Consultations with stakeholders

E4.IRO-1_05; E4.IRO-1_06; E4.IRO-1_07

Stakeholder dialogue is a key element of our materiality analysis, as detailed previously in this Report. Specifically, in 2024 we involved specialist organisations like Conservation International in our double materiality assessment.

In addition to the materiality assessment, during the course of our activity we also work with specialist organisations that give us valuable insight into the possible impacts of our activity on ecosystems and biodiversity. We highlight our collaboration with leading organizations as the World Wildlife Fund (WWF), Conservation International and Canopy.

This continuous engagement also allows us to develop new goals and actions linked to the proper management of our impacts, risks and opportunities.